Statutory Instrument 63 of 2026.

[CAP. 24:20

Banking (Victoria Falls International Financial Services Centre) (Securities, Capital Markets and Collective Investment Funds) Regulations, 2026

IT is hereby notified that the Minister of Finance, Economic Development and Investment Promotion, in terms of section 81 of the Banking Act [*Chapter 24:20*], has made the following regulations—

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CHAPTER I

PRELIMINARY

Title

1. These regulations may be cited as the Banking (Victoria Falls International Financial Services Centre) (Securities, Capital Markets and Collective Investment Funds) Regulations, 2026.

Interpretation

2. (1) In these regulations—

"advertisement" in relation to a collective investment scheme, means any form of advertising in any media whatever, but, except in relation to a professional scheme, does not include editorial or journalistic advice or comment on matters of public interest where the intention of the comment is neither to promote the collective investment scheme nor to procure persons to become participants in it;

"appeals tribunal" means the appeals tribunal established in terms of the Victoria Falls International Financial Services Centre (Arbitration) Regulations, 2026;

"base capital requirement" means the initial fixed amount of capital needed to start an authorised market institution business or obtain a licence;

"capital market activities" means any of the following activities—

(a) the reception from a person of an order to buy, sell or subscribe for instruments and the transmission of that order to a third party for execution;

(b) execution of orders on behalf of clients acting to conclude agreements to buy or sell one or more instruments on behalf of clients and includes the conclusion of agreements to sell instruments issued by an investment services licence holder or a credit institution at the moment of their issuance;

(c) dealing on own account, that is trading against proprietary capital resulting in conclusion of transactions in one or more instruments;

(d) managing or agreeing to manage assets belonging to another person if those assets consist of or include one or more instruments or the arrangements for their management are such that the person managing or agreeing to manage those assets has a discretion to invest any of those assets in one or more instruments;

(e) collective portfolio management of assets, belonging to a collective investment scheme, where the arrangements for their management are such that the person managing or agreeing to manage those assets has discretion to invest in any movable and, or immovable property;

(f) acting as trustee, custodian or nominee holder of an instrument, or of the assets represented by or otherwise connected with an instrument, where the person acting as trustee, custodian

(g) acting as trustee or custodian in relation to a collective investment scheme;

(h) investment advice, that is to say, giving, offering or agreeing to give, to persons in their capacity as investors or potential investors or as agent for an investor or potential investor, a

personal recommendation in respect of one or more transactions relating to one or more instruments including recommendation to—

(i) buy, sell, subscribe for, exchange, redeem, hold or underwrite a particular instrument;

(ii) exercise or not to exercise any right conferred by a particular instrument to buy, sell, subscribe for, exchange, or redeem an instrument;

(iii) select one or more instruments by reference to which benefits are wholly or partly payable under a contract of insurance falling within the meaning of class III linked long term, of the Second Schedule to the Insurance Business Act. A recommendation is not a personal recommendation if it is issued exclusively through distribution channels or to the public;

(i) underwriting of instruments or placing of instruments on a firm commitment basis, with the underwriting or placing of instruments such that the person providing the service assumes the risk of bringing a new securities issue to the market by buying the issue from the issuer, thereby guaranteeing the sale of a certain number of shares to investors;

(j) marketing of newly issued securities or of securities which are already in issue but not listed, to specified persons and which does not involve an offer to the public or to existing holders of the issuer's securities, without assuming the risk of guaranteeing the sale of a certain number of shares by buying the relative securities from the issuer;

(k) operation of a multilateral trading facility, which is the operation of a multilateral system which brings together multiple third-party buying and selling interests in instruments in the system and in accordance with non-discretionary requirements, in a way that results in a contract;

(l) the reception, transmission, and submission of a bid relating to carbon credits;

(m) holding securities in custody for another person and dealing with them to the extent necessary for that custody; and

(n) recording transfers and other transactions relating to securities;

"capital market intermediary firms" means a registered entity that is authorised to conduct any of the following regulated capital market activities:

(a) managing investments;

(b) managing a collective investment scheme;

(c) providing custody services;

(d) arranging custody services;

(e) providing trust services;

(f) providing fund administration;

(g) acting as a trustee of a fund;

(h) advising on investments;

(i) arranging deals in investments; and

(j) managing restricted profit-sharing investment accounts;

"Centre" means the Victoria Falls International Financial Centre;

"collective investment scheme" means a collective investment scheme as defined in section 136 of these regulations;

"constitution" in relation to a fund means—

(a) an instrument of incorporation in the form of a corporate body;

(b) a trust deed in the form of a trust; and

(c) a partnership deed in the form of a partnership; or

(d) adopting a form other than one specified in subsection (a) to (c), any instrument creating the legal form of the fund to which the fund manager is a party, setting out provisions relating to any aspect of the operation or management of the fund;

"dealing investment firm" is an entity that has an authorisation to conduct any of the following regulated activities—

(a) dealing in investments as principal; or

(b) dealing in investments as agent;

"domestic fund" means a collective investment scheme that is established or domiciled in the Victoria Falls International Financial Services Centre;

"environmental instrument" means an investment which—

(a) enables its holder to emit greenhouse gases into the atmosphere in accordance with any emissions trading scheme, including such carbon units as emissions allowances or equivalent;

(b) evidences the reduction or removal of greenhouse gases into the atmosphere, including such carbon units as carbon credits or equivalent; or

(c) evidences the environmental attributes of an underlying unit that is renewable energy or environmental attribute certificates;

"externally regulated registered person" means an entity authorised in a recognised jurisdiction to perform capital market activities or the activities of a market institution;

"financial crime" means any kind of conduct relating to money or to financial services or markets that would amount to criminal conduct under the laws of the Republic of Zimbabwe, whether or not such conduct takes place in the Republic of Zimbabwe, including any offence involving—

(a) fraud or dishonesty;

(b) misconduct in, or misuse of information relating to, a financial market;

(c) handling the proceeds of crime; or

(d) the financing of terrorism;

"financial services regulator" means a regulator of financial services established in a jurisdiction other than the International Financial Services Centre;

“fund manager” in relation to a collective investment fund means an authorised person whose licence permits him or her to manage a fund;

“general regulations” means the Banking (Victoria Falls International Financial Services) (General) Rules, 2026;

“international financial services centre” means the Victoria Falls International Financial Services Centre;

“market institution” means a participant carrying out any of the following activities:

(a) securities exchange activities;

(b) clearing house's activities;

(c) management of a platform trading in digital assets;

(d) management of a borrowing crowdfunding platform;

(e) investment crowdfunding platform;

(f) management of a private financing platform.

(g) central securities depository;

“money market” means the market in which eligible participants trade, discount or exchange short-term debt and monetary instruments, including treasury bills, certificates of deposit, commercial paper, bills of exchange and such other instruments as may be prescribed, whether conducted through central banks, authorised persons, or authorised market institutions;

“officer” means a member of the board of an asset manager or principal officer;

“participant” in relation to a collective investment scheme means a person who invests in or otherwise takes part in a collective investment scheme;

“principal officer” means the person principally responsible for the registered person;

“recognised securities exchange” means the Victoria Falls Stock Exchange and such other stock exchange as the Centre may prescribe;

“registered” means registered by the Centre;

“registered office” in relation to the registered person, means the office registered with the Centre.

“security” means any instrument, right or interest that is issued, transferred, traded, or held for investment or financing purposes, whether in physical, dematerialised, digital or tokenised form, and includes, without limitation—

(a) equity and ownership interests, including—

(i) shares, stocks or other ownership interests in a body corporate, partnership, trust, or other entity;

(ii) depositary receipts, interests in collective investment schemes, and similar instruments representing ownership rights;

(b) debt instruments including—

(i) bonds, debentures, notes, certificates of deposit, commercial paper, and other instruments creating or evidencing indebtedness;

(ii) asset-backed securities, mortgage-backed securities, and similar instruments;

(c) derivatives and structured products, including—

(i) options, futures, forwards, swaps and other contracts whose value is derived from an underlying asset, rate, index, benchmark or event;

(ii) structured products or instruments combining characteristics of debt, equity or derivatives;

(d) units, interests, or participations in a collective investment scheme, trust, fund, or similar pooled vehicle;

(e) digital and tokenised instruments including—

(i) security tokens or other digital representations of value or rights that have characteristics of a security;

(ii) crypto-assets that confer ownership, creditor, profit-sharing, governance, or similar rights or obligations;

(iii) any other form of tokenised instrument recognised by the Centre as a security; and

(f) any instrument or right which, in the opinion of the Centre, has the nature of an investment, financing, or risk-transfer instrument and should properly be regulated as a security;

"trust deed" in relation to a collective investment scheme, means the written agreement between the manager and trustee which constitutes the scheme and under whose terms the property of the scheme is held;

"trustee" in relation to a unit trust scheme, means the person who holds the property of the scheme in trust for the participants;

"unit" in relation to a collective investment scheme, means the interest or share, by whatever name called, which a participant has in the scheme.

Application

3. (1) These regulations shall apply to—

(a) persons conducting regulated capital market activities in and from the international financial services centre.

(b) market institutions operating in the international financial services centre.

(c) collective investment schemes operating in the international financial services centre.

(2) These regulations provide the regulatory framework for—

(a) the regulation and supervision of capital market intermediaries;

(b) the registration, regulation and supervision of collective investment schemes; and

(c) the registration, regulation and supervision of market institutions.

Prohibition of conducting business by unregistered persons.

4. (1) No person shall—

(a) carry on a regulated capital market activity; or

(b) conduct the business of a market institution; or

(c) manage or act as trustee of a collective investment scheme;

unless he or she is registered by the Centre.

Persons excluded from definition of capital market activities

5. (1) These regulations shall not apply to —

(a) a person registered as an estate agent, legal practitioner or public accountant in terms of any law providing for the registration of such persons, who invests property on behalf of any client of his or her professional services—

(i) as an incident of, or in conjunction with, the ordinary professional services that the estate agent, legal practitioner or public accountant provides to his or her client; and

(ii) without pooling the property of the client with that of any other client, except in terms of an agreement entered into between the clients concerned:

Provided that not more than five (5) clients shall be associated together for the purposes of any such agreement;

(b) a person who is a trustee or administrator of a pension fund registered in terms of any law providing for the registration of such persons:

Provided that to the extent that such person invests property on behalf of one or more other persons other than property of the pension or provident fund, such person shall be considered to carry on the business of asset management for the purposes of these rules; and

(c) such other person as the Centre may, by a notice in the *Gazette,* declare.

CHAPTER II

PRUDENTIAL REQUIREMENTS FOR FIRMS CARRYING OUT CAPITAL MARKET ACTIVITIES

PART I

GENERAL FINANCIAL RESOURCES REQUIREMENTS

Responsibilities of board of capital market investment firms

6. (1) The board of a registered person other than an externally regulated registered firm shall consider whether the minimum capital resources and liquid assets required by these regulations are adequate to ensure that there is no significant risk that the firm's liabilities cannot be met as they fall due.

(2) The firm shall obtain additional capital resources and liquid assets if its board considers that the minimum required does not adequately reflect the risks of its business.

(3) The board shall, in addition, be responsible for—

(a) ensuring that the management of the firm's capital resources and liquid assets is part of the firm's overall risk management, and is aligned with the nature, scale and complexity of its business and its risk profile;

(b) ensuring that the firm complies with these regulations; and

(c) monitoring the adequacy and appropriateness of the firm's systems and controls and the firm's compliance with them.

(4) The board of a registered person, including an externally regulated registered person, shall —

(a) identify any future circumstances and events that it considers having a realistic probability of occurring and which would create a material risk that the registered person would become insolvent;

(b) for each set of circumstances and events, assess how the financial position of the registered person would be affected, and what management actions it would expect to take in anticipation of, and as a result of those circumstances and events, to try to ensure that the registered person does not become insolvent and continues to comply with these regulations;

(c) conduct an annual internal capital adequacy assessment to examine how the registered person be affected by adverse stresses and scenarios that might reasonably be expected to occur in a future period of three years and, in doing so, it shall consider management actions that it would expect to take, and cash flows that it would expect to receive and pay, in anticipation of, and because of, those stresses and in those scenarios.

Systems and controls

7. (1) Any registered person, other than an externally regulated registered person, shall have —

(a) adequate systems and controls to enable it to calculate and monitor its capital resources and liquid assets and its compliance with the requirements of these regulations; and

(b) contingency arrangements to maintain or increase its capital resources and liquid assets in times of stress.

(2) The systems and controls shall be in writing and must be appropriate for the nature, scale and complexity of the firm's business and risk profile.

(3) The systems and controls shall —

(a) enable the registered person to always demonstrate its compliance with these regulations;

(b) enable the firm to manage its capital resources and liquid assets in anticipation of events or changes in market conditions.

Financial resources

8. (1) Any registered person, other than an externally regulated registered person, shall have and maintain, at all times, capital resources and liquid assets of at least the minimum kinds and amounts required by, and calculated in accordance with, these regulations.

(2) Any registered person to which subsection (1) applies shall have and maintain, at all times, capital resources and liquid assets that are adequate in relation to the nature, scale and complexity of its business and its risk profile, to ensure that there is no significant risk that its liabilities cannot be met as they fall due.

Financial resources for externally regulated registered persons

9. (1) Any externally regulated registered person shall—

(a) ensure that its operation in the International Financial Services Centre has, and maintains, at all times, access to financial resources that are adequate in relation to the nature, scale and complexity of the business of its International Financial Services Centre Operation and its risk profile, to ensure that there is no significant risk that any liabilities assumed by or through the International Financial Services Centre operation cannot be met as they fall due;

(b) if and to the extent so directed by the Centre, hold some or all of the resources in paragraph (a) in one or more bank accounts or custody accounts maintained in the International Financial Services Centre in the name of the Centre operation, on terms whereby those resources may be withdrawn and applied only by authorised representatives of the Centre; and

(c) comply with the prudential requirements set by its home financial services regulator.

(2) Any externally regulated registered person may satisfy subsection (1) by maintaining group-level capital and liquidity resources in its home jurisdiction, provided that—

(a) the Centre has ongoing access to regulatory filings made to the home regulator; and

(b) the firm maintains, at all times, a designated local representative and a bank or custody account in the International Financial Services Centre for settlement of trades executed in or through the Centre.

(3) The Centre shall not require the maintenance of additional capital in Zimbabwe beyond settlement obligations, unless there is evidence of systemic risk.

(4) For branches of externally regulated firms, the Centre may require a local liquidity buffer equivalent to six (6) months of operating expenses to be held in the International Financial Services Centre, in addition to compliance with the home regulator's capital adequacy rules.

Intervention powers of Centre

10. If the Centre is not satisfied that a registered person is in compliance with section 8 or 9 as applicable, it may impose a requirement on that registered person to have and maintain additional amounts of capital resources or liquid assets or both, and to hold additional financial resources in one or more bank accounts or custody accounts maintained in Zimbabwe, and the registered person must comply with that requirement.

Minimum capital requirement calculation

11. (1) This section shall not apply to an externally regulated registered person.

(2) Capital resources shall be calculated as the sum of the following capital elements, subject to deductions listed in subsection (3)—

(a) the ordinary equity share capital of the registered person, to the extent fully paid up;

(b) share premium accounts related to the equity share capital referred to in paragraph (a);

(c) any retained earnings and reserves created out of earnings of past periods of the registered person and accumulated other comprehensive income, as defined in the International Financial Reporting Standards (IFRS), to the extent shown in its audited financial statements and accounts; and

(d) any amount directed by the Centre under subsection (4).

(3) In determining its capital resources, a registered person shall deduct the following items from the sum of the capital elements in subsection (5)—

(a) any interim losses incurred by the registered person in the current financial year, irrespective of whether or not shown in audited financial statements and accounts;

(b) each of the following, to the extent that its value contributes to the sum of the capital elements in subsection (2)—

(i) goodwill and other intangible assets as defined in the IFRS;

(ii) tangible fixed assets, including equipment and vehicles;

(iii) deferred tax assets that rely on future profitability;

(iv) defined benefit pension fund assets of the insurance intermediary;

(v) investments by the registered person or by any of its subsidiaries in the insurance intermediary's own shares;

(vi) holdings of equity shares of affiliates or related persons, which are reciprocal cross holdings with the registered person which have the effect of artificially inflating the capital resources of the registered person;

(vii) any investments in, and loans to, affiliates or related persons; and

(viii) holdings of other investments and assets that are not readily realisable into cash;

(c) any amount to be deducted from capital resources as directed by the Centre.

(4) Where the Centre is satisfied that a capital instrument issued by the registered person, and in respect of which the registered person has received the issuance proceeds in full, has characteristics of permanence and loss absorption that are sufficient to ensure that it would be available to absorb unexpected losses of the registered person, it may direct that some or all of the liabilities created by that instrument may be included in the capital resources of the registered person under subsection 2 (1) (d).

(5) In deciding whether to exercise discretion under subsection (4), the Centre shall consider whether the Basel Requirements are satisfied.

(6) For the purposes of calculating capital, the following shall be recognised:

(a) Tier 1 Capital (Core Equity) – ordinary paid-up share capital, disclosed reserves, retained earnings;

(b) Additional Tier 1 (AT1) Instruments – perpetual, subordinated, non-cumulative instruments with full loss-absorption features;

(c) Tier 2 Instruments – subordinated debt instruments with a minimum maturity of five years, capped at 100% of Tier 1; and

(d) Green or ESG— linked capital instruments, provided they meet Basel criteria for permanence and loss absorption.

Minimum capital requirement

12. (1) Any registered person shall ensure that it maintains at all times capital resources of at least its minimum capital requirement.

(2) The minimum capital requirement of—

(a) a registered person who is a capital market intermediary is equal to its base capital requirement;

(b) a registered person who is not a capital market intermediary is equal to the sum of—

(i) its base capital requirement;

(ii) its credit risk capital requirement;

(iii) its market risk capital requirement; and

(iv) its operational risk capital requirement.

(3) The base capital requirement of a registered person who is a capital market intermediary shall be the amount specified in First Schedule by reference to the activity that the firm is authorised to conduct or, if the registered person is authorised to conduct more than one such activity, the amount that is the higher or highest of the relevant amounts in the First Schedule.

(4) The credit risk capital requirement of a registered person who is a dealing investment firm shall be calculated in accordance with rules imposed on it individually as part of its authorisation by the Centre.

(5) The market risk capital requirement of a registered person who is a dealing investment firm shall be calculated in accordance with rules imposed on it individually as part of its authorisation by the Centre.

(6) The operational risk capital requirement of a registered person who is a dealing investment firm shall be calculated in accordance with conditions imposed on it individually as part of its authorisation or by the Centre.

(7) In addition to the base capital requirement, a registered person that is a dealing investment firm shall maintain capital for—

(a) credit risk, at least 8% of Risk-Weighted Assets (RWA), calculated under the Basel standardised approach;

(b) market risk, at least 8% of capital charge for exposures to interest rate, equity, FX, commodities, and options; and

(c) operational risk, at least the higher of—

(i) 15% of the 3-year average gross income; or

(ii) basic indicator approach under Basel.

(8) The rules imposed under subsections (4), (5) and (6) shall apply to the relevant parts of the Basel requirement to the registered person, considering the nature, scale and complexity of the registered person's business, including —

(a) rules providing for the credit risk capital requirement to be determined using a risk- weighted assets calculation in respect of on and off balance sheet exposures of registered person using the

standardised approach of the Basel requirements, and allowing for reliance on credit risk mitigation techniques and providing for more onerous treatment of exposures to securitisations and over the counter derivatives in each case in accordance with Basel requirements to the extent applicable to the registered person's business;

(b) rules providing for the market risk capital requirement to be determined using the standardised measurement method of the Basel requirements, reflecting interest rate risk, equity position risk, foreign exchange risk, commodities risk and the treatment of options, in each case in accordance with the Basel requirements to the extent applicable to the registered person; and

(c) rules providing for the operational risk capital requirement to be determined using the basic indicator approach or the standardised approach of the Basel requirements to the extent applicable to a registered person's business.

Provisions inapplicable to externally regulated registered person

13. Sections 14, 15 and 16 of these regulations shall not apply to an externally regulated registered person.

Liquid assets requirement

14. (1) Any registered person who is a capital market intermediary shall have, at all times, liquid assets whose value is at least equal to 25% of the firm's annual operating expenditure as defined in section 18.

(2) If at any time the Centre considers that because of the nature, scale and complexity of a particular registered person business, or its risk profile, it is appropriate to require the person to hold a greater amount of liquid assets than is required by subsection (1), the Centre may require the registered person to hold net liquid assets to a specified higher percentage of its annual operating expenditure, and the registered person must comply with that requirement.

Calculating liquid assets

15. (1) Subject to section 14(2), the "liquid assets" of a registered person means each of the following, to the extent it is beneficially owned by the registered person free from any security interest or other claim of any third party, other than a banker's lien or custodian's lien arising in the ordinary course of business—

(a) cash in hand;

(b) money deposited with a regulated bank or deposit taker which has a short-term credit rating of A1 or P1 or equivalent, and from an approved External Credit Assessment Institution (ECAI);

(c) demand deposits with a tenure of one year or less with a bank or deposit-taker in paragraph (b);

(d) time deposits with a tenure of one year or less, which have an option to redeem the deposit at any time; in such cases, the deposit amount eligible to be included as liquid assets must be calculated as net of any costs associated with such early redemption;

(e) cash receivable from a regulated clearing house and cash deposits with such clearing houses, other than any fees or contributions to the guarantee or reserve fund of such clearing houses; and

(f) any other asset which may be approved by the Centre as comprising a liquid asset for the purpose of this section.

(2) For the purpose of subsection (1), liquid assets shall not include—

(a) any investment, asset or deposit which has been pledged as security or collateral for any obligations or liabilities assumed by it or by any other person; or

(b) cash held in client money or insurance money accounts.

Calculating annual operating expenditure

16. (1) Subject to section 15(2), a registered person's annual operating expenditure at any time, which shall be calculated at the end of the most recently ended financial year for which audited accounts are available, is the total of—

(a) the expenses reported in those audited annual accounts of the registered person for the period of the financial year covered by those accounts that arose in the normal course of the firm's business, arising from investment business or investment business, including from any such activities carried out by a branch of the registered person in any other jurisdiction; and

(b) the amount by which the board, acting reasonably, expects the corresponding annual operating expenses in any financial year after the financial year covered by those accounts to exceed the amount in paragraph (a).

(2) In the period between being authorised as a registered person and the date of publication of the audited accounts in respect of its first full financial year as a registered person, the registered person must calculate its annual operating expenditure using its budgeted or forecast accounts for its first twelve (12) months that it submitted to the Centre as part of its application for registration and must make adjustments to take into account the amount by which the board, acting reasonably, expects the annual operating expenses to exceed the amounts included in those budgeted or forecast accounts.

Financial groups

17. (1) Except for subsection (6), this section shall not apply to a registered person that is an externally regulated investment firm.

(2) Where the Centre directs that the registered person should comply with sections 13 and 14 at the level of its financial group, the registered person must, in addition to complying with those sections on a solo basis, ensure that the financial position of its financial group on a consolidated basis is compliant with those sections as if the financial group, treated as a single entity, were a registered person.

(3) The financial group of a registered person is made up of—

(a) the registered person;

(b) any subsidiary, direct or indirect, of the registered person that carries on any investment business in any jurisdiction; and

(c) any other entity that the Centre directs should be included in the financial group due to there being a high degree of financial interdependence between the registered person and that entity.

(4) Any registered person may apply to the Centre for approval to exclude an entity from its financial group.

(5) The Centre may grant an approval in terms of subsection (4) only after the registered person satisfies the Centre that inclusion of the entity would not materially alter the risk profile of the registered person or

its financial group and that the exclusion of that entity would not hinder the Centre's ability to effectively supervise the registered person and its financial group.

(6) The Centre shall consider a range of factors when requiring a registered person to treat another entity as part of its financial group. These factors would include direct and indirect participation, influence or contractual obligations, interconnectedness, intra-group exposures, intra-group services, regulatory status and the nature of business of other entities in the group and the legal framework.

(7) No registered person shall be, or shall have a subsidiary that is, authorised to accept deposits in any jurisdiction.

(8) Where the Centre so directs, a registered person shall comply with capital adequacy requirements on both a solo and consolidated group basis.

Reporting and notification requirements

18. (1) Registered persons who are capital market intermediaries must comply with the prudential reporting requirements specified in sections 16, 17, 18 and 19.

(2) Any registered person, other than an externally regulated investment firm, shall submit quarterly and annual prudential returns to the Centre using the templates prescribed for this purpose by the Centre from time to time.

(3) Annual prudential returns of a registered person to which this section applies must contain a certification by the same auditor that is responsible for auditing the registered person's annual financial statements. The certification must relate to the annual prudential returns and each set of unaudited quarterly returns that have been submitted to the Centre by the registered person in the previous year.

(4) A prudential return must be signed by two individuals, and in each case—

(a) one of those individuals must be the individual approved to exercise the finance officer function; and

(b) the other individual must be either the individual approved to exercise the senior executive officer function for the registered person or one of the individuals approved to exercise the director function for the registered person.

(5) In subsection (4)(b), senior executive officer function and director function have the same meanings as in the general regulations.

(6) Any registered person, other than an externally regulated investment firm, must not reduce its paid-up share capital, or repay or redeem any part of any capital instrument the liabilities under which are included in its capital resources, without the Centre's written approval.

(7) Any registered person must immediately notify the Centre if its capital resources fall to 110% of the minimum requirement.

(8) Where capital resources fall below the required minimum, the registered person must submit a capital restoration plan within ten business days, detailing measures to restore compliance within ninety days.

Breaches of this Part

19. (1) If a registered person becomes aware, or has reasonable grounds to believe, that it is or may be about to be in breach of any of this Part that applies to it, it must—

(a) notify the Centre in writing about the breach and the relevant circumstances immediately and not later than one business day; and

(b) subject to subsection (2), not make any cash transfers or payments or transfer of liquid assets to its affiliates or related persons, whether by way of dividends or otherwise, without the Centre's written permission.

(2) In the case of an externally regulated registered person, the restriction in subsection (1) (b) shall apply only to assets within the control of the Centre operation of the externally regulated registered person.

(3) In dealing with a breach, or possible breach, of this part, the Centre's primary concern shall be the interests of existing and prospective clients and potential adverse impact on market participants as well as market stability.

(4) In circumstances in which a problem may be resolved quickly, for example by support from a parent entity, without jeopardising the interests of clients and stakeholders, it will be in the interests of all parties to minimise the disruption to the firm's business.

(5) The Centre shall normally seek to work cooperatively with the registered person in such stressed situations to deal with any problems.

(6) Where necessary, the Centre shall take regulatory action to avoid exposing market participants, stakeholders and clients to the potential adverse consequences that may be caused by a firm in breach.

Externally regulated investment firms

20. (1) The Centre may require an externally regulated registered person to give it a copy of any report that the registered person is required to provide to any other financial services regulator to demonstrate compliance with capital and liquidity requirements.

(2) The Centre may require an externally regulated registered person to provide information to it, setting out, in a level of detail satisfactory to the Centre—

(a) what financial resources are available to it in respect of its international financial services operations, including those available to satisfy section 9;

(b) what liabilities and other financial commitments it is subject to in respect of its international financial services operations.

(3) If an externally regulated registered person breaches or expects to breach a prudential requirement set by the Centre in its jurisdiction of incorporation, it must immediately notify the Centre and must give the Centre copies of any relevant documents, including all relevant documents submitted to that Centre.

PART III

GOVERNANCE OF CAPITAL MARKET INTERMEDIARIES

Corporate governance principles

21. (1) Any registered person that is a body corporate shall comply with the corporate governance guidelines set out in the Fourth Schedule, to the extent that they are applicable to such a person.

(2) Any registered person must have an effective board which is collectively accountable for ensuring that the registered person's business is managed prudently and soundly.

(3) The board must ensure that —

(a) there is a clear division between the board's responsibility for setting the strategic aims and undertaking the oversight of the registered person and the senior management's responsibility for managing the business in accordance with the strategic aims and risk parameters set by the board;

(b) the board, and its committees, have an appropriate balance of skills, experience, independence and knowledge of the registered person's business, and adequate resources, including access to expertise as required and timely and comprehensive information relating to the affairs of the entity.

(c) entity has an adequate, effective, well-defined and well-integrated risk management, internal control and compliance framework.

(d) that the rights of shareholders are properly safeguarded through appropriate measures that enable the shareholders to exercise their rights effectively, promote effective dialogue with shareholders and other key stakeholders as appropriate, and prevent any abuse or oppression of minority shareholders.

(e) financial and other reports present an accurate, balanced and understandable assessment of the registered person's financial position and prospects by ensuring that there are effective internal risk control and reporting requirements.

(f) the registered person has remuneration structures and strategies that are well aligned with the long-term interests of the entity.

(4) The Fourth Schedule sets out best practice standards that may be adopted by a registered person to achieve compliance with these principles.

Annual reporting on compliance

22. (1) The annual report of a registered person must—

(a) state whether the best practice standards specified in the Fourth Schedule have been adopted by the registered person for the purposes of complying with the corporate governance principles; and

(b) if the best practice standards in the Fourth Schedule have not been fully adopted or have been only partially adopted, explain—

(i) why the best practice standards were not adopted fully or adopted only partially, as is relevant; and

(ii) what actions, if any, have been taken by the registered person to achieve compliance with the corporate governance principles to the extent the relevant best practice standards were not adopted, or were only partially adopted; and

(c) include a statement by directors as to whether or not, in their opinion, the corporate governance framework of the registered person is effective in promoting compliance with the corporate governance principles, with supporting information and assumptions, and qualifications if necessary.

(2) With regard to the opinion required under subsection (1) (c), adequate information relating to the corporate governance framework of the entity should be included to support the opinion, such as the identity of its chair, any committees of the board and their role and membership, the chief executive and persons undertaking key control functions such as the head of compliance, risk control and internal audit and how their independence is achieved.

Directors' duties and fair treatment of shareholders

23. (1) Where a board member of a registered person is required under any legislation applicable to such a person to comply with a similar or more stringent requirement than the requirements in this section, compliance with those other requirements would be sufficient compliance for the purposes of the relevant requirement in this section.

(2) A director of a registered person must act—

(a) on a fully informed basis;

(b) in good faith;

(c) honestly;

(d) with due diligence and care; and

(e) in the best interests of the registered person and its shareholders.

(3) In order to meet the obligation to act with due diligence and care, a director must, amongst other things, ensure that he or she has enough time and capacity available to devote to the job.

Financial statements

24. (1) Any registered person shall—

(a) keep proper accounts and other records relating thereto in respect of all its activities, funds and property; and

(b) at the end of each financial year, prepare financial statements reflecting, in accordance with sound accounting practices, the activities and financial condition of the exchange.

(2) The accounts, records and statements referred to in subsection (1) shall be kept and prepared in accordance with the IFRS or other financial reporting standards acceptable to the Centre.

(3) Within ninety days after the end of its financial year, every registered person shall submit to the Centre a copy of the financial statements prepared in terms of subsection (1) and certified by the registered auditor.

(4) If required to do so by the Centre for the purpose of ensuring proper compliance with these regulations, a registered person shall supply the Centre with any account, document or information whatsoever relating to the exchange's activities, fund, property or financial condition must—

(a) prepare and maintain all financial statements in accordance with the IFRS or other financial reporting standards acceptable to the Centre;

(b) prepare and file an annual report which meets the requirements for each financial year; and

(c) in addition to the annual report, prepare and file a semi-annual report which meets the requirements in section 168(1) in respect of shares, warrants or certificates over shares.

(5) The annual financial statements of a registered person must be audited by an independent, competent and qualified auditor in accordance with the international standards on auditing as issued by the International Auditing and Assurance Standards Board (IAASB) or other standards acceptable to the Centre.

Annual report

25. (1) An annual report referred to in section 24 shall contain—

(a) audited financial statements;

(b) a review of the operations during the year and the results of those operations;

(c) details of any significant changes in the registered person's state of affairs during the financial year;

(d) details relating to the registered person's principal activities during the year and any significant changes in the nature of those activities during the year;

(e) details of any matter or circumstance that has arisen since the end of the year that has significantly affected or may significantly affect the registered person's operations in future financial years and the results of those operations; or the registered person's state of affairs in future financial years;

(f) likely developments in the registered person's operations in future financial years and the expected results of those operations;

(g) a statement by the auditor of the registered person as to whether, in the auditor's opinion, the financial statements represent a true and fair view of the financial position of the registered person;

(h) a statement by directors whether or not, in their opinion, the business of the registered person is a going concern, with supporting assumptions or qualifications if necessary; and

(i) annual reporting on compliance with the corporate governance principles pursuant to section 22 by the registered person.

(2) With regard to the opinion required under the obligation in subsection (2) (h), the board shall have overall responsibility to ensure the integrity and independence of the financial reporting process.

(3) The annual report must be signed by at least two (2) directors of the registered person or approved by a body competent to decide on such matters under the registered person's constitutive documents and applicable law.

Preparation of the semi-annual report

26. (1) Any registered person to which the obligation in section 24 (3) (c) applies shall prepare a semi-annual report—

(a) for the first six months of each financial year or period; and if there is a change to the accounting reference date, prepare such report in respect of the period up to the old accounting reference date; and

(b) in accordance with the applicable IFRS or other standards acceptable to the Centre.

(2) Any registered person must ensure that the semi-annual report includes—

(a) an indication of important events that have occurred during the first six (6) months of the financial year, and their impact on the financial statements;

(b) a description of the principal risks and uncertainties for the remaining six (6) months of the financial year;

(c) a condensed set of financial statements, an interim management report and associated responsibility statements; and

(d) where financial statements have either been audited or reviewed by auditors, statements to that effect.

(3) A semi-annual report must be signed by at least two (2) directors of the registered person or approved by a body competent to decide on such matters under the registered person's constitutive documents or applicable law or both.

CHAPTER III

MARKET INSTITUTIONS

PART I

PROVISIONS APPLICABLE TO ALL MARKET INSTITUTIONS

Definitions in this Chapter

27. (1) In this Chapter—

"market institution" means an authorised person who carries on one or more market activities;

"securities exchange" means an authorised person who carries on the market activity of operating an exchange;

"clearing house" means an authorised person who carries on the market activity of operating a clearing house;

"central counterparty" means an authorised person that interposes itself between the counterparties to the contracts traded on one or more financial markets, becoming the buyer to every seller and the seller to every buyer;

"member", in relation to a market institution, means a person who is entitled, under an arrangement or agreement between him and the authorised market institution, to use that institution's facilities;

"crowdfunding platform" means an authorised person who carries on the market activity of operating as—

(a) a loan crowdfunding platform;

(b) an investment crowdfunding platform; or

(c) both platforms referred to in paragraphs (a) and (b);

"operating a facility for investment tokens in relation to a market institution" means operating an exchange on which investment tokens are traded or operating a clearing house on which investment tokens are cleared;

"market activities" has the meaning assigned to it in the general regulations;

"market contract" means any of the following:

(a) contract entered into by an authorised investment exchange or authorised clearing house with members to settle their transactions;

(b) a contract entered into by a member of an authorised investment exchange with a person other than that authorised investment exchange made on, or subject to the rules of the authorised investment exchange;

(c) a contract entered into by a recognised non-centre member of an authorised investment exchange with a person other than that authorised investment exchange made on, or subject to the rules of, the authorised investment exchange;

(d) a contract entered into by an authorised securities exchange, in its capacity as such, with a member, an authorised clearing house, or another authorised exchange for the purpose of enabling the rights and liabilities of that member, authorised clearing house, or authorised investment exchange under a transaction to be settled; and

(e) a contract entered into by an authorised securities exchange with a member, an authorised clearing house, or another authorised investment exchange for the purpose of providing central counterparty clearing services to that member, authorised clearing house, or authorised investment exchange.

Registration and functions of market institution

28. (1) The Centre shall register an entity as a market institution if the entity meets the licensing requirement in the Banking (Victoria Falls International Financial Centre) (General) Regulations, 2026.

(2) The registration as a market institution shall entitle the entity to perform the functions associated with such a licence.

(3) A market institution may outsource its functions.

(4) Any market institution which outsources any of its functions or activities directly related to market activities to a service provider, including a service provider within its group, is not relieved of its regulatory obligations and remains responsible.

(5) Every market institution must, before entering into any material outsourcing arrangements with a service provider, notify the Centre of such an arrangement.

(6) For the avoidance of doubt, the requirement in subsection (5) applies to any outsourcing arrangements which were not in existence at the time the market institution was granted a licence.

(7) Outsourcing arrangements made by a market institution do not affect the responsibility of the market institution to satisfy the requirements applying to it, and must ensure that the person who performs or is to perform the outsourced functions is a fit and proper person who is able to perform them.

(8) Any market institution that outsources any functions must ensure that it—

(a) undertakes due diligence in choosing a suitable service provider;

(b) effectively supervises the outsourced functions or activities; and

(c) deals effectively with any act or failure to act by the service provider that results in or may result in a breach of any regulations or rules.

Requirements in general regulations

29. (1) Any market institution must comply with the provisions of the general regulations relating to—

(a) controlled and designated functions;

(b) control of authorised persons;

(c) core principles;

(d) systems and controls; and

(e) supervision.

(2) This Part supplements, and must be read in conjunction with the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026.

Risk management requirements

30. (1) Any market institution is subject to risk management requirements specified in the general regulations.

(2) In assessing the adequacy of a market institution's systems and controls for identifying, assessing and managing risks, the Centre shall also have regard to the extent to which such systems and controls enable the market institution to—

(a) identify all the general, operational, legal, compliance, technology, credit, market and other risks wherever they arise in its activities;

(b) measure and mitigate the different types of risk;

(c) allocate responsibility for risk management to persons with appropriate levels of knowledge and expertise; and

(d) provide sufficient and reliable information to its officers and employees who are approved or designated individuals, and, where relevant, to the board of the market institution and the Centre.

(3) As part of assessing the adequacy of risk controls, the Centre may also consider how internal and external audits operate in the context of systems and controls. In doing so, the following factors may be considered—

(a) the size, composition and terms of reference of any audit committee of the market institution's board;

(b) the frequency and scope of the external audit;

(c) the provision and scope of internal audit;

(d) the staffing and resources of the market institution's internal audit department;

(e) the internal audit department's access to the market institution records and other relevant information; and

(f) the position, responsibilities and reporting lines of the internal audit department and its relationship with other departments of the market institution.

(4) In addition, the Centre will also consider the adequacy of the risk management function, in particular—

(a) the access which the individuals performing risk management function have to the market institution records and other relevant information; and

(b) the position, responsibilities and reporting lines of the risk management department and its relationship with other departments of the market institution.

Financial resources - minimum capital requirement

31. (1) Any market institution must hold the following minimum capital:

(a) an amount equal to six (6) months of operational expenses; and

(b) unless the Centre directs otherwise, an additional amount of up to a further six (6) months of operational expenses.

(2) The base capital of the market institution shall be in accordance with the First Schedule.

Conflict of interest

32. Any market institution must take reasonable steps, including the maintenance of adequate systems and controls, governance and internal policies and procedures, to ensure that the performance of its regulatory functions is not adversely affected by its commercial interests.

Regulatory functions of market institutions

33. (1) The regulatory functions of a market institution include, as appropriate—

(a) it's obligations to monitor and enforce compliance with its membership rules, business rules, and direct electronic access rules;

(b) it's obligation to prevent, detect and report market abuse or financial crime; and

(c) it's obligations in respect of admission of securities or investments to an official list, to trading or to clearing.

(2) For the purposes of compliance with subsection (1), a market institution must—

(a) identify conflicts between the interests of the market institution, its shareholders, owners and operators and the interests of the persons who make use of its facilities or the interests of the trading platforms operated by it; and

(b) manage or disclose such conflicts so as to avoid adverse consequences for the sound functioning and operation of the trading platforms operated by the market institution and for the persons who make use of its facilities.

(3) Any market institution must establish and maintain adequate policies and procedures to ensure that its employees do not undertake personal account transactions in investments or securities in a manner that creates or has the potential to create conflicts of interest.

Code of conduct

34. Any market institution must establish a code of conduct that sets out the expected standards of behaviour for its employees, including clear procedures for addressing conflicts of interest, and such a code shall be binding on employees.

Technology resources

35. Any market institution must have sufficient technology resources to continually operate, maintain and supervise its facilities.

Confidentiality and cybersecurity

36. Any market institution must—

(a) take reasonable steps to ensure that its information, records and data are secure and the confidentiality is maintained; and

(b) take reasonable steps to ensure that its information technology systems are reliable and adequately protected from external attack or incident.

Resources of members

37. (1) Any market institution must ensure that its members and other participants on its facilities have sufficient and secure technology resources which are compatible with its own.

(2) The requirements in subsection (1) do not apply to an authorised crowdfunding platform or its clients.

(3) For the purposes of meeting the requirement in section 35, a market institution must have adequate procedures and arrangements for the evaluation, selection and ongoing maintenance and monitoring of information technology systems, and such procedures and arrangements must, at a minimum, provide for—

(a) problem management and system change;

(b) testing information technology systems before live operations in accordance with the requirements in subsections (4) and (5);

(c) real time monitoring and reporting on system performance, availability and integrity; and

(d) adequate measures to ensure—

(i) the information technology systems are resilient and not prone to failure;

(ii) business continuity in the event that an information technology system fails;

(iii) protection of the information technology systems from damage, tampering, misuse or unauthorised access; and

(iv) the integrity of data forming part of, or being processed through, information technology systems.

(4) Any market institution must, before commencing live operation of its information technology systems or any updates thereto, use development and testing methodologies in line with internationally accepted testing standards in order to test the viability and effectiveness of such systems. For this purpose, the testing must be adequate for the market institution to obtain reasonable assurance that, among other things—

(a) the systems enable it to comply with all the applicable requirements, including legislation, on an on-going basis;

(b) the systems can continue to operate effectively in stressed market conditions;

(c) the systems have sufficient electronic capacity to accommodate reasonably foreseeable volumes of messaging and orders;

(d) the systems are adequately scalable in emergency conditions that might threaten the orderly and proper operations of its facility; and

(e) any risk management controls embedded within the systems, such as generating automatic error reports, work as intended.

(5) Any market institution must implement standardised conformance testing procedures to ensure that the systems which its members are using to access facilities operated by it have a minimum level of functionality that is compatible with the market institution's information technology systems and will not pose any threat to the fair and orderly conduct of its facilities.

(6) Any market institution must also require its members, before commencing live operation of any electronic trading system, user interface or trading algorithm, including any updates to such arrangements, to use adequate development and testing methodologies to test the viability and effectiveness of their systems, to include system resilience and security.

(7) For the purposes of subsection (6), a market institution must require its members—

(a) to adopt trading algorithm tests, including tests in a simulation environment which are commensurate with the risks that such a strategy may pose to itself and to the fair and orderly functioning of the facility operated by the market institution; and

(b) not to deploy trading algorithms in a live environment except in a controlled and cautious manner.

(8) The requirements in subsections (5), (6) and (7) shall not apply to an authorised crowdfunding platform or its clients.

(9) Any market institution must undertake regular review and updates of its information technology systems and controls as appropriate to the nature, scale and complexity of its operations.

(10) For the purposes of subsection (9), a market institution must adopt well-defined and clearly documented development and testing methodologies which are in line with internationally accepted testing standards.

Business rules

38. (1) Save where the Centre otherwise directs, a market institution must establish and maintain business rules governing relations between itself and the participants in the market, including but not limited to—

(a) membership rules, prepared in accordance with sections 33 and 45, governing the admission of members and any other persons to whom access to its facilities is provided;

(b) direct electronic access rules, prepared in accordance with section 48 and section 49, in case a direct electronic access is available at the authorised market institution, setting out the rules and conditions pursuant to which its members may provide their clients with direct electronic access to the authorised market institution trading systems;

(c) default rules, governing action that may be taken in respect of unsettled market contracts in the event of a member being, or appearing to be, unable to meet its obligations;

(d) admission to trading rules, admission to clearing rules, governing the admission of securities, units in a listed fund, derivatives, or environmental instruments to trading, or clearing and settlement, as appropriate to its facilities;

(e) listing rules, setting out the rules and conditions applicable to a person who wishes to have securities, units in a listed fund or derivatives included in an official list; and

(f) any other matters necessary for the proper functioning of the market institution and the facilities operated by it.

(2) Any market institution's business rules must—

(a) be based on objective criteria;

(b) be non-discriminatory;

(c) be clear and fair; and

(d) set out the members' and other participants' obligations—

(i) arising from the market institution's constitution and other administrative arrangements;

(ii) when undertaking transactions on its facilities; and

(iii) relating to professional standards that must be imposed on staff and agents of the members and other participants when undertaking transactions on its facilities;

(e) be made publicly available free of charge;

(f) include comprehensive error trade policies and procedures in relation to derivatives that set out the extent to which transactions can be cancelled—

(i) by the exchange at its sole discretion;

(ii) the request of a member; or

(iii) with the consent of the members involved;

(g) contain provisions for the resolution of members' and other participants' disputes and an appeal process from the decisions of the market institution, whether by an internal but independent body or otherwise; and

(h) contain disciplinary procedures, including any sanctions that may be imposed by the market institution against its members and other participants; and

(i) be enforceable against the members and other participants.

(3) Business rules must provide for resolutions of errors resulting from either or both of the following:

(a) an erroneous order entry; or

(b) a malfunction of the system of an authorised securities exchange or a member of such an entity.

Review, amendment and consultation

39. (1) Any market institution must ensure that appropriate procedures are adopted for it to keep its business rules under annual review and to amend them. The procedures must include procedures for consulting users of the market institution's facilities in appropriate cases.

(2) Any amendment to a market institution's business rules must, prior to the amendment being effective, be—

(a) made available for market consultation for no less than thirty (30) days; and

(b) approved by the Centre.

(3) The Centre may waive or modify the requirement for market consultation in subsection (2) (a) where it considers it necessary or desirable to do so, including but not limited to cases of emergency, force majeure, typographical errors, minor administrative matters, or to comply with applicable laws.

Monitoring and enforcing compliance with business rules

40. Any market institution must have effective arrangements for monitoring and enforcing compliance with its business rules, including procedures for—

(a) prompt investigation of complaints made to the market institution about the conduct of persons in the course of using the market institution's facilities; and

(b) where appropriate, disciplinary action resulting in financial and other types of penalties.

Financial penalties

41. Where arrangements made pursuant to section 40 include provision for requiring the payment of financial penalties. They must include arrangements for ensuring that any amount so paid is applied only in one or more of the following ways—

(a) towards meeting expenses incurred by the market institution in the course of the investigation of the breach or course of conduct in respect of which the penalty is paid, or in the course of any appeal against the decision of the market institution in relation to that breach or course of conduct; or

(b) for the benefit of users of the market institution's facilities.

Appeals

42. (1) Arrangements made pursuant to section 40 must include provision for fair, independent and impartial resolution of appeals against decisions of the market institution.

(2) The requirements in sections 38 to 42 do not apply to an authorised crowdfunding platform.

Membership

43. (1) Any market institution may only admit as a member a person who satisfies the admission criteria set out in its membership rules and who is either—

(a) an authorised firm whose licence permits it to carry on the regulated activities of dealing in investments or securities; or

(b) a recognised non-centre member; or

(c) a person intending to deal in commodity derivatives or environmental instruments who meets the criteria in the general regulations; or

(d) a person by providing that person with access to the facility, on which investment tokens are traded or cleared or both traded and cleared, in respect of their trading or clearing of investment tokens only.

(2) An externally regulated registered person may be admitted as a member of a market institution, including the Victoria Falls Stock Exchange and authorised clearing houses, on the same basis as a locally licensed firm, subject only to the admission criteria set out in these regulations

(3) Any recognised non-centre member admitted under subsection (1) shall agree in writing to submit to the jurisdiction and laws of the International Financial Services Centre and shall appoint an agent for service of process in the International Financial Services Centre.

(4) Any market institution must ensure that a member who is a person referred to in subsection (1) (c), or a person referred to in subsection 1(d) whose access is only for trading or clearing of commodity derivative tokens or environmental instrument tokens, is a professional client and treat the person as such.

(5) Before admitting a person referred to in (1) (c) as a member, a market institution must undertake due diligence to ensure that such a person—

(a) is of sufficient good repute;

(b) has a sufficient level of competence, experience and understanding of relevant investments, financial services, transactions and any associated risks, including appropriate standards of conduct for its staff permitted to use its order entry system; and

(c) has adequate organisational arrangements, including financial and technological resources, which are appropriate to allow it to discharge its obligations in respect of its category of membership at the market institution.

(6) Any market institution must keep records of the procedures which it has followed under subsection (3), including any documents that evidence the person's assessment. The records must be kept for at least six (6) years from the date on which the business relationship with a person ended.

(7) Before admitting a person referred to in subsection (1) (d), a market institution must undertake due diligence to ensure that the person—

(a) is of sufficient good repute;

(b) has a sufficient level of competence, experience and understanding of relevant investments, financial services, transactions and any associated risks, including appropriate standards of conduct for its staff permitted to use its order entry system;

(c) has adequate financial and technological resources to meet the business rules of the facility;

(d) does not pose any operational risks to the orderly and efficient functioning of the

facility's trading or clearing systems; and

(e) does not pose any money laundering or terrorist financing risks.

Admission criteria

44. Any market institution must ensure that access to its facilities is subject to objective criteria designed to protect the orderly functioning of the market and the interests of investors.

Membership rules

45. The membership rules of a market institution must specify the obligations imposed on users or members of its facilities arising from—

(a) the constitution and administration of the market institution;

(b) where appropriate rules relating to transactions on its trading platforms;

(c) admission criteria for members;

(d) where appropriate rules and procedures for clearing and settlement of transactions; and

(e) where appropriate rules and procedures for the prevention of market abuse, money laundering and financial crime in accordance with section 50.

Undertaking to comply with Centre rules

46. Any market institution may not admit as a member a person referred to in section 43(1)(b) or (c) unless the person—

(a) agrees in writing to submit unconditionally to the jurisdiction and laws of the Centre in relation to any matters which arise out of or which relate to its use of the facilities of the market institution;

(b) where the recognised non-centre member is incorporated outside the Republic of Zimbabwe, appoints and maintains at all times an agent for service of process in the International Financial Services Centre.

Lists of users or members

47. (1) Any market institution must make arrangements to provide the Centre with a list of its members and notify the Centre as and when there are changes to the list.

(2) The requirements in section 43 and this section do not apply to an authorised crowdfunding platform.

Direct electronic access

48. (1) Direct electronic access means any arrangement, such as the use of the member's trading code, through which a member or the clients of that member are able to transmit electronically orders relating to securities, units in a listed fund, derivatives, or environmental instruments directly to the facility provided by the market institution.

(2) Any person who is permitted to have direct electronic access to a market institution's facilities through a member is not, by virtue of such permission, a member of the market institution.

(3) A market institution may only permit a member specified in section 43(1) (a) and (b) to provide its clients direct electronic access to the market institution's facilities where the clients meet the suitability criteria established by the member in order to meet the requirements in subsection (4).

(4) Any market institution which permits its members to have direct electronic access to its trading facilities or permits its members to allow their clients to have direct electronic access to its trading facilities must—

(a) ensure that a member allowing its clients to have direct electronic access to the trading facilities of a market institution is an authorised person;

(b) set appropriate standards regarding risk controls and thresholds on trading through direct electronic access;

(c) be able to identify orders and trades made through direct electronic access;

(d) be able to distinguish and, if necessary, stop orders or trades made by a client using direct electronic access provided by the member without affecting the other orders or trades made or executed by that member; and

(e) have arrangements in place to suspend or terminate the provision of direct electronic access in the case of non-compliance with this sub-paragraph.

(5) This section shall not apply to an authorised crowdfunding platform.

Direct electronic access rules

49. (1) Any market institution operating a trading platform which permits direct electronic access through its systems must set out and publish the rules and conditions pursuant to which its members specified in section 43(1) (a) and (b) may provide direct electronic access to their clients.

(2) These rules and conditions must at least cover the following specific requirements:

(a) a member must retain responsibility for the orders and trades executed by the clients who are using direct electronic access.

(b) a member must have adequate mechanisms to prevent the clients from placing or executing orders using direct electronic access in a manner that would result in the member exceeding its position or margin limits.

(c) a member must conduct, annually or on request from the Centre, a due diligence assessment of its prospective direct electronic access clients to ensure they meet the rules of the trading platform to which it offers access.

(3) The due diligence assessment referred to in sub-paragraph (c) must cover—

(a) the governance and ownership structure of the prospective direct electronic access client;

(b) the types of strategies to be undertaken by the prospective direct electronic access client;

(c) the operational set-up, the systems, the pre-trade and post-trade controls and the real-time monitoring of the prospective direct electronic access client;

(d) the responsibilities within the prospective direct electronic access client for dealing with actions and errors;

(e) the historical trading pattern and behaviour of the prospective direct electronic access client;

(f) the level of expected trading and order volume of the prospective direct electronic access client;

(g) the ability of the prospective direct electronic access client to meet its financial obligations to the direct electronic access provider; and

(h) the disciplinary history of the prospective direct electronic access client, where available.

(4) A member offering direct electronic access allowing clients to use third-party trading software for accessing trading platforms must ensure that the software includes pre-trade controls.

(5) This section shall not apply to an authorised crowdfunding platform.

Measures to prevent, detect and report market abuse or financial crime

50. (1) A market institution must—

(a) ensure that appropriate measures, including the monitoring of transactions effected on or through the authorised market institution's facilities, are adopted to reduce the extent to which the market institution's facilities can be used for a purpose connected with market abuse, financial crime or money laundering, and to facilitate their detection and monitor their incidence; and

(b) immediately report to the Centre any suspected market abuse, financial crime or money laundering, along with full details of that information in writing.

(2) A market institution must have appropriate procedures and protections for requiring its employees to disclose any information to the Centre in a manner which does not expose them to any disadvantage as a result of so doing.

Safeguarding and administration of users' assets

51. (1) A market institution must ensure that, where its facilities include making provision for the safeguarding and administration of assets belonging to users of those facilities, including members and other participants, satisfactory arrangements are made for that purpose with an appropriate custodian or settlement facility and clear terms are agreed between the users of the facility and the market institution.

(2) When assessing its systems and controls for the safeguarding and administration of assets belonging to users of its facilities, a market institution must have regard to the totality of the arrangements and processes by which it records—

(a) the assets held and the identity of the legal and beneficial owners of the relevant assets, and where appropriate, any persons who have charges over, or other interests in, those assets; and

(b) any additions, reductions and transfers in each individual account of assets.

(3) When determining whether it has made satisfactory arrangements for the safeguarding and administration of assets belonging to the users of its facilities, a market institution shall have regard to—

(a) the level of protection which the arrangements provide against the risk of theft or other types or causes of loss;

(b) whether the arrangements ensure that assets are only used or transferred in accordance with the instructions of the owner of those assets or in accordance with the terms of the agreement by which the market institution undertook to safeguard and administer those assets;

(c) whether the arrangements ensure that the assets are not transferred to the market institution or to any other person to settle the debts of the owner or other person with the appropriate rights over the assets except in accordance with valid instructions from a person entitled to give those instructions, or in accordance with the terms of the agreement by which the recognised body undertook to safeguard and administer those assets;

(d) whether the arrangements include satisfactory procedures to ensure that any rights arising in relation to the assets held as a result of any actions by the issuers of those assets or other relevant persons are held, transferred or acted upon in a timely and accurate manner in accordance with the instructions of the owner of those assets or in accordance with the terms of the agreement by which the recognised body undertook to safeguard and administer those assets;

(e) whether there are adequate arrangements to ensure the proper segregation of assets belonging to the market institution or to undertakings in the same group from those belonging to the users of its facilities for the safeguarding and administration of assets;

(f) whether its arrangements include satisfactory procedures for the selection, oversight and review of custodians or sub-custodians used to hold the assets;

(g) whether the agreements by which the market institution undertakes to safeguard and administer assets belonging to users of its facilities include appropriate information regarding the terms and conditions of that service and the obligations of the market institution to the user of the service and of the user of the service to the market institution;

(h) whether the records kept of those assets and the operation of the safeguarding services provide sufficient accurate and timely information to—

(i) identify the legal and beneficial owners of the assets and of any persons who have charges over, or other interests in, the assets;

(ii) record separately any additions, reductions and transfers in each account of assets held for safeguarding or administration;

(iii) identify separately the assets owned by or, where appropriate, on behalf of different persons, including, where appropriate, the assets owned by members of the authorised market institution and their clients;

(iv) the frequency of reconciliation of the assets held by or on behalf of the market institution with the accounts held with the market institution by the users of its safeguarding and administration services and the extent of the arrangements for resolving a shortfall identified in any reconciliation; and

(v) the frequency with which statements of their holdings are provided to the users of the safeguarding and administration services, to the owners of the assets held and to other appropriate persons in accordance with the terms of the agreement by which the market institution undertook to safeguard and administer those assets.

Custody and investment risk

52. (1) A market institution must have effective means to address risks relating to—

(a) custody of its own assets, in accordance with subsection (2), if it is an authorised clearing house;

(b) investments, in accordance with subsection (3), if it is an authorised investment or securities exchange.

(2) For the purposes of subsection (1) (a), an authorised clearing house must—

(a) hold its own assets with entities which are licensed for holding deposits or providing custody, as deemed appropriate by the Centre or a financial services regulator acceptable to the Centre;

(b) be able to have prompt access to its assets when required; and

(c) regularly evaluate and understand its exposures to entities which hold its assets.

(3) For the purposes of subsection (1) (b), an exchange must ensure that—

(a) it has an investment strategy which is consistent with its overall risk-management strategy and is fully disclosed to its members and other participants using its facilities;

(b) its investments comprise instruments with minimal credit, market, and liquidity risks; and

(c) its investments are secured by, or represent claims on, high-quality obligors, allowing for quick liquidation with little, if any, adverse price effect.

Transaction recording

53.(1) A market institution must ensure that satisfactory arrangements are made for recording transactions effected on its facilities, cleared or settled or to be cleared or settled by the market institution by means of its facilities.

(2) When determining whether it has satisfactory arrangements for recording the transactions effected on, cleared or settled, or to be cleared or settled, by means of, its facilities, a market institution shall have regard to—

(a) its arrangements for creating, maintaining and safeguarding an audit trail of transactions for at least six (6) years; and

(b) the type of information recorded and the extent to which the record includes details for each transaction of—

(i) the name of the investment and, if relevant, the underlying asset and the price, quantity and date of the transaction;

(ii) the identities and, where appropriate, the roles of the counterparts to the transaction;

(iii) if its rules make provision for transactions to be effected, cleared, settled or to be cleared or settled in more than one type of facility, or under more than one part of its rules,

the type of facility in which, or the part of its rules under which, the transaction was effected, cleared, settled or to be cleared or settled;

(iv) the date and manner of settlement of the transaction; and

(v) communication regarding transactions executed on the market institution's facilities should be carried out using official communication channels of the market institution.

Complaints handling

54. A market institution must—

(a) have effective arrangements in place for the investigation and resolution of complaints made against it;

(b) establish and maintain a register of complaints made against it and their resolution; and

(c) keep records of the complaints for a minimum of ten (10) years.

(d) put in place procedures to acknowledge a complaint promptly, for making an objective consideration of the complaint and for a timely response to be sent to the complainant.

Trade repository

55. (1) The activity of maintaining a trade repository may be carried on by a market institution.

(2) In subsection (1), a trade repository is a centralised registry that maintains an electronic database containing records of transactions in derivatives, including over-the-counter derivatives.

(3) A market institution maintaining a trade repository is subject to some specific requirements relating to that activity, which are set out in the Third Schedule.

(4) Counterparties and authorised clearing houses must ensure that the details of any derivative contract they have concluded and any modification or termination of the contract are reported to a trade repository. The details must be reported no later than the business day following the conclusion, modification or termination of the contract.

(5) Where a trade repository is not available to record the details of an over-the-counter derivative contract, counterparties and authorised clearing houses must ensure that such details are reported to the Centre.

(6) Maintaining a trade repository is not a separately regulated or market activity but may be carried on by an authorised market institution.

(7) The functions of a trade repository promote increased transparency and integrity of information, particularly for over-the-counter derivatives.

PART II

RULES APPLICABLE TO MARKET INSTITUTIONS OPERATING A FACILITY FOR INVESTMENT TOKENS

Technology and governance requirements

56. (1) Without limiting the generality of the technology resources requirements in sections 35 and 37, a market institution must—

(a) establish and maintain policies and procedures to ensure that any Distributed Ledger Technology (DLT) application used in connection with the facility operates on the basis of 'permissioned' access, such that it allows the operator to have and maintain adequate control over the persons who are permitted to access and update records held on that DLT application;

(b) establish and maintain adequate measures to ensure that the DLT application it uses, and the associated rules and protocols, contain—

(i) clear criteria governing persons who are permitted to access and update records for the purposes of trading or clearing Investment Tokens on the facility, including criteria about the integrity, credentials and competencies appropriate to the roles played by such person;

(ii) measures to address risks, including to network security and network compatibility, that may arise through systems used by persons permitted to update the records on the DLT application;

(iii) processes to ensure that the market institutions undertake sufficient due diligence and adequate monitoring of ongoing compliance, relating to the matters referred to in (i) and (ii); and

(iv) measures to ensure there are appropriate restrictions on the transferability of investment tokens in order to address Anti-money laundering (AML) and Countering the Financing of Terrorism (CFT) risks;

(c) ensure any DLT application used for its facility is fit for purpose; and

(d) have regard to industry best practices in developing its technology design and technology governance relating to DLT that is used by the facility.

(2) To be fit for purpose, the technology design of the DLT application used by a market institution operating a facility for investment tokens should be able to address how the rights and obligations relating to the investment tokens traded on that facility are properly managed and capable of being exercised or performed, for example, where an investment token confers rights and obligations substantially similar to those conferred by a share in a company, the DLT application would generally need to enable the management and exercise of the shareholder's rights, these may, for example, include the right to receive notice of, and vote in, shareholder meetings, receive any declared dividends and participate in the assets of the company in a winding up.

(3) To ensure the technology governance of any DLT application used on its facility is fit for purpose, a market institution should, as a minimum, have regard to the following:

(a) careful maintenance and development of the relevant systems and architecture in terms of its code version control, implementation of updates, issue resolution, and regular internal and third-party testing;

(b) security measures and procedures for the safe storage and transmission of data in accordance with agreed protocols;

(c) procedures to address changes in the protocol which result in modifications of or the splitting of the underlying distributed ledger into two or more separate ledgers, often referred to as a 'forks', whether or not the new protocol is backwards compatible with the previous version;

(d) procedures to deal with system outages, whether planned or not, and errors;

(e) decision-making protocols and accountability for decisions;

(f) procedures for establishing and managing interfaces with digital wallet service providers; and

(g) whether the protocols, smart contracts and other inbuilt features of the DLT application meet at least a minimum acceptable level of reliability and safety requirements, including to deal with a cyber or hacking attack, and how any resulting disruptions would be resolved.

(4) Credentials which indicate a person is suitable to update records for the purposes of trading or clearing investment tokens on the facility may include—

(a) accreditation by a recognised and reputable body to certify the requisite knowledge required; or

(b) accreditation by the relevant body to certify compliance with the relevant standards.

Operating facility for investment tokens that permits direct access

57. (1) A market institution must ensure that—

(a) it treats each direct access member as its client;

(b) its business rules are clearly set out—

(i) the duties owed by the market institution to the direct access member and how the market institution is held accountable for any failure to fulfil those duties; and

(ii) the duties owed by the direct access member to the market institution and how the direct access member is held accountable for any failure to fulfil those duties;

(c) appropriate investor redress mechanisms are available, and disclosed, to each member permitted to trade or clear investment tokens on its facility; and

(d) its facility contains a prominent disclosure of the risks associated with the use of DLT for trading and clearing investments, particularly those relating to digital wallets and the susceptibility of private cryptographic keys to misappropriation.

(2) Without limiting the generality of the systems and controls obligations of the market institution, a market institution must have in place adequate systems and controls to address market integrity, AML/CFT and investor protection risks in permitting a direct access member to access its facility, including procedures to—

(a) identify the ultimate beneficial owner of a direct access member, where the member is a body corporate;

(b) ensure that appropriate due diligence sufficient to address AML/CFT risks has been conducted on each direct access member, before permitting that member to access its facility;

(c) detect and address market manipulation and abuse; and

(d) ensure that there is adequate disclosure relating to the security tokens that are traded on the facility, through the prospectus and ongoing disclosure.

(3) A market institution must have adequate controls and procedures to ensure that trading in investment tokens by direct access members does not pose any risks to the orderly and efficient functioning of the facility's trading system, including controls and procedures to—

(a) mitigate counterparty risks that may arise from defaults by direct access members, through adequate collateral management measures, such as margin requirements, based on the settlement cycle adopted by the market institution;

(b) identify and distinguish orders that are placed by direct access members, and, if necessary, enable the market institution to stop orders of, or trading by, such direct access members;

(c) prevent direct access members from allowing any other persons to access the facility through that direct access member's access; and

(d) ensure that direct access members fully comply with the business rules of the facility and promptly address any gaps and deficiencies that are identified.

(4) A market institution must have adequate resources and mechanisms to carry out front-line monitoring of the trading activities of direct access members and must be able to deal with any threats to market integrity appropriately.

(5) A market institution must ensure that, to the extent that any of the systems and controls referred to in subsection (2) (a) are embedded within, or otherwise facilitated through, DLT, they must be included within the scope of the annual audit and written report required by section 59.

(6) When a market institution executes a transaction in investment tokens for a direct access member, the authorised market institution must comply with the requirements relating to confirmation notes.

Safe custody of investment tokens

58. (1) Without limiting the generality of sections 50 (2) and 51, where a market institution's obligations include making provision for the safeguarding and administration of investment tokens belonging to members and other participants on its facility, it must ensure that where its safe custody arrangements involve acting as a digital wallet service provider, it complies with the following requirements for firms providing custody of investment tokens.

(2) A digital wallet service provider must ensure that—

(a) any DLT applications it uses in providing custody of investment tokens are resilient, reliable and compatible with any relevant facility on which those investment tokens are traded or cleared;

(b) it has the ability to clearly identify and segregate investment tokens belonging to different clients; and

(c) it has in place appropriate procedures to enable it to confirm client instructions and transactions, maintain appropriate records and data relating to those instructions and transactions and to conduct a reconciliation of those transactions at appropriate intervals.

(3) A digital wallet service provider, in developing and using DLT applications and other technology to provide custody of investment tokens, must ensure that—

(a) the architecture of any digital wallets used adequately addresses compatibility issues and associated risks;

(b) the technology used and its associated procedures have adequate security measures, including cyber security to enable the safe storage and transmission of data relating to the investment tokens;

(c) the security and integrity of cryptographic keys are maintained through the use of that technology, taking into account the password protection and methods of encryption used;

(d) there are adequate measures to address any risks specific to the methods of usage and storage of cryptographic keys or their equivalent available under the DLT application used; and

(e) the technology is compatible with the procedures and protocols built into the operating rules or equivalent on any facility on which the investment tokens are traded or cleared, or both traded and cleared.

(4) Where it appoints a third-party digital wallet service provider to provide custody for investment tokens traded or cleared on its facility, that person is either—

(a) an authorised firm permitted to be a digital wallet service provider; or

(b) a firm that is regulated by a financial services regulator to an equivalent level as that provided for under the international financial services centre regime for digital wallet service providers.

Technology audit reports

59. (1) A market institution must—

(a) appoint a suitably qualified and independent third-party professional to carry out an annual audit of the market institution's compliance with the technology resources and governance requirements that apply to it and produce a written report which sets out the methodology and results of that annual audit;

(b) submit to the Centre a copy of the report referred to in paragraph (a) within four months of the market institution's financial year end; and

(c) be able to satisfy the Centre that the independent third-party professional who undertakes the annual audit has the relevant expertise to do so, including by reference to the due diligence undertaken by the market institution to satisfy itself of that fact.

(2) Where a market institution appoints a third-party professional for the purposes of subsection (1), a market institution is expected to ensure that the professional is suitably qualified.

(3) Credentials which indicate a qualified and independent third-party professional is suitable to conduct audits of technology governance may include—

(a) designation as a Certified Information Systems Auditor (CISA) or Certified Information Security Manager (CISM) by the Information Systems Audit and Control Association (ISACA); or

(b) designation as a Certified Information Systems Security Professional (CISSP) by the International Information System Security Certification Consortium (ISC); or

(c) accreditation by a recognised and reputable body to certify compliance with relevant ISO/IEC 27000 series standards; or

(d) accreditation by the relevant body to certify compliance with the Zimbabwean standards in the area of information (cyber) security.

PART III

RULES SPECIFIC TO AUTHORISED SECURITIES EXCHANGES

Fair and orderly trading

60. (1) An authorised securities exchange must ensure that it has transparent rules and procedures to provide for fair and orderly trading and to establish objective criteria for the efficient execution of orders.

(2) An authorised securities exchange must ensure that the risks to fair and orderly trading, arising from sharp price movements, are mitigated for derivatives.

(3) An authorised securities exchange may impose price limits in relation to a derivative to mitigate the risks to fair and orderly trading arising from sharp movements in the price of the derivative.

(4) An authorised securities exchange must, in respect of a commodity derivative, or other relevant derivative, implement position limits for the purposes of mitigating the risk of market abuse.

(5) Authorised securities exchanges shall—

(a) consider the impact on its derivative market from changes in the underlying market and set its position limits accordingly;

(b) ensure that its position limits are not exceeded by any member, its affiliates or other participant trading in the derivative, including through the acquisition of additional positions;

(c) require that its members and other participants report their positions on a regular basis and on the occurrence of certain relevant events;

(d) include provisions in its business rules which impose appropriate obligations on members and other participants, to ensure their compliance with its position limit obligations;

(e) immediately notify the Centre when a position limit threshold is exceeded, detailing—

(i) the reason why such a large position is being held;

(ii) how the holding of the position furthers the participant's or member's trading strategy; and

(iii) whether the position is being used for hedging and the relevant contracts being hedged against;

(f) on request by the Centre, immediately make available the information collected by the authorised securities exchange for the purposes of monitoring and enforcing the position limit obligations of its members and other participants; and

(g) have in place appropriate internal governance arrangements to ensure its position limits are effective in mitigating relevant risks, including the risks relating to market abuse.

Execution of orders

61. (1) An authorised securities exchange must have non-discretionary rules for the execution of orders.

(2) An authorised securities exchange must make available to the public, without any charges, data relating to the quality of execution of transactions on the authorised securities exchange on at least an annual

basis. Reports must include details about price, costs, speed and likelihood of execution for individual securities, units in a listed fund, derivatives, or environmental instruments.

Market-making arrangements

62. An authorised securities exchange must —

(a) have written agreements with all members pursuing a market-making strategy by using its facilities market-making agreements; and

(b) have schemes, appropriate to the nature and scale of a trading platform, to ensure that a sufficient number of members enter into market-making agreements which require them to post firm quotes at competitive prices, with the result of providing liquidity to the market on a regular and predictable basis; and

(c) monitor and enforce compliance with the market-making agreements;

(d) inform the Centre of the content of its market-making agreements; and

(e) provide the Centre with any information it requests, which it reasonably requires to satisfy itself that the market-making agreements are compliant with these regulations.

Trading controls

63. An authorised securities exchange must be able to—

(a) reject orders that exceed its pre-determined volume and price thresholds, or that are clearly erroneous;

(b) temporarily halt or constrain trading on its facilities if necessary or desirable to maintain an orderly market; and

(c) cancel, vary, or correct any order resulting from either –

(i) an erroneous order entry ;

(ii) the malfunctioning of the system of a member or of the authorised securities exchange; or

(iii) both circumstances referred to in subparagraphs (i) and (ii).

Tick size regimes

64. An authorised securities exchange must adopt a tick size regime in respect of each type of security, unit in a listed fund, derivatives, or environmental instruments traded on each trading platform operated by it. The tick size regime must—

(a) be calibrated to reflect the liquidity profile of such investments in different markets and the average bid-ask spread, taking into account the desirability of enabling reasonably stable prices without unduly constraining further narrowing of spreads; and

(b) be able to adapt the tick size for each such investment appropriately.

Short selling and position management

65. (1) An authorised securities exchange must have in place effective systems, controls and procedures to monitor and manage—

(a) short selling in shares, debentures and any other similar investments; and

(b) risks arising from position concentrations.

(2) For the purposes of subsection (1), an authorised securities exchange must have adequate powers over its members to mitigate the probability and impact of risk to the orderly functioning of its facilities arising from unsettled positions in securities, units in a listed fund, commodity derivatives, or environmental instruments.

(3) Short selling for the purposes of this section constitutes the sale of a share, debenture or other similar investments by a person who does not own the share, debenture or other similar investments at the point of entering into the contract to sell.

Liquidity incentive schemes

66. An authorised securities exchange must not introduce a liquidity incentive scheme or any other scheme for encouraging bids on a trading platform or to increase the volume of business transacted unless it has obtained the Centre's prior written approval for the scheme.

Settlement and clearing facilitation services

67. An authorised securities exchange must ensure that satisfactory arrangements are made for securing the timely discharge, whether by performance, compromise or otherwise, clearing and settlement of the rights and liabilities of the parties to transactions effected on the authorised securities exchange being rights and liabilities in relation to those transactions.

Admission to trading

68. An authorised securities exchange must make clear and transparent rules concerning the admission of securities, units in a listed fund, derivatives, or environmental instruments to trading on its facilities.

Content of admission to trading rules

69. (1) The rules of an authorised securities exchange must ensure that—

(a) securities, units in a listed fund, derivatives, or environmental instruments admitted to trading on an authorised securities exchange's facilities are capable of being traded in a fair, orderly and efficient manner;

(b) securities, units in a listed fund, or environmental instruments admitted to trading on an authorised securities exchange's facilities are freely negotiable; and

(c) in case of derivatives—

(i) contracts for derivatives admitted to trading on an authorised securities exchange's facilities are designed so as to allow for their orderly pricing as well as for the existence of effective settlement conditions; and

(ii) the rules and procedures must promote transparency by ensuring that there is sufficient information made available to the markets relating to the terms and conditions of the derivative contracts traded on its facilities including, where relevant, information relating to delivery and pricing of derivative contracts.

(2) The authorised securities exchange shall, when assessing whether a security, unit in a listed fund, derivative or environmental instrument is capable of being traded in a fair, orderly and efficient manner take into account, depending on the nature of the security, unit in a listed fund, derivative or environmental instrument being admitted, whether the following criteria are satisfied:

(a) the terms of the security, unit in a listed fund, derivative or environmental instrument are clear and unambiguous and allow for a correlation between the price of the security, unit in a listed fund, derivative or environmental instrument and the price or other value measure of the underlying;

(b) the price or other value measure of the underlying is reliable and publicly available or ascertainable; and

(c) there is sufficient information publicly available or ascertainable of a kind needed to value the security, unit in a listed fund, derivative or environmental instrument.

Derivative contract design specifications

70. (1) An authorised securities exchange must ensure, where appropriate, that the commodity derivative contracts have terms and conditions which—

(a) promote price discovery of the underlying commodity;

(b) ensure, to the extent possible, that there is a correlation to the operation of the physical market in the underlying commodity;

(c) include contract delivery specifications which address matters specified in the Second Schedule; and

(d) provide for legally enforceable settlement and delivery procedures.

(2) For the purposes of meeting the requirement in subsection (1) (c), an authorised securities exchange must include in its business rules contract design specifications relating to derivative contracts traded on its facilities which, at a minimum, include—

(a) minimum price fluctuations (price ticks);

(b) maximum price fluctuations (daily price limits), if any;

(c) last trading day;

(d) settlement or delivery procedures as applicable;

(e) trading months;

(f) position limits, if any;

(g) reportable levels; and

(h) trading hours.

Ongoing review of derivative contracts

71. (1) An authorised securities exchange must—

(a) establish and implement clear procedures relating to the development and review of contract design for derivative contracts traded on its facilities;

(b) have an adequate process through which the views of potential users of derivative contracts can be taken into account when developing and reviewing contract design for derivative contracts;

(c) have adequate powers which enable it to eliminate contractual terms which produce, or are likely to produce, manipulative or disorderly conditions in the markets generally, or in relation to the particular class or type of derivative contracts; and

(d) have adequate mechanisms to monitor and evaluate whether the settlement procedures reflect the underlying physical market and promote a reliable pricing relationship between the two markets.

(2) When assessing whether an authorised securities exchange's rules and procedures are adequate, the Centre may consider, among other things—

(a) the criteria adopted by the authorised securities exchange for derivative contracts to be traded on its facilities;

(b) what powers the authorised securities exchange has in order to eliminate manipulative or disorderly conduct, including powers to vary, remove or rescind conditions of any derivative contracts already traded where these are found to cause manipulative or disorderly conditions; and

(c) what mechanisms are established by the authorised securities exchange to monitor and review market activities relating to derivative contracts traded on its facilities.

(3) When designing and reviewing the design of commodity derivative contracts, an authorised securities exchange should consider the following physical market characteristics, including differences within a commodity market with regard to the commodity in question—

(a) size and structure of the physical market;

(b) commodity characteristics such as grade, quality, weight, class, growth, origin, source;

(c) historical patterns of production, consumption and supply, including seasonality, growth, market concentration in the production chain, domestic or international export focus and logistics;

(d) extent of distribution or dispersal of production and consumption of the underlying physical commodity among producers, merchants and consumers;

(e) the liquidity of the underlying physical market;

(f) the spot market pricing system, including transparency, availability, reliability and frequency of cash pricing;

(g) price volatility; and

(h) the existence of price controls, embargoes, export restrictions or other regulations or controls affecting the price or supply of the underlying physical commodity.

(4) When assessing whether a contract for a derivative contains effective settlement conditions, the authorised securities exchange should take into account, depending on the nature of the derivative being admitted, whether the following criteria are satisfied:

(a) the arrangements for determining the settlement price of the derivative ensure that this price properly reflects the price or other value measure of the relevant underlying investment;

(b) where the settlement of the derivative requires or provides for the possibility of the delivery of an underlying investment or asset rather than cash settlement, there are adequate settlement and delivery procedures for that underlying investment, as well as adequate arrangements to obtain relevant information about that underlying investment.

(c) appropriate supervisory arrangements are in place to monitor trading and settlement in such derivatives; and

(d) settlement and delivery, whether physical delivery or by cash settlement, can be effected in accordance with the contract terms and conditions of those derivatives.

Use of price information provider

72. (1) An authorised securities exchange may admit to trading or trade on its facilities investments the value of which is determined by reference to an underlying benchmark or index provided by a price information provider where it has undertaken appropriate due diligence to ensure that the price information provider, on an on-going basis, meets the requirements set out in subsection (2).

(2) For the purposes of subsection (1), the price information provider must—

(a) have fair and non-discriminatory procedures for establishing prices of investments, which are made public;

(b) demonstrate adequate and appropriate transparency over the methodology, calculation and inputs to allow users to understand how the benchmark or index is derived and its potential limitations;

(c) where appropriate, give priority to concluded transactions in making assessments and adopt measures to minimise selective reporting;

(d) be of good standing and repute as an independent and objective price reporting agency or index provider;

(e) have a sound corporate governance framework;

(f) have adequate arrangements to avoid its staff having any conflicts of interest where such conflicts are, or are likely to have, a material adverse impact on the price establishment process; and

(g) adequate complaint resolution mechanisms to resolve any complaints about the price information provider’s assessment process and methodology.

Undertaking to comply with centre rules

73. An authorised securities exchange shall not admit securities, units in a listed fund, derivatives, or environmental instruments to trading unless the person who seeks to have such investments admitted to trading—

(a) gives an enforceable undertaking to the Centre to submit unconditionally to the jurisdiction and laws of the international financial services centre in relation to any matters which arise out of or which relate to its use of the facilities of the market institution, and the Centre;

(b) appoints and maintains at all times, an agent for service of process in the international financial service centre and requires such agent to accept its appointment for service of process.

Verification of compliance by issuers

74. An authorised securities exchange must maintain effective arrangements to verify that issuers of securities, units in a listed fund or derivatives admitted to trading on a regulated market operated by it comply with its rules.

Arrangements for access to information

75. An authorised securities exchange must maintain arrangements to assist users of a market operated by it to obtain access to information made public under the market rules.

Suspending or removing from trading

76. (1) The rules of an authorised securities exchange must provide that the authorised securities exchange has the power to suspend or remove from trading on its facilities any securities, units in a listed fund, derivatives, or environmental instruments which no longer comply with its rules.

(2) An authorised securities exchange may not suspend or remove from trading on its facilities any security, unit in a listed fund, derivative, or environmental instrument which no longer complies with its rules, where such a step would be likely to cause significant damage to the interests of investors or the orderly functioning of the financial markets.

(3) Where the authorised securities exchange suspends or removes investment from trading on its facilities, it must also suspend or remove from trading on its facilities any derivative that relates to or is referenced to that investment, where that is required to support the objectives of the suspension or removal of trading of that investment.

(4) Where the authorised securities exchange suspends or removes any security, unit in a listed fund, derivative, or environmental instrument from trading on its facilities, including any derivative in accordance with subsection (3), it must immediately notify the Centre and make that decision public.

(5) Where the authorised securities exchange, lifts a suspension or re-admits any security, unit in a listed Fund, derivative, or environmental instrument to trading on its facilities, including any derivative suspended or removed from trading in accordance with subsection (3), following a decision made under subsection (1), it must notify the Centre and make that decision public.

Transparency

77. (1) An authorised securities exchange must make available to the public on a continuous basis during normal trading hours the current bid and offer prices of securities, units in a listed fund, derivative, or environmental instrument traded on its systems and the depth of trading interests at those prices.

(2) The disclosure required by subsection (1) would depend on the type of trading system employed, including continuous auction order-book, quote-driven, periodic auction and hybrid trading systems.

(3) An authorised securities exchange should discuss its proposals for compliance with this requirement with the Centre.

(4) The Centre may waive or modify the requirement in respect of certain types of order, transaction, trading system or types of Investment, including large orders and illiquid instruments.

(5) An authorised securities exchange must make available to the public in as close to real-time as technically possible the price, volume and time of the transactions executed in respect of securities, units in a listed Fund, derivatives, or environmental instruments traded on its facilities.

(6) Subject to section 28, an authorised securities exchange may delegate its provision of post-trade information to a regulatory news service or similar third-party entity.

Default management

78. (1) An authorised securities exchange must have legally enforceable default rules which, in the event of a member or other participant on the facility of the authorised securities exchange being or appearing to be unable to meet his obligations in respect of one or more market contracts—

(a) enable it to suspend or terminate such membership or other participation and cooperate by sharing information with its authorised clearing house or recognised non-International Financial Services Centre clearing house, and

(b) enable action to be taken in respect of unsettled market contracts to which that member or other participant is a party.

(2) The authorised securities exchange must immediately issue a public notice on its website in respect of any member or other participant whose membership or other participation is suspended or terminated in accordance with this section.

(3) The authorised securities exchange must cooperate, by the sharing of information and otherwise, with the Centre, any relevant office-holder and any other authority or body having responsibility for any matter arising out of, or connected with, the default of a member or other participant of the authorised securities exchange or the default of an authorised clearing house or another authorised securities exchange.

Listing rules

79. (1) An authorised securities exchange wishing to admit securities, units in a listed fund or derivatives to its own official list must—

(a) have listing rules which comply with the requirements of this section; and

(b) ensure that its listing rules are approved by the Centre.

(2) Any amendment to an authorised securities exchange's listing rules must, prior to the amendment becoming effective, have been—

(a) made available for a reasonable period of time to the market for consultation; and

(b) approved by the Centre.

(3) In urgent cases, the Centre may, on written application by the authorised securities exchange, dispense with the requirements.

(4) The listing rules of an authorised securities exchange must include requirements relating to—

(a) procedures for admission of securities, units in a listed fund or derivatives to its official list, including—

(i) requirements to be met before such investments may be granted admission to an official list; and

(ii) agreements in connection with admitting such investments to an official list.

(b) procedures for suspension and delisting of securities, units in a listed fund or derivatives from an official list;

(c) the imposition on any person of obligations to observe specific standards of conduct or to perform, or refrain from performing, specified acts, reasonably imposed in connection with the admission of securities, units in a listed fund or derivatives to an official list or continued admission of such investments to an official list;

(d) penalties or sanctions which may be imposed by the authorised securities exchange for a breach of the listing rules;

(e) procedures or conditions which may be imposed, or circumstances which are required to exist, in relation to matters which are provided for in the listing rules;

(f) actual or potential conflicts of interest that have arisen or might arise when a person seeks to have securities, units in a listed fund or derivatives admitted to an official list; and

(g) such other matters as are necessary or desirable for the proper operation of the listing rule process and the market.

(5) The listing rules must ensure that the contract for a derivative that is to be traded on an authorised securities exchange is designed so that the derivative can be priced in an orderly way and settled effectively, and meet the requirements of derivative contracts specified in its business rules.

(6) An authorised securities exchange must publish and make freely available its listing rules.

(7) Where an authorised securities exchange has made any amendments to its listing rules, it must have adequate procedures for notifying users of such amendments.

Compliance with listing rules

80. (1) An authorised securities exchange which is permitted to maintain an official list must ensure the function is properly operated.

(2) An authorised securities exchange must have procedures in place to ensure that—

(a) its listing rules are monitored and enforced; and

(b) complaints regarding persons subject to the listing rules are investigated.

(3) An authorised securities exchange must ensure that—

(a) where appropriate, disciplinary action can be carried out, and financial and other types of penalties can be imposed on persons subject to the listing rules; and

(b) adequate appeal procedures are in place.

(4) An authorised securities exchange must immediately notify the Centre of any decision to suspend, restore from suspension or de-list any securities or units in a listed fund or derivatives from its official list and the reasons for the decision.

Undertaking to comply with Centre rules

81. An authorised securities exchange may not admit securities, units in a listed fund or derivatives to an official list unless the issuer of such investments—

(a) gives an enforceable undertaking to the Centre to submit unconditionally to the jurisdiction of the Centre in relation to any matters which arise out of or which relate to its use of the facilities of the market institution.

(b) appoints and maintains at all times, an agent for service of process in the International Financial Services Centre and requires such agent to accept its appointment for service of process.

PART IV

AUTHORISED CLEARING HOUSES

Admission to clearing

82. (1) An authorised clearing house must have clear and objective criteria included in its rules according to which investments can be cleared or settled on its facilities.

(2) In the case of a derivative contract, an authorised clearing house must have regard to—

(a) the degree of standardisation of the contractual terms and operational processes of the derivative contract;

(b) the volume and liquidity of the derivative contract; and

(c) the availability of fair, reliable and generally accepted pricing information in the derivative contract.

Risk management

83. (1) An authorised clearing house must have a comprehensive risk management framework that is, detailed policies, procedures and systems capable of managing legal, credit, liquidity, operational and other risks to which it is exposed.

(2) The risk management framework must—

(a) encompass a regular review of material risks to which the clearing house is exposed and the risks posed to other market participants resulting from its operations; and

(b) be subject to periodic review by its board as appropriate to ensure that it is effective and operating as intended.

Safeguards for investors

84. An authorised clearing house must ensure that—

(a) access to its facilities is subject to criteria designed to protect the orderly functioning of those facilities and the interests of investors;

(b) its clearing services involve satisfactory arrangements for securing the timely discharge, whether by performance, compromise or otherwise, of the rights and liabilities of the parties to transactions in respect of which it provides such services, being rights and liabilities in relation to those transactions;

(c) satisfactory arrangements are made for recording transactions which are cleared or to be cleared by means of its facilities; and

(d) appropriate measures are adopted to reduce the extent to which the clearing house's facilities can be used for a purpose connected with market abuse or financial crime, and to facilitate their detection and monitor their incidence.

Loss allocation

85. An authorised clearing house must maintain effective arrangements which may include rules for ensuring that losses that—

(a) arise otherwise than as a result of a default of a member of the authorised clearing house; and

(b) threaten the authorised clearing house’s solvency;

(c) are allocated with a view to ensuring that the authorised clearing house can continue to provide its activities.

Credit risk

86. (1) An authorised clearing house must establish a robust framework to manage its credit exposures to its participants and the credit risks arising from its payment, clearing and settlement processes.

(2) An authorised clearing house operating a payment system or securities settlement system must cover its current and, where they exist, potential future exposures to each participant fully with a high degree of confidence using collateral and other equivalent financial resources.

(3) An authorised clearing house operating as a central counterparty must—

(a) cover its current and potential future exposures to each participant fully with a high degree of confidence using margin and other pre-funded financial resources;

(b) perform stress tests on a regular basis as appropriate to the nature, scale and complexity of its operations, using models containing standards and predetermined parameters and assumptions;

(c) at least monthly and more frequently if the securities or units in a listed fund cleared or markets served display high volatility, become less liquid, or when the size or concentration of positions held by its participants increase significantly, carry out a comprehensive and thorough analysis of stress testing models, scenarios, and underlying parameters and assumptions used to ensure that they are appropriate for determining the required level of default protection in light of current and evolving market conditions; and

(d) at least annually, conduct an independent review and validation of its financial risk management models.

Collateral

87. (1) An authorised clearing house which requires collateral to manage its own, its members' or other participants' credit risks arising in the course of or for the purposes of its payment, clearing, and settlement processes must—

(a) only accept collateral with low credit, liquidity, and market risks; and

(b) set and enforce appropriately conservative haircuts ad concentration limits.

(2) An authorised clearing house must, for the purposes of meeting the requirement in subsection (1), establish and implement a collateral management system that is well designed and operationally flexible. Such a system must, at a minimum—

(a) limit the assets it accepts as collateral to those with low credit, liquidity, and market risks;

(b) establish prudent valuation practices and develop haircuts that are regularly tested and take into account stressed market conditions;

(c) reduce the need for procyclical adjustments, establish, to the extent practicable and prudent, stable and conservative haircuts that are calibrated to include periods of stressed market conditions;

(d) avoid concentrated holdings of certain assets where that would significantly impair the ability to liquidate such assets quickly without significant adverse price effects; and

(e) mitigate the risks associated with such use if it accepts cross-border collateral. Such measures must ensure that the collateral can be used in a timely manner.

Margin

88. An authorised clearing house operating as a central counterparty must—

(a) have a margin system which establishes margin levels commensurate with the risks and particular attributes of each product, portfolio, and market it serves;

(b) use a reliable source of timely price data for its margin system;

(c) have procedures and sound valuation models for addressing circumstances in which pricing data are not readily available or reliable;

(d) adopt initial margin models and parameters that are risk-based and generate margin requirements sufficient to cover its potential future exposure to participants in the interval between the last margin collection and the close-out of positions following a participant default;

(e) mark participant positions to market and collect variation margin at least daily to limit the build-up of current exposures;

(f) ensure that it has the authority and operational capacity to make intraday margin calls and payments, both scheduled and unscheduled, to participants;

(g) analyse and monitor its model performance and overall margin coverage by conducting rigorous daily back testing and at least monthly, and more frequently where appropriate, sensitivity analysis; and regularly review and validate its margin system.

Liquidity risk

89. (1) An authorised clearing house must—

(a) have a robust framework to manage its liquidity risks from its participants, settlement banks, nostro agents, custodian banks, liquidity providers, and other entities;

(b) have effective operational and analytical tools to identify, measure, and monitor its settlement and Funding flows on an ongoing and timely basis, including its use of intraday liquidity;

(c) regularly test the sufficiency of its liquid resources through rigorous stress testing; and

(d) establish explicit rules and procedures that enable the authorised clearing house to effect same-day and, where appropriate, intraday and multiday settlement of payment obligations on time following any individual or combined default among its participants.

(2) An authorised clearing house operating a payment system or securities settlement system must maintain sufficient liquid resources in all relevant currencies to effect same- day settlement, and where appropriate intraday or multiday settlement, of payment obligations with a high degree of confidence under a wide range of potential stress scenarios that should include, but not be limited to, the default of the participant and its affiliates that would generate the largest aggregate payment obligation in extreme but plausible market conditions.

(3) An authorised clearing house operating as a central counterparty must maintain sufficient liquid resources in all relevant currencies to settle securities-related payments, make required variation margin payments, and meet other payment obligations on time with a high degree of confidence under a wide range of potential stress scenarios that should include, but not be limited to, the default of the participant and its affiliates that would generate the two largest aggregate payment obligations to the authorised clearing house in extreme but plausible market conditions.

Settlement

90. (1) An authorised clearing house must have rules and procedures which clearly define

(a) the point at which settlement is final according to the relevant rules; and

(b) the point after which unsettled payments, transfer instructions, or other obligations may not be cancelled by a participant.

(2) An authorised clearing house must complete final settlement no later than the end of the value date.

(3) Notwithstanding subsection (1), a settlement by an authorised clearing house is final, irrevocable and binding and may not under any circumstances be reversed or avoided after—

(a) an amount of money is credited to or debited from a depository account; or

(b) an investment approved for admission to the depository is credited to or debited from a depository account.

(4) Notwithstanding subsection (1), transfer instructions and settlement are legally enforceable and, even in the event of insolvency proceedings against a participant, shall be binding on third parties, provided that transfer instructions were entered into a system before the moment of opening of such insolvency proceedings. Where, exceptionally, transfer instructions are entered into a system after the moment of opening of insolvency proceedings and are carried out on the day of opening of such proceedings, they shall be legally enforceable and binding on third parties only if, after the time of settlement, the authorised clearing house can prove that it was not aware, nor should have been aware, of the opening of such proceedings.

(5) For the purpose of (4), the moment of opening of insolvency proceedings shall be the moment when the relevant judicial or administrative authority handed down its decision.

Money settlement

91. (1) Where practical, an authorised clearing house must conduct its money settlements in central bank and commercial bank money.

(2) Where a clearing house conducts its money settlements using commercial bank money, it must—

(a) adopt appropriate measures to minimise and strictly control the credit and liquidity risk arising from such use;

(b) ensure that its legal agreements with any settlement banks, at a minimum—

(i) specify clearly when transfers on the books of individual settlement banks are expected to occur and when they are final; and

(ii) ensure that funds received are transferable as soon as possible, if not intra-day, at least before the end of the payment day, to enable it and its members and other participants on its facilities to manage their credit and liquidity risks.

Physical delivery

92. (1) An authorised clearing house must—

(a) have rules and procedures which clearly state its obligations with respect to the delivery of physical instruments or commodities; and

(b) identify, monitor, and manage the risks and costs associated with the storage and delivery of physical instruments or commodities.

(2) A clearing house must have adequate arrangements, including service agreements, which enable it to meet its physical delivery obligations.

(3) Where an authorised clearing house matches participants that have delivery and receipt obligations, the authorised clearing house would not need to be involved with the physical storage and delivery process, but it should monitor the participants' performance and, to the extent practicable, ensure the participants have the necessary systems and resources to be able to fulfil their physical delivery obligations.

(4) The legal obligations for delivery should be clearly expressed in the clearing rules, default rules, and any related agreements, including provisions to specify—

(a) whether the receiving participant should seek compensation from the authorised clearing house or the delivering participant in the event of a loss; and

(b) if the authorised clearing house holds margin on the matched participants, such margin would only be released when the authorised clearing house confirms that both participants have fulfilled their obligations.

Central securities depositories and exchange-of-value settlement systems

93. An authorised clearing house acting as a central securities depository must—

(a) have appropriate rules, procedures, and controls, including robust accounting practices, to safeguard the rights of issuers and holders of securities, units in a listed fund, derivatives, or environmental instruments, prevent the unauthorised creation or deletion of securities, units in a listed fund, derivatives, or environmental instruments, and conduct periodic and at least daily reconciliation of its records of assets it maintains;

(b) prohibit overdrafts and debit balances in accounts of securities, units in a listed fund, derivatives, or environmental instruments;

(c) maintain securities, units in a listed fund, derivatives, or environmental instruments in an immobilised or dematerialised form for their transfer by book entry;

(d) protect assets against custody risk through appropriate rules and procedures consistent with its legal framework;

(e) ensure segregation between the central securities depository's own assets and the

securities of its participants and segregation among the securities of participants; and

(f) identify, measure, monitor, and manage its risks from other activities that it may perform.

Central security depository links

94. (1) A Central Securities Depository (CSD) must not establish any link with another CSD link unless—

(a) it has—

(i) prior to establishing the CSD link, identified and assessed potential risks for itself and its members and other participants using its facilities, arising from establishing such a link;

(ii) adequate systems and controls to effectively monitor and manage, on an ongoing basis, risks identified under paragraph (a); and

(iii) complied with the requirement in (2); and

(b) it is satisfied, on reasonable grounds, that the contractual arrangement establishing the CSD link—

(i) provides to the CSD and its members and other participants using its facilities adequate protection relating to possible risks arising from using the other CSDs to which it is linked (linked CSDs);

(ii) in the case of a provisional transfer of securities between the CSD and linked CSDs, ensure intra-day finality by prohibiting the retransfer of securities before the first transfer of securities becomes final;

(iii) sets out the respective rights and obligations of the CSD and linked CSDs and their respective members and other participants using their facilities; and

(iv) in the case of a linked CSD outside the international financial services centre, sets out clearly the applicable laws that govern each aspect of the CSD's and the linked CSD's operations.

(2) The CSD must be able to demonstrate to the Centre, prior to the establishment of any CSD link, that—

(a) the link arrangement between the CSD and all linked CSDs contains adequate mitigants against possible risks taken by the relevant CSDs, including credit, concentration and liquidity risks, as a result of the link arrangement;

(b) each linked CSD has robust daily reconciliation procedures to ensure that its records are accurate;

(c) if it or another linked CSD uses an intermediary to operate a link with another CSD, the CSD or the linked CSD has adequate systems and controls to measure, monitor, and manage the additional risks arising from the use of the intermediary;

(d) to the extent practicable and feasible, linked CSDs provide for delivery versus payment (DVP) settlement of transactions between participants in linked CSDs, and where such settlement is not practicable or feasible, reasons for non-DVP settlement are notified to the Centre before the link is approved; and

(e) where interoperable securities settlement systems and CSDs use a common settlement infrastructure, there are—

(i) identical moments established for the entry of transfer orders into the system;

(ii) irrevocable transfer orders; and

(iii) finality of transfers of securities and cash.

Exchange-of-value settlement systems

95. An authorised clearing house operating an exchange-of-value settlement system must eliminate principal risk by ensuring that the final settlement of one obligation occurs if and only if the final settlement of the linked obligation also occurs, regardless of whether the authorised clearing house settles on a gross or net basis and when finality occurs.

Default rules in respect of market contracts

96. (1) An authorised clearing house must have default rules which, in the event of a member of the authorised clearing house being or appearing to be unable to meet his obligations in respect of one or more market contracts, enable action to be taken to close out his position in relation to all unsettled market contracts to which he is a party.

(2) The rules may authorise the taking of the same or similar action where a member appears to be likely to become unable to meet his obligations in respect of one or more market contracts.

(3) If an authorised clearing house has arrangements for transacting business with, or in relation to common members of, another market institution, it must have default rules which enable action to be taken

in respect of unsettled market contracts to which that authorised market institution is a party in the event of the market institution being or appearing to be unable to meet its obligations in respect of one or more market contracts.

(4) The default rules of an authorised clearing house must clearly define and specify—

(a) circumstances which constitute a default, addressing both financial and operational default, and how the different types of default may be treated by the authorised clearing house;

(b) the method for identifying a default including any automatic or discretionary default scenarios, and how the discretion is exercised in any discretionary default scenarios;

(c) potential changes to the normal settlement practices in a default scenario;

(d) the management of transactions at different stages of processing;

(e) the expected treatment of proprietary and client transactions and accounts;

(f) the probable sequencing of actions that the authorised clearing house may take;

(g) the roles, obligations and responsibilities of various parties, including the authorised

clearing house, the defaulting member and non-defaulting participants;

(h) how to address the defaulting member's obligations to clients;

(i) how to address the allocation of any credit losses it may face as a result of any individual or combined default among its participants with respect to their obligations to the authorised clearing house and how stress events are dealt with; and

(j) any other mechanisms that may be activated to contain the impact of a default, including—

(i) a default contribution fund, whereby defaulting and non-defaulting members or participants' pre-funded contributions to the default contribution fund are applied to cover the losses or shortfall arising on a default on the basis of a predetermined order of priority;

(ii) a resolution regime of the defaulting participant, involving "porting"; or

(iii) transferring the open positions and margin related to client transactions to a non-defaulting participant, receiver, third party or bridge financial company; and

(k) for all remaining rights and liabilities of the defaulter under or in respect of unsettled market contracts to be discharged and for there to be paid by or to the defaulter such sum of money if any as may be determined in accordance with the rules, by offsetting all relevant rights, assets and liabilities on the relevant account; and

(l) for the certification by or on behalf of the authorised clearing house of the sum finally payable or, as the case may be, of the fact that no sum is payable, separately for each account of the defaulter; and

(m) the authorised clearing house's segregation and portability arrangements, including the method for determining the value at which client positions will be transferred; and

(n) provisions ensuring that losses that arise as a result of the default of a member of the authorised clearing house or threaten the authorised clearing house's solvency are allocated with a view to ensuring that the authorised clearing house can continue to provide the services and carry on the activities specified in its recognition order.

Notification to other parties affected and cooperation with other authorities

97. (1) An authorised clearing house must have adequate arrangements for ensuring that parties to unsettled market contracts with a defaulter are notified as soon as reasonably practicable of the default and of any decision taken under the rules in relation to contracts to which they are a party.

(2) An authorised clearing house must cooperate, by the sharing of information and otherwise, with the Centre and any other authority or body having responsibility for any matter arising out of or connected with the default of a member of the authorised clearing house or the default of another authorised clearing house or an authorised securities exchange.

Margin

98. (1) The rules of an authorised clearing house must provide that in the event of a default, margin provided by the defaulter for his own account is not to be applied to meet a shortfall on a client account other than a client account of the defaulter.

(2) This rule is without prejudice to the requirements of any rules relating to clients' money made by the Centre.

(3) For the purposes of this rule, "client account of the defaulter" means an account held by the authorised clearing house in the name of the defaulter in which transactions effected by the defaulter have been recorded.

Segregation

99. (1) An authorised clearing house acting as a central counterparty must have systems and procedures to enable segregation and portability of positions of the customers of its members and other participants on its facilities, and any collateral provided to it with respect to those positions.

(2) For the purposes of subsection (1), an authorised clearing house's systems and controls must, at a minimum, provide for the following—

(a) the segregation and portability arrangements that effectively protect the positions and related collateral of the customers of the members or other participants on its facilities from the default or insolvency of the relevant member or other participants;

(b) if the authorised clearing house offers additional protection of the customer positions and related collateral against the concurrent default of both the relevant member or other participants or other customers, the adoption of necessary measures to ensure that the additional protection offered is effective; and

(c) the use of account structures that enable the authorised clearing house to readily identify positions of the customers of the relevant member or other participant, and to segregate their related collateral.

(3) An authorised clearing house acting as a central counterparty must make available to its members and other participants using its facilities, its rules, policies and procedures relating to the segregation and portability of the positions and related collateral of the customers of its members and other participants using its facilities.

PART V

SUPERVISION OF MARKET INSTITUTIONS

Information and notifications

100. (1) The Centre may, by notice in writing, require a market institution or any person who is connected to the market institution to provide or produce specified information or information of a specified description, at a specified place and before the end of a reasonable period, in such form and with such verifications or authentications as it may reasonably require.

(2) A person is connected with a market institution if he is or has at any relevant time been—

(a) a member of the market institution's group;

(b) a controller of the market institution;

(c) a member of the board of the market institution; or

(d) any other member of a partnership of which the authorised market institution is a member.

Ongoing notification obligations

101. (1) A market institution must deal with the Centre in an open and co-operative manner and keep the Centre promptly informed of significant events or activities, wherever they are carried on, relating to the market institution, of which the Centre would reasonably expect to be notified, including but not limited to, any matters that might impair the authorised market institution's ability to discharge its regulatory functions.

(2) A market institution must –

(a) advise the Centre immediately if it becomes aware, or has reasonable grounds to believe, that a significant breach by the authorised market institution or any of its employees of a rule or any other requirement imposed by the Centre may have occurred or may be about to occur.

(b) advise the Centre immediately if it becomes aware, or has reasonable grounds to believe, that a significant breach by any person of its business rules may have occurred or may be about to occur.

(3) A market institution must give notice to the Centre in the following circumstances, setting out written particulars of the matters concerned and any relevant dates:

(a) where a market institution is to circulate any notice or other document proposing any amendment to its memorandum or articles of association or other document relating to its constitution, to—

(i) its shareholders or any group or class of them;

(ii) persons granted access to its facilities or any group or class of them; or

(iii) any other group or class of persons which has the power to make that amendment or whose consent or approval is required before it may be made;

(b) where a market institution makes an amendment to its memorandum or articles of association, or other document relating to its constitution.

(c) where any significant change is made to an agreement which relates to the constitution or to the corporate governance framework or the remuneration structure or strategy of the market institution.

(d) where a market institution has investigated a complaint arising in connection with the performance of, or failure to perform, any of its regulatory functions, and the conclusion is that the market institution should—

(i) make a compensatory payment to any person; or

(ii) remedy the matter, which was the subject of that complaint,

(4) The market institution must immediately notify the Centre of that event and give the Centre a copy of the report and particulars of the recommendation as soon as that report or those recommendations are available to it.

(5) Where an authorised securities exchange proposes to suspend or remove from trading or admit to trading, by means of its facilities, a class of security, unit in a listed fund, derivative, or environmental instrument which it has not previously traded, but is licensed to do so, it must immediately give the Centre notice of that event, at the same time as the proposal is communicated to persons granted access to its facilities or shareholders, with the following information—

(a) a description of the investment to which the proposal relates;

(b) the name of any clearing or settlement facility in respect of that investment;

(c) where that investment is a derivative, the proposed terms of that derivative.

Notification of removal from or admission to clearing

102. Where an authorised clearing house proposes to cease clearing or settling, or to commence clearing or settling, by means of its facilities, a class of security, unit in a listed fund, commodity derivative, or environmental instrument which it has not previously cleared or settled, but is licensed to do so, it must give the Centre notice of that event, at the same time as the proposal is communicated to persons granted access to its facilities or shareholders, with the following information—

(a) a description of the investment to which the proposal relates; and

(b) the name of any trading facility in respect of that investment.

Annual financial statements

103. A market institution must give the Centre—

(a) a copy of its audited annual financial statements; and

(b) a copy of any audited consolidated annual financial statements of any group of which the authorised market institution is a member, no later than when the first of the following events occurs:

(i) four (4) months after the end of the financial year to which the document relates;

(ii) the time when the documents are sent to persons granted access to the facilities or shareholders of the market institution; or

(iii) the time when the document is sent to a holding company of the market institution.

Audit committee reports

104. (1) Where an audit committee of a market institution has received a report in relation to any period or any matter relating to any regulatory functions of that market institution, the market institution must immediately give the Centre a copy of that report.

(2) The Centre may by rule or guidance material, provide for the nature of the matters to which subsection (1) applies.

Quarterly management accounts

105. A market institution must give the Centre a copy of its quarterly management accounts within one (1) month of the end of the period to which they relate.

Forward-looking estimates

106. (1) A market institution must give the Centre—

(a) a statement of its anticipated income, expenditure and cash flow for each financial year; and

(b) an estimated balance sheet showing its position as it is anticipated at the end of each financial year, at least fifteen (15) days before the beginning of that financial year.

(2) The Centre may, in its own instance, waive the requirement in subsection (1).

Fees and charges

107. A market institution must give the Centre a summary of—

(a) any proposal for changes to the fees or charges levied on users of its facilities, or any group or class of them, at the same time as the proposal is communicated to the relevant users; and

(b) any such change, no later than the date when it is published and notified to relevant parties.

PART VI

RULES APPLICABLE TO AN AUTHORISED CROWDFUNDING PLATFORM

Application of Part

108. (1) In this Part —

"accredited lender or accredited investor" means—

(a) in respect of a loan crowdfunding platform, any natural person who lends or intends to lend for a total consideration of at least one hundred thousand United States Dollars (US$100,000) or an equivalent amount in another currency per borrower across one or more permitted loans in any twelve-month period; or

(b) in respect of an investment crowdfunding platform, any natural person who acquires or intends to acquire permitted investments for a total consideration of at least one hundred thousand United States Dollars ($100,000) or an equivalent amount in another currency per issuer across one or more offers in any twelve month period; or

(c) an authorised person; or

(d) a body corporate.

(2) The terminology used in this Part varies according to the type of authorised crowdfunding platform—

(a) "borrower", “debenture”, "lender", "loan" and "permitted loan" for loan crowdfunding platform; and

(b) "issuer", "investor", "investment" and "permitted investment" for an investment crowdfunding platform.

(3) Sections 109 and 134 apply to all authorised crowdfunding platforms unless specified otherwise.

Permissible activities

109. (1) An authorised crowdfunding platform may apply to the Centre to carry on one or more of the following regulated and market activities—

(a) dealing in investments as agent;

(b) arranging custody;

(c) arranging deals in investments;

(d) operating a representative office;

(e) providing credit;

(f) arranging a credit facility;

(g) providing money services; and

(h) operating a digital asset trading facility.

(2) An investment crowdfunding platform may facilitate a person investing in the following kinds of investments ("permitted investments") through the investment crowdfunding platform:

(a) shares; and

(b) units.

(3) A loan crowdfunding platform may facilitate a person investing in the following kinds of loans ("permitted loans") through the loan crowdfunding platform—

(a) loans;

(b) debentures; and

(c) other financial accommodation.

(4) An investment crowdfunding platform must not facilitate a person investing in warrants, certificates, structured products, derivatives, digital assets or rights or interests in a security, structured product, derivative or digital asset through the investment crowdfunding platform.

Requirements for authorised crowdfunding platform

110. (1) Both borrowers and lenders in the case of a loan crowdfunding platform and issuers and investors in the case of an investment crowdfunding platform will be clients of an authorised crowdfunding platform.

(2) An authorised crowdfunding platform must classify clients as being in one of the following categories:

(a) a retail lender or retail investor; or

(b) an accredited lender or accredited investor.

(3) An authorised crowdfunding platform must notify a new client of its classification in accordance with this section in respect of the services provided by it to that client.

(4) An authorised crowdfunding platform must classify as a retail lender or retail investor any client that is not an accredited lender or accredited investor.

Crowdfunding risk disclosure

111. (1) An authorised crowdfunding platform must disclose prominently on its website the main risks to lenders or investors using a crowdfunding platform, including, as applicable, that—

(a) borrowers or issuers using the authorised crowdfunding platform may include new businesses and, as many new businesses fail, a loan to such a borrower or an investment with such an issuer may involve high risks, including the loss of all or part of the lender or investor's money, or delays in payment or the realisation of gains;

(b) borrowers or issuers on the crowdfunding platform may apply funds borrowed to higher risk activities or investments, for example, to a prospective investment in a property development, and, consequently, a loan to such a borrower or a permitted investment with such an issuer may involve high risks;

(c) failure to diversify a portfolio of permitted loans or permitted investments may lead to greater losses in the event of the default of a relevant borrower or issuer;

(d) the lender may not be able to transfer their permitted loans, or the investor may not be able to sell their permitted investment when they wish to, or at all; and

(e) if for any reason the authorised crowdfunding platform ceases to carry on its business, the lender or investor may lose their money, incur costs or experience delays in being paid.

(2) The disclosure referred to in subsection (1) must be presented in a way that is fair, clear and not misleading.

Information about default or failure rates

112. (1) An authorised crowdfunding platform must disclose prominently on its website, as applicable—

(a) for a loan crowdfunding platform, the actual and expected default rates for permitted loans entered into on the authorised crowdfunding platform; and

(b) for an investment crowdfunding platform, the actual and expected failure rate of permitted investments who use the authorised crowdfunding platform.

(2) The information referred to in subsection (1) must—

(a) for actual default or failure rates, cover the period since the authorised crowdfunding platform began providing the service;

(b) for expected default or failure rates, set out a summary of the assumptions used in determining those expected rates; and

(c) be presented in a way that is fair, clear and not misleading.

(3) Where an authorised crowdfunding platform is within its first twelve months of operation, it does not need to disclose actual default or failure rates if no such data is yet available. Where no such data is available during this period, an authorised crowdfunding platform shall disclose that no historic data is available, and all default or failure rates disclosed are expected default or failure rates only.

Information about service and lender or investor education tools

113. (1) An authorised crowdfunding platform must disclose prominently on its website in a way that is fair, clear and not misleading key information about how its service operates as applicable, including—

(a) details of how the authorised crowdfunding platform functions;

(b) details of how and by whom an authorised crowdfunding platform is remunerated for the service it provides, including fees and charges it imposes;

(c) any financial interest of an authorised crowdfunding platform or a related person that may create a conflict of interest;

(d) the eligibility criteria for borrowers or issuers that use the service;

(e) the minimum and maximum amounts, if any, of permitted loans or permitted investments that may be sought by a borrower or an issuer using the service;

(f) what, if any, security or collateral is usually sought from borrowers or issuers, when might rights to enforce such security or apply such collateral be exercised and any limitations in connection therewith;

(g) the eligibility criteria for lenders or investors that use the service;

(h) any limits on the amounts a lender may lend or an investor may invest using the service, including limits for individual permitted loans or permitted investments and limits that apply over any twelve month period;

(i) when a lender or investor may withdraw a commitment to provide funding, and the procedure for exercising such a right;

(j) what will happen if permitted loans sought by a borrower or funds sought by an issuer either fail to meet or exceed the target level;

(k) steps an authorised crowdfunding platform will take if there is a material change in a borrower's or issuer's circumstances and the rights of the lender and borrower or issuer and investor in that situation;

(l) how an authorised crowdfunding platform will deal with overdue payments or a default by a borrower;

(m) which jurisdiction's laws will govern the loan agreement between the lender and borrower or the investment between investor and issuer;

(n) arrangements and safeguards for client assets held or controlled by an authorised crowdfunding platform, including details of any legal arrangements such as nominee companies that may be used to hold client assets;

(o) any facility an authorised crowdfunding platform provides to facilitate the transfer of permitted loans or sale of permitted investments, the conditions for using the facility and any risks relating to the use of that facility;

(p) measures the authorised crowdfunding platform has in place to ensure the crowdfunding platform is not used for money-laundering or other unlawful activities;

(q) measures the authorised crowdfunding platform has in place for the security of information technology systems and data protection; and

(r) contingency arrangements the authorised crowdfunding platform has in place to ensure the orderly administration of permitted loans if it ceases to carry on business.

(2) For the purposes of subsection (1), "significant influence" refers to the ability to participate in, direct, or otherwise control the operating decisions of an entity. The existence of significant influence may be evidenced in one or more of the following ways:

(a) representation on the board of directors or equivalent board of the entity;

(b) participation in the policy or decision-making process of the entity;

(c) material transactions between the entity and the person with influence;

(d) changes to managerial personnel directed by the person with influence; or

(e) the provision of otherwise sensitive information to the person with influence.

(3) An authorised crowdfunding platform must make available on its website one or more interactive educational tools which are reasonably designed to promote lender understanding of the services offered by the authorised crowdfunding platform, as further described in subsection (1), and of the key risks of using these services, as further described in section 111.

Risk acknowledgement form

114. (1) An authorised crowdfunding platform must ensure that a retail lender or retail investor provides a signed risk acknowledgement form for each permitted loan or permitted investment (as applicable) that it makes using the platform.

(2) The risk acknowledgement form under subsection (1) must—

(a) set out clearly the risks referred to in sections 111 and 113;

(b) require the retail lender or retail investor to confirm that they understand those risks; and

(c) be provided before, or at the same time as, the retail lender or retail investor commits to making the permitted loan or permitted investment (as applicable).

Due diligence on borrowers or issuers

115. (1) An authorised crowdfunding platform must not permit a borrower or issuer to use its service unless the borrower or issuer is a body corporate.

(2) An authorised crowdfunding platform must conduct due diligence on each borrower or issuer before allowing it to use its service.

(3) The due diligence in subsection (2) must include, as a minimum, taking reasonable steps to verify in relation to the borrower or issuer (as applicable)—

(a) its identity, including details of its incorporation and business registration; and

(b) the identity and place of domicile of each of its directors, officers and controllers.

(4) The Centre may, by written notice, require an authorised crowdfunding platform to conduct additional due diligence on borrowers and issuers before such borrowers or issuers are permitted to use the service provided by the authorised crowdfunding platform.

Disclosure of information about the borrower or issuer

116. (1) An authorised crowdfunding platform must disclose prominently on its website relevant information about each borrower or issuer, including, as a minimum—

(a) the name of the borrower or issuer, the full name and position of each of its directors and officers and the full name of each controller;

(b) the place of incorporation of the borrower or issuer and the place of domicile of each director, officer and controller;

(c) a description of the borrower or issuer's business;

(d) a detailed description of the proposal for which it is seeking funding, including—

(i) the target level of funding sought and what will happen if that level is not met or is exceeded; and

(ii) how the fund will be used.

(e) the results of any due diligence carried out by the authorised crowdfunding platform on the borrower or issuer and any limits on the due diligence that could be carried out;

(f) the grading or rating by the authorised crowdfunding platform of the borrower or issuer's creditworthiness (if any), including—

(i) how the grading or rating has been assessed;

(ii) an explanation of what the different grading or rating levels mean; and

(iii) a clear statement that this should not be taken as advice about whether money should be lent to the borrower or an investment should be made with the issuer;

(g) that the borrower or issuer, and information provided about the borrower or issuer, are not checked or approved by the Centre; and

(h) other disclosure documents that contain the necessary information, which is material to retail investors or retail lenders for making an informed investment decision.

(2) The disclosures referred to in (1) must be presented in a way that is fair, clear and not misleading.

Disclosure of information about the permitted loan or permitted investment

117. (1) An authorised crowdfunding platform must disclose prominently on its website relevant information about each permitted loan or permitted investment offered by a borrower (as applicable), including, as a minimum—

(a) for a permitted loan, the duration of the permitted loan, details of interest payable and any other rights attaching to the permitted loan;

(b) for an issue of permitted investments, any rights attaching to the permitted investments, such as a dividend, voting or pre-emption rights;

(c) whether any security is being provided and, if so, the details of that security, including the circumstances in which it might be exercised and any limitations on its use;

(d) for a permitted loan, if applicable, any other reward or benefit attaching to the permitted loan and the terms on which it is available; and

(e) for an issue of permitted investments, whether investors have any protection from their interest or holding being diluted by the issue of further permitted investments.

(2) The disclosures referred to in (1) must be presented in a way that is fair, clear and not misleading.

Proposals not to be advertised outside platform

118. An authorised crowdfunding platform must—

(a) not advertise a specific lending or investment proposal that is available on the authorised crowdfunding platform; and

(b) take reasonable steps to ensure that borrowers or issuers that use the authorised crowdfunding platform do not advertise the lending or investment proposal, unless the advertisement is made on the platform and is accessible only to existing clients who use the authorised crowdfunding platform.

Material changes affecting a borrower or issuer

119. (1) This section applies if, in the reasonable opinion of an authorised crowdfunding platform, a material change occurs relating to a borrower or issuer, its business, its proposal or the carrying out of its proposal.

(2) In this section, a "material change" means any change or new matter that may significantly affect the borrower or issuer's ability to meet its payment obligations under the loan agreement or its ability to carry out its proposal.

(3) If the material change occurs during the commitment period, an authorised crowdfunding platform must—

(a) notify committed lenders or investors of the material change and require them to reconfirm their commitment within five (5) business days; and

(b) if reconfirmation is not provided within the period specified in subsection (a), cancel the commitment.

(4) If the material change occurs after the commitment period, an authorised crowdfunding platform must disclose prominently on its website—

(a) details of the material change;

(b) any change in the rights of the lenders and the borrower, or the investors and issuer, arising from the material change; and

(c) what steps, if any, the operator is proposing to take as a result of the change.

(5) A disclosure or notification under subsections (3) or (4) must be made as soon as practicable after the authorised crowdfunding platform becomes aware of the material change.

Borrower or issuer use of other platforms

120. An authorised crowdfunding platform must—

(a) take reasonable steps to identify where a borrower or issuer is seeking, or proposes to seek, funding on another authorised crowdfunding platform during the commitment period; and

(b) where it identifies that a borrower or issuer is seeking, or proposes to seek, funding on another authorised crowdfunding platform during the commitment period, disclose this fact to lenders or investors.

Equal treatment of lenders or investors

121. (1) An authorised crowdfunding platform must ensure that lenders or investors who use its service are able to have access to the same information on its website about a borrower, a lending proposal, an issuer, or an investment proposal, and that access to the information is provided at the same time.

(2) If an authorised crowdfunding platform provides an auto-lending or auto-investment system, or any other facility that provides some lenders or investors with the opportunity to lend money ahead of other lenders or investors, it must disclose prominently on its website that some lenders or investors may have preferential access to alternative proposals or terms.

No suitability disclosure

122. If an authorised crowdfunding platform provides an auto-lending or auto-investment system, it must prominently disclose to lenders or investors who use the facility that no assessment is made of whether any permitted loan or permitted investment selected by the system is suitable for the lender or investor.

Authorised crowdfunding platform not to permit staff to use the platform

123. An authorised crowdfunding platform must take reasonable steps to ensure that its officers, employees, their family members and any related persons do not—

(a) lend money or provide finance to a borrower or issuer;

(b) borrow money from a lender or receive funding from an investor; or

(c) hold any direct or indirect interest in the capital or voting rights of a borrower, lender, issuer, or investor.

Forums

124. If an authorised crowdfunding platform provides a means of communication (a "forum") for borrowers and lenders or issuers and investors to discuss funding proposals made using the service, it must—

(a) refer lenders or investors to the forum as a place where they can find, or take part in, further discussion about proposals, while clearly stating that the authorised crowdfunding platform does not conduct due diligence on information on the forum;

(b) restrict posting of comments on the forum to persons who are clients using the service;

(c) ensure that all clients using the forum have equal access to information posted on the forum;

(d) require a person posting a comment on the forum to disclose clearly if he is affiliated in any way with a borrower or issuer or is being compensated, directly or indirectly, to promote a proposal by a borrower or issuer;

(e) take reasonable steps to monitor and prevent posts on the forum that are potentially misleading or fraudulent;

(f) immediately take steps to remove a post, or to require a post to be deleted or amended, if an authorised crowdfunding platform becomes aware that subsections (d) or (e) have not been complied with; and

(g) not participate in discussions on the forum except to moderate posts or to take steps referred to in subsection (f).

Facility for transfer of permitted loans or permitted investments

125. If an authorised crowdfunding platform provides a facility that assists the transfer of rights or obligations under a permitted loan or the sale of permitted investments, it must ensure that (as applicable)—

(a) the facility relates only to permitted loans or permitted investments originally facilitated using its service;

(b) transfers can take place only between lenders or investors who are already clients using the service and have initially lent money under a permitted loan or initially subscribed for permitted investments using the service;

(c) in the case of a permitted loan, the facility allows only the lender and not the borrower to transfer rights and obligations under the agreement;

(d) in the case of a permitted loan, a lender must transfer the rights and obligations relating to the whole of a permitted loan made and not just a part of the permitted loan;

(e) potential transferees or buyers have access to all information on the website about the borrower or issuer that was available to earlier lenders; and

(f) fees it charges for the use of the facility are designed to recover its costs of providing the facility, rather than generating additional income.

Business cessation plan

126. An authorised crowdfunding platform must—

(a) maintain a business cessation plan that sets out appropriate contingency arrangements to ensure the orderly administration of permitted loans in the event that it ceases to carry on its business, including details of how any loan administrator, administrator and/or nominee company will continue to operate following the cessation of business; and

(b) ensure, as far as reasonably practicable, that the contingency arrangements can be implemented if necessary.

Centre's power to impose a prohibition or requirement

127. (1) The Centre may prohibit an authorised crowdfunding platform from—

(a) entering into certain specified transactions or agreements or types of transactions or agreements; or

(b) outsourcing any of its functions or activities to a third party.

(2) The Centre may, by written notice or guidance, set fees payable by an authorised crowdfunding platform to the Centre on certain specified transactions or types of transactions.

Complaints

128. (1) An authorised crowdfunding platform shall establish and maintain written policies and procedures to resolve complaints made against it or other parties, including clients, in a fair and timely manner.

(2) An authorised crowdfunding platform must provide, in a clear and conspicuous manner, on its website or websites, in all physical locations, and in any other location the Centre may prescribe, the following disclosures—

(a) the mailing address, email address and telephone number for the receipt of complaints;

(b) a statement that the complainant may also bring his or her complaint to the attention of the Centre;

(c) the Centre's mailing address, website and telephone number; and

(d) such other information as the Centre may require.

(3) An authorised crowdfunding platform shall report to the Centre any change in its complaints policies or procedures within ten days of such change being made.

(4) An authorised crowdfunding platform must maintain a record of any complaint made against it or other parties, including clients, for a minimum period of six (6) years from the date of receipt of the complaint.

Obligation to report transactions

129. (1) An authorised crowdfunding platform shall report to the Centre details of transactions which are executed through its platform.

(2) The Centre may, by written notice or guidance, specify—

(a) the information to be included in reports made under subsection (1); and

(b) the manner in which such reports are to be made.

Cooling-off period

130. An authorised crowdfunding platform must ensure that lenders or investors who have committed to providing funding to a particular borrower or purchasing an permitted investment or permitted loan from a particular issuer or borrower may withdraw that commitment, without any penalty and without giving a reason, during the period of at least forty-eight (48) hours starting at the end of the commitment period (cooling-off period).

Target funding amount

131. An authorised crowdfunding platform must ensure that all loan proceeds are only provided to the borrower or offering proceeds are only provided to the investor when the aggregate capital raised from all lenders or investors is equal to or greater than the target funding amount, and allow all lenders or investors to cancel their commitments to lend or invest, as the Centre shall deem appropriate.

Lending, investment, and fundraising limits

132. (1) An authorised crowdfunding platform must maintain effective systems and controls to ensure that a retail lender or retail investor using its service does not lend or invest, in respect of any single borrower or issuer and in aggregate calculated over a period of twelve (12) months, an amount which exceeds the greater of—

(a) two thousand United States Dollars ($2,000); or

(b) the lesser of—

(i) 10% of the annual income; or

(ii) 5% of the net worth of such retail lender or retail investor, excluding the value of the primary residence, up to a maximum aggregate amount of one hundred thousand United States Dollars ($100,000).

(2) An authorised crowdfunding platform must maintain effective systems and controls to ensure that—

(a) a borrower does not borrow from—

(i) retail lenders more than five million United States Dollars ($5,000,000) in total; and

(ii) accredited lenders more than fifty million United States Dollars ($50,000,000) in total; and

(b) the total aggregate consideration for the permitted investments offered by an issuer to—

(i) retail investors using its service are five million United States Dollars ($5,000,000) or less; and

(ii) accredited investors using its service are fifty million United States Dollars ($50,000,000) or less;

or an equivalent amount in another currency, calculated over a period of twelve (12) months.

Market rules

133. The issue of permitted investments or debentures may result in the application of requirements under Part IV, such as market abuse provisions or, if an offer is not an exempt offer or offer of securities by way of placement, prospectus requirements.

Written loan agreement

134. A loan crowdfunding platform must ensure that, when a permitted loan is made using its service, there is a written loan agreement in place between the borrower and lender that is legally enforceable and sets out sufficient details of the loan, the terms of repayment and the rights and obligations of the borrower and lender.

Loan administration

135. (1) A loan crowdfunding platform must have in place arrangements to administer the collection of amounts due and payable under a permitted loan.

(2) The arrangements in subsection (1) shall include procedures for taking steps to collect overdue amounts and/or enforce a permitted loan in default on behalf of lenders, including such steps as are necessary to enforce any security or apply any collateral that the borrower may have provided in connection with the permitted loan.

(3) The arrangements in subsection (1) may be carried out by the loan crowdfunding platform by itself or by such other person as the loan crowdfunding platform may appoint as a "loan administrator".

CHAPTER III

COLLECTIVE INVESTMENT FUND

PART I

COLLECTIVE INVESTMENT FUND

Arrangements constituting a collective investment fund

136. (1) A collective investment fund is subject to section 137, any arrangement with respect to property of any description, including money, where—

(a) the purpose or effect of the arrangements is to enable persons taking part in the arrangements, whether by becoming owners of the property or any part of it or otherwise, to participate in or receive profits or income arising from the acquisition, holding, management or disposal of the property or sums paid out of such profits or income;

(b) the arrangements must be such that the persons who are to participate ("unit holders") in the arrangements do not have day-to-day control over the management of the property, whether or not they have the right to be consulted or to give directions; and

(c) the arrangements have either or both of the following characteristics—

(i) the contributions of the unit holders and the profits or income out of which payments are to be made to them are pooled; or

(ii) the property is managed as a whole by or on behalf of the fund manager.

(2) If the arrangements provide for such pooling as is mentioned in subsection (1) (c) (i) in relation to separate parts of the property, the arrangement is not to be regarded as constituting a single fund unless the unit holders are entitled to exchange rights in one part for rights in another.

Arrangements not constituting a collective investment fund

137. The Centre may, by rules, specify when arrangements or types of arrangements that meet the definition of a fund in Section 136 (1) do not constitute a fund.

PART II

TYPES OF FUND AND RELEVANT CRITERIA

Domestic and foreign fund

138. (1) A fund can either be a domestic fund or a foreign fund.

(2) A fund is a domestic fund if it is—

(a) either established or domiciled in the International Financial Services Centre; or

(b) an external fund as defined in section 139 (1).

(3) A foreign fund is a fund established or domiciled in a jurisdiction other than the International Financial Services Centre and is not managed by a domestic fund manager which is an authorised firm.

External fund

139. (1) An external fund is a fund which is established or domiciled in a jurisdiction other than the international financial services centre and managed by a fund manager which is an authorised firm.

(2) The requirements relating to a domestic fund do not apply to an external fund except to the extent otherwise provided in these regulations or the rules.

Types of domestic funds

140. (1) A domestic fund shall be one of the following types of fund—

(a) a public fund;

(b) an exempt fund; or

(c) a qualified investor fund.

(2) The Centre may treat any type of domestic fund referred to in subsection (1) as a specialist class of a domestic fund pursuant to section 142.

Domestic fund criteria

141. (1) A domestic fund shall be constituted as a public fund if—

(a) some or all of its units are offered to investors by way of a public offer; or

(b) its unitholders include, or may include, retail clients.

(2) A domestic fund may be constituted either as an exempt fund or as a qualified investor fund, but only if that fund satisfies all of the conditions in subsections (3) and (4) as applicable.

(3) A domestic fund is an exempt fund, subject only to subsection (5), if—

(a) its units are offered to persons only by way of a private placement;

(b) all its unitholders are persons who meet the criteria to be classified as professional clients; and

(c) the initial subscription to be paid by a person to become a unitholder is at least fifty thousand United States Dollars (US$50,000);

and it does not satisfy the conditions in subsection (4) to be a qualified investor fund.

(4) A domestic fund is a qualified investor fund, subject only to subsection (5), if—

(a) its units are offered to persons only by way of a private placement;

(b) all its unitholders are persons who meet the criteria to be classified as professional clients; and

(c) the initial subscription to be paid by a person to become a unitholder is at least five hundred thousand United States Dollars (US$500,000.)

(5) A domestic fund does not cease to be an exempt fund or a qualified investor fund under subsections (3) and (4) merely because one or more units in that fund are registered in the name of a person who does not meet the criteria to be a unitholder of that particular type of fund as a result of—

(a) inheritance from a registered unitholder of the fund; or

(b) any legal action brought against or on behalf of a registered unitholder.

(6) The Centre shall, by rules, prescribe—

(a) the relevant criteria for a person to be classified as a retail client or a professional client; and

(b) any other requirements or matters which the Centre considers necessary to give effect to the requirements or intent of the provisions in this Chapter.

Specialist classes of domestic fund

142. (1) The Centre may, by rules, prescribe the circumstances in which any type of domestic fund is to be treated as a specialist class of domestic fund.

(2) Without limiting the generality of subsection (1), the Centre may, by rules, prescribe—

(a) the circumstances in which a domestic fund will be treated as an Islamic fund;

(b) the requirements applicable to such a fund, including the appointment, where appropriate, of a sharia's supervisory board; and

(c) any requirements relating to a sharia supervisory board appointed to an Islamic fund, such as its formation, membership, conduct and operation.

(3) Without limiting the generality of subsection (1), a specialist fund may include an Islamic fund, feeder fund, master fund, private equity fund, property fund, real estate investment trusts (REITs), hedge fund, umbrella fund, money market fund, exchange-traded fund, and venture capital fund.

(4) The fund referred to in subsection (3) shall have the meanings assigned to it in the rules made pursuant to these regulations.

(5) The Centre may, by rules, prescribe other classes of funds as specialist funds.

Additional matters

143. (1) The Centre may, by rules, apply additional criteria, requirements or conditions to—

(a) a particular type of domestic fund;

(b) a specialist class of a domestic fund; or

(c) a foreign fund.

(2) Without limiting the generality of subsection (1), the additional criteria, requirements or conditions relating to the fund that the Centre may specify include—

(a) the type of legal structure or arrangement that must be used by a specialist class of fund;

(b) whether or not a fund must be an open-ended or closed-ended fund, or a listed or unlisted fund; and

(c) any criteria, requirements or conditions that apply to any person carrying on any function relating to a fund and whether or not that person does so under a delegation or outsourcing arrangement entered into with the fund manager or if applicable, the trustee of the fund.

(3) Specialist fund include but are not limited to private equity fund, venture capital fund, REIT, Islamic investment fund, environmental, social, and governance (ESG) fund, umbrella fund, fund of fund, master feeder structure, credit fund, digital asset fund, exchange traded fund, money market fund, investment token fund or qualified investment token fund.

Definitions of open-ended and closed-ended fund

144. (1) In these regulations, an open-ended fund and a closed-ended fund have the meanings given in subsections (2) and (3).

(2) An open-ended fund means a fund where investors have a right, generally, on request, or at a specified frequency, to have their units redeemed or repurchased at a value calculated based on the net asset value of the fund property.

(3) A closed-ended fund means a fund where investors have no right of redemption or repurchase of their units.

Definition of offer of units

145. (1) An "offer" of a unit of a fund constitutes any one or more of the activities specified in subsection (2), and such activities may also be referred to as "marketing" of units of a fund.

(2) A person is to be regarded as making an offer of a unit if he or she—

(a) makes an offer to another person which, if accepted, would give rise to a contract for the issue or sale of units by him or by another person with whom he has made arrangements for the issue or sale of the units; or

(b) invites another person to make an offer which, if accepted by him, would give rise to a contract for the issue or sale of units by him or by another person with whom he has made arrangements for the issue or sale of the units;

whether or not the offer or invitation referred to in paragraph (a) or (b) is made by way of a financial promotion of the units.

(3) For the purposes of subsection (2), a "financial promotion" includes an advertisement or any other form of promotion, marketing or inducement inviting a person to—

(a) enter into an agreement;

(b) offer to enter into an agreement; or

(c) exercise any rights conferred by a unit;

to acquire, dispose of, underwrite or convert a unit.

(4) In subsection (3), the financial promotion may be communicated in any manner, including, but not limited to, orally, electronically or in writing.

(5) For the purposes of subsection (2) and (3), where a fund manager of a listed fund discloses information in accordance with the requirements of any law made by the Centre or the rules made for the purposes of that law, disclosure of such information is not a financial promotion provided the disclosure of the information does not—

(a) include an express invitation or offer; or

(b) expressly encourage a person;

to engage in any of the activities specified in subsections (2) (a) or (b).

PART III

ROLES AND FUNCTIONS OF FUND MANAGER AND TRUSTEE

Fund manager

146. (1) A person shall not manage a domestic fund unless—

(a) that person—

(i) is a body corporate;

(ii) is a registered firm whose licence authorises it to act as the fund manager of the particular type or specialist class of the fund; and

(iii) meets any additional criteria, requirements or conditions that may be prescribed in the rules; or

(b) the person is an external fund manager.

(2) For the purposes of these regulations, any other international financial services centre administered law and any rules made for the purposes of those laws, the person who "manages" a fund, subject to subsection (3), is the person who—

(a) is legally accountable to the unitholders in the fund for the management of the fund, including the property held for or within the fund ("fund property"); and

(b) establishes, manages or otherwise operates or winds up the fund.

(3) The Centre may, by rules, prescribe when a person who engages in any of the activities specified in subsection (2) is not managing a fund.

(4) A person referred to in subsection (1) (a) or (b) is a "fund manager" and a reference to a "fund manager" in these regulations or in any other International Financial Services Centre Law or any legislation made for the purposes of such laws includes both persons, unless otherwise provided.

(5) A person is an external fund manager if that person—

(a) is a body corporate;

(b) manages a domestic fund which is not an external fund; and

(c) manages the fund in paragraph (b) from a place of business in a recognised jurisdiction or a jurisdiction otherwise acceptable to the Centre and in accordance with any additional requirements prescribed by the Centre for the purposes of this section.

Trustee

147. (1) A person shall not act as a trustee of a domestic fund which is an investment trust unless that person is either—

(a) a body corporate which is an authorised firm with a licence authorising it to act as a trustee or to provide custody; or

(b) a person regulated and supervised by a financial services regulator in a recognised jurisdiction with respect to its custody or depository services.

(2) A person does not breach subsection (1) where that person acts under a sub-custody arrangement entered into between that person and a person referred to in subsection (1) (a) or (b).

Fund manager's general duties and functions

148. (1) A fund manager of a domestic fund shall—

(a) manage the fund, including the fund's property, in accordance with the fund's constitution and its most recent prospectus;

(b) perform the functions conferred on it by the fund's constitution and by or under these regulations;

(c) comply with any conditions or restrictions imposed by the Centre, including those on its licence or in respect of the fund; and

(d) comply with any requirements or limitations imposed under these regulations or rules made for the purposes of these regulations, including any limits relating to financial interests it or any of its associates may hold in a fund, for which it acts as the appointed fund manager.

(2) In exercising its powers and carrying out its duties, a fund manager shall—

(a) act honestly;

(b) exercise the degree of care and diligence that a reasonable person would exercise if he were in the fund manager's position;

(c) act in the best interests of the unitholders and, if there is a conflict between the unitholders' interests and its own interests, give priority to the unitholders' interests;

(d) treat the unitholders who hold interests of the same class equally and unitholders who hold interests of different classes fairly;

(e) not improperly make use of information acquired through being the fund manager in order to gain an advantage for itself or another person or cause detriment to the unitholders in the fund;

(f) ensure that fund property is clearly identified as fund property and held separately from the property of the fund manager and the property of any other fund it manages;

(g) report to the Centre any breach of these regulations or relevant provisions of any other law administered by the Centre, or of any rules made under those laws, that relates to the fund and has had, or is likely to have, a materially adverse effect on the interests of unitholders;

as soon as practicable after it becomes aware of the breach.

(h) in the case of a fund manager referred to in section 146(1) (b), report to the Centre any breach of any other laws or requirements that apply to that fund manager in its home jurisdiction, that relates to the fund and has had, or is likely to have, a materially adverse effect on the interests of unitholders;

as soon as practicable after it becomes aware of the breach;

(i) comply with any other duty or obligation as may be prescribed by or under these regulations or any other legislation administered by the Centre; and

(j) carry out or comply with any other duty, not inconsistent with any International Financial Services Centre Law, that is conferred on the fund manager by the fund's constitution.

(3) Every officer, employee or agent of the fund manager shall—

(a) not make improper use of information acquired through being such an officer, employee or agent of the fund manager in order to—

(i) gain an advantage for himself or another person; or

(ii) cause detriment to unitholders in the fund;

(b) not make improper use of his position as such an officer, employee or agent to gain, directly or indirectly, an advantage for himself or for any other person or to cause detriment to the unitholders in the fund;

(c) comply with any other duty or obligation as may be prescribed by or under these regulations or any other legislation administered by the Centre; and

(d) carry out or comply with any other duty, not inconsistent with any International Financial Services Centre Law, that is conferred on him by the fund's constitution.

(4) A fund manager shall take reasonable steps to ensure that its officers, employees and agents comply with their obligations referred to in subsection (3).

Trustee's duties and functions

149. The trustee of an investment trust shall carry out its functions and duties in respect of the fund in accordance with these regulations and any rules made for the purposes of these laws.

General powers, including delegations and outsourcing

150. (1) A fund manager of a domestic fund shall have all the powers that are required or necessary for it to carry out its functions and discharge its duties as set out under the fund's constitution and the most recent prospectus in accordance with these regulations, any other international financial services centre regulations, or rules made for the purposes of those regulations.

(2) A fund manager may, subject to any restriction in the domestic fund's constitution and subject to any rules made for the purposes of this section, delegate any of its activities or outsource any of its functions to another person (a "service provider").

(3) Where the fund manager delegates an activity or outsources a function, the fund manager remains responsible to unitholders for any acts or omissions of the service provider as if they were the acts or omissions of the fund manager, even where the service provider acted fraudulently or outside the scope of its authority or engagement.

Retirement or removal of fund manager

151. (1) A fund manager may voluntarily retire as the fund manager of a domestic fund only where—

(a) a replacement fund manager has been appointed to the fund in accordance with the requirements in these regulations and rules made for the purposes of these regulations; or

(b) upon an application made by the fund manager or trustee of the fund to the Centre.

(2) A unitholder or a trustee of a domestic fund may make an application to the Centre for the removal of the fund manager where the fund manager—

(a) no longer meets the requirements of these regulations or the rules; or

(b) engages, or has engaged in, any activities that may constitute misconduct, default or breach of any duty of the fund manager.

(3) The Centre may, upon application made under subsection (2), make one or more of the following orders—

(a) an order for the appointment of a temporary fund manager;

(b) an order for the winding up of the fund pursuant to these regulations; or

(c) any other order that the Centre considers just and equitable and in the interests of the fund and its unitholders.

(4) The Centre shall make rules prescribing the manner and circumstances in which the unitholders may approve the appointment of a new fund manager or seek a court order for the replacement of the existing fund manager or any other matter relevant or necessary to give effect to the provisions in this section.

PART IV

ESTABLISHMENT AND OPERATION OF DOMESTIC FUND

Permitted form of domestic fund

152. (1) Every domestic fund shall be any of the following—

(a) an investment company;

(b) an investment partnership; or

(c) an investment trust.

(2) In subsection (1) (a), an investment company includes a protected cell company or an incorporated cell of an incorporated cell company.

(3) The Centre may, by rules, prescribe—

(a) which of the forms referred to in subsection (1) may be used by a specialist class of domestic fund; and

(b) any additional criteria, requirements or conditions applicable to such a fund.

(4) A person shall not use a form referred to in subsection (1) (a), (b) or (c) for a purpose other than the main purpose of carrying on the business of a fund.

(5) A person may only register an investment company as a public company under the international financial services centre law if the company is or is intended to be a public fund. In all other cases, a person shall register an investment company as a private company.

General requirements

153. (1) Any domestic fund shall have—

(a) a written constitution which complies with the rules;

(b) a purpose that is reasonably capable of being successfully carried into effect;

(c) a registered auditor.

(d) if it is an investment trust, a trustee;

(e) if it is not an investment trust, an eligible person with whom the legal title to the fund property is registered unless otherwise provided in the rules; and

(f) in the case of an open-ended fund, single pricing for the purposes of redemption and re-issue or sale of units in the fund where the price of a unit is calculated by reference to the net asset value of the property of the fund to which the units relate and in accordance with the rules.

(2) Any provision in the constitution of a domestic fund is void in so far as it would have the effect of exempting the fund, the fund manager and if appointed, the trustee from liability for any failure to discharge their obligations under these regulations, or any rules made for the purposes of these laws.

(3) The Centre shall, for the purposes of subsection (1) (e), by rules, prescribe the criteria that a person must meet to be considered "eligible" and such rules may permit the fund manager to be considered "eligible" for the purposes of a particular type of, or a specialist class of, a domestic fund.

(4) If, in the opinion of the Centre, the name of a fund or of a sub-fund of a fund conflicts with the name of another fund or is undesirable or misleading, it may direct the fund manager to change the name of the fund or the sub-fund.

Registration requirement

154. (1) Any domestic fund which is a public fund shall be registered with the Centre.

(2) The Centre shall register a public fund if the fund meets all the requirements in the law.

(3) The application for the registration of a public fund shall be made to the Centre by the fund manager or, if the fund is an investment trust, jointly by the fund manager and the trustee of that fund.

(4) Such an application shall—

(a) be accompanied by the fund's constitution and prospectus, both of which shall be in accordance with the requirements of these regulations and any rules; and

(b) comply with any other requirements prescribed by the Centre in relation to such fund, including the applications.

(5) The Centre shall, by rules, prescribe the requirements which an application for registration must meet before such an application can be accepted by the Centre.

Providing information in relation to application

155. (1) The Centre may require a fund manager, and if relevant, the trustee, to provide additional information reasonably required for the Centre to be able to make a decision with regard to the application.

(2) If, at any time between the filing of an application for registration and the grant of a registration, the fund manager or, if appointed, the trustee becomes aware of any material change, error or omission reasonably likely to be relevant to the application under consideration, it shall inform the Centre in writing of such change without delay.

Rejection of application

156. The Centre may refuse to grant an application for registration of a public fund if it is not satisfied that the requirements referred to in section 154 have been met.

Granting registration

157. (1) The Centre shall grant the registration to come into effect on a specified date.

(2) Where the Centre registers a public fund, it shall, without undue delay, inform the fund manager and, if relevant, the trustee in writing of—

(a) that decision; and

(b) the date on which the registration shall come into effect.

Withdrawal of registration

158. (1) The Centre may, subject to subsection (2), withdraw the registration of a public fund where one or more of the following circumstances apply—

(a) the fund is not operating or has been wound up;

(b) any information provided to the Centre by the fund manager or, if appointed, the trustee, is false or misleading in a material particular or materially misleading;

(c) the fund manager or, if appointed, the trustee has contravened a requirement imposed on it by or under these regulations;

(d) the fund manager or, if appointed, the trustee or member of the fund's board has not complied with a direction issued by the Centre under the law;

(e) a person other than a member of the fund's board, Sharia's supervisory board, the trustee or a person providing oversight functions is exercising significant influence over the fund, the fund manager or any member of the fund's board;

(f) the fund manager is no longer fit and proper to manage the fund or is incapable of acting as the fund manager of the fund in compliance with the law, rules or the terms of its constitution;

(g) the trustee is no longer fit and proper to act as trustee of the fund or is incapable of acting as trustee of the fund in compliance with these regulations or rules or the terms of its constitution

(h) the fund manager or, if appointed, the trustee requests the Centre to withdraw the registration of the fund on the grounds that the unitholders have passed a special resolution approving the fund to be deregistered;

(i) the fund manager is no longer authorised under its licence to manage the fund; or

(j) in the case of an external fund manager, that person ceases to meet the requirements in Section 146(5).

(2) The Centre may withdraw the registration of a fund under subsection (1) only if it considers that—

(a) the withdrawal is in the interests of the unitholders of the fund; or

(b) appropriate steps have been taken or may reasonably be taken to protect the interests of the unitholders.

(3) Where the Centre has withdrawn, or proposes to withdraw, a registration under this Section, it may, by written notice, direct the fund manager, or if appointed, the trustee to take such steps as the Centre considers necessary or desirable to protect the interests of unitholders in the fund.

(4) If the Centre decides to exercise its power under this section, the fund manager or the trustee (if appointed) may refer the matter to the Appeals Tribunal for review.

(5) The court may order the Centre to withdraw the registration of a public fund.

Reinstatement of deregistered fund

159. (1) Where a public fund has been deregistered, an application for the reinstatement of the fund may be made to the Appeals Tribunal by—

(a) a person aggrieved by the deregistration; or

(b) a person who was winding up the fund.

(2) Upon such application, the Appeals Tribunal may, if it is satisfied that it is just and equitable to do so—

(a) make an order that the Centre reinstate the registration of the fund; and

(b) give any directions it thinks just for putting the fund and other persons in the same position, as far as possible, as if the fund had not been deregistered.

Notification requirement

160. (1) The fund manager of an exempt fund or a qualified investor fund shall notify the Centre at least fourteen (14) days prior to the initial offer to issue units in the fund and, in the case of a closed-ended fund, any subsequent offer to issue units in the fund.

(2) Such a notification must be made in the manner prescribed in the rules and include the name of the fund, the type of fund, and any further details required under such rules.

(3) If a domestic fund can no longer meet the conditions to be an exempt fund or a qualified investor fund under Section 141(4) or (5) as applicable, the fund manager of that fund shall, as soon as practicable, either—

(a) in the case of an exempt fund, register the fund as a public fund under section 154, or in the case of a qualified investor fund, reconstitute the fund as an exempt fund or register the fund as a public fund under section 154; or

(b) apply for the winding up of that fund as provided for in Part VIII of these regulations.

Alterations to domestic fund

161. (1) Subject to subsection (6)—

(a) changes to a domestic fund's constitution or prospectus in respect of investment, borrowing or gearing powers may be made; or

(b) the fund manager, the trustee, a member of the board or the auditor of a fund may be replaced;

if, an appropriate special resolution has been passed by the unitholders at a meeting convened by the unitholders solely for that purpose.

(2) Any other materially significant changes not falling within subsection (1), such as replacing a member of the sharia's supervisory board or changes to the constitution or prospectus, which may adversely affect the unitholders may be made in relation to a fund if an appropriate ordinary resolution has been passed by a simple majority of the unitholders at a meeting convened for that purpose.

(3) If the fund manager and if appointed, the trustee, consider on reasonable grounds that the change is not one that falls within subsection (1) or (2) and will not adversely affect unitholders' rights, such change may be made by the fund manager without recourse to the unitholders other than to notify them after the change has been effected.

(4) The Centre may, by rules, prescribe—

(a) further requirements applicable for any changes to the fund, including the changes referred to in this section; and

(b) exemptions from the requirements in this section.

(5) The fund manager of a domestic fund shall give notice in writing to the Centre of any proposal specified in subsection (1). Any such notice given to the Centre shall be accompanied by a certificate signed by the fund manager and, if appointed, the trustee of the fund to the effect that the proposed change will not affect compliance with these regulations or any rules made in these regulations.

(6) Effect is not to be given to any proposal notified to the Centre under subsection (5) unless the Centre has, by notice in writing, given its approval to the proposal.

(7) An approved change must not be made to the trust deed of an investment trust except by a deed, expressed to be supplemental to the trust deed, entered into jointly by the fund manager and the trustee.

Grant or rejection of proposed alteration

162. (1) The Centre may approve a proposed alteration if it is satisfied that the requirements in section 35 have been met.

(2) The Centre may refuse to grant approval of a proposed alteration if it is not satisfied that the requirements in Section 161 have been met.

(3) If the Centre decides to exercise its power under subsection (2), the fund manager or the trustee (if appointed) may refer the matter to the Appeals Tribunal for review.

Suspension of dealings in units

163. (1) The fund manager may, in the case of an open-ended domestic fund, temporarily suspend the issue, cancellation, sale and redemption of units ("dealings in units") in the fund where—

(a) due to exceptional circumstances, it is in the interest of the unitholders in the fund to do so; and

(b) if there is an appointed trustee—

(i) it has obtained the prior agreement of the trustee for the suspension of dealings in units; or

(ii) in the event that no agreement can be reached with the trustee, upon request to the Centre, the Centre has issued a stop order under section 195.

(2) The fund manager shall continue the suspension of dealings in units only for so long as it reasonably believes that the suspension is in the interests of the unitholders of the fund.

(3) Upon suspension of dealings in units, the fund manager shall, in writing, notify the Centre immediately, and the unitholders as soon as practicable, of the suspension and its reasons for doing so.

(4) This section and rules made for the purposes of this section apply to an open-ended cell of a protected cell company as if that cell were an open-ended fund.

(5) The Centre may, by rules, prescribe any additional requirements or matters relating to the suspension of dealings in units in an open-ended domestic fund.

PART V

GOVERNANCE OF DOMESTIC FUND

Systems and controls requirement

164. (1) A fund manager of a domestic fund shall establish and maintain systems and controls, including but not limited to financial and other risk controls, to ensure sound management of the fund—

(a) in accordance with the fund's constitution, its most recent prospectus, these regulations and the rules made for the purposes of these regulations; and

(b) taking account of the risks to which the fund may be exposed, due to the nature, scale and complexity of the fund's investments and operations.

(2) The Centre may, by rules, prescribe any additional requirements relating to systems and controls that must be established and implemented by the fund manager of certain types of, or specialist classes of, domestic funds.

Requirements relating to oversight arrangements

165. (1) A fund manager of a domestic fund which is, or is to be, a public fund shall—

(a) establish and maintain one of the permitted oversight arrangements prescribed in the rules; and

(b) ensure that a person appointed to carry out the oversight function for the fund meets the independence criteria set out in section 168 of these regulations and any additional suitability criteria prescribed in rules made for the purposes of this section.

(2) The Centre may at any time object to a particular oversight arrangement or an individual appointed to carry out the oversight function for a fund and require the fund manager to appoint a replacement if it appears to the Centre that the requirements in subsection (1) are not being met.

Powers and functions of the persons undertaking the oversight function

166. (1) A fund manager shall ensure that each person undertaking the oversight function for the fund is appointed with the necessary powers and resources to discharge its duties and functions and is required to—

(a) monitor whether the fund manager is—

(i) managing the fund in accordance with the constitution and the most recent prospectus of the fund and any investments and borrowing limitations or other restrictions imposed on the fund under these regulations or any rules made for the purposes of these regulations; and

(ii) complying with any terms and conditions on the fund manager's licence, particularly with respect to the management of the fund; and

(b) assess whether the fund manager's systems and controls, particularly those relating to risk management and compliance, operate as intended and remain adequate;

(c) report to the fund manager on its findings, including any actual or potential breaches or inadequacies in relation to the matters specified in subsection (1)(a) and (b), as soon as such breaches or inadequacies are identified or suspected; and

(d) report to the Centre if—

(i) the fund manager has failed, or appears likely to fail, to take appropriate action to rectify or remedy a matter reported to it within thirty (30) days of that matter being so reported; and

(ii) that person believes that the matter has had, or is likely to have, a materially adverse impact on the interests of the unitholders of the fund.

(2) The Centre may, by rules, prescribe any additional matters or requirements relating to the oversight function or persons providing the oversight function for a public fund, including any period shorter than the period referred to in subsection (1) (d) for reporting certain matters to the Centre.

Duties of person providing oversight functions

167. (1) Each person appointed to provide the oversight function to a fund shall—

(a) act honestly;

(b) exercise the degree of care and diligence that a reasonable person would exercise if he were in that person's position;

(c) act in the best interests of the unitholders in the fund and, if there is a conflict between the unitholders' interests and his own interests, give priority to the unitholders' interests;

(d) not make improper use of his position, or information acquired in that position, in order to—

(i) gain an improper advantage for himself or another person; or

(ii) cause detriment to unitholders in the fund;

(e) disclose to the fund's auditor any information relevant for the auditor to discharge its obligations;

(f) comply with any other duty or obligation as the Centre may prescribe under these regulations or any other legislation administered by the Centre, and

(g) carry out or comply with any other duty, not inconsistent with International Financial Services Centre Law, that is conferred on him by the fund's constitution.

(2) A person providing the oversight function for a fund is to take all reasonable steps to assist the Centre in exercising its powers.

(3) Without limiting the application of any provision of these regulations and any rules made for the purposes of these regulations, a person providing an oversight function does not contravene any duty to which that person is subject where that person gives to the Centre—

(a) a notification as required under this chapter; or

(b) any other information or opinion in relation to any such matter;

if the person is acting in good faith and reasonably believes that the notification, information or opinion is relevant to any functions of the Centre.

Independence

168. (1) A person providing an oversight function meets the independence criteria specified in section 165 (1) (b) (i) if, subject to subsection (3), he—

(a) is not, and has not been in the previous two (2) years, an employee or an executive director or officer of the fund manager or a body corporate in the same group (a "related body corporate");

(b) is not, and has not been in the previous two (2) years, involved in material business dealings, or in a professional capacity, with the fund manager or a related body corporate;

(c) is not a member of a partnership or a trustee of a trust that is, or has been in the previous two (2) years, substantially involved in business dealings, or in a professional capacity, with the fund manager or a related body corporate;

(d) does not have a material interest in the fund manager or a related body corporate;

(e) is not a relative or de facto spouse of a person who has a material interest in the fund manager, or a related body corporate of a kind described in subsection (1) (a) and to (d); and

(f) if he or she is a person acting for the trustee of the fund where the latter is appointed for providing the oversight function, he or she meets the independence criteria set out in this section.

(2) A person does not cease to be independent for the purposes of this section merely by virtue of being appointed as a person providing the oversight function for a fund.

(3) The Centre may, by rules, prescribe when a legal entity appointed as the person providing the oversight function to a fund may or may not meet the independence criteria for the purposes of this section.

PART VI

MARKETING OF DOMESTIC AND FOREIGN FUND

Applicable laws

169. (1) An offer to issue or sell a unit or an interest in a unit of a fund ("unit of a fund") is governed by these regulations and the rules made for the purposes of these regulations, except to the extent otherwise provided in subsection (2).

(2) For the purposes of this Part and the rules made for the purposes of this Part, the offer of a unit of a fund ("offer of a unit") has the meaning given to it in Section 145.

Marketing prohibition

170. (1) Subject to subsection (2), a person shall not, in or from the Centre, offer a unit of a fund to a prospective or existing unitholder unless—

(a) a prospectus that complies with the requirements in these regulations and the rules made for the purposes of these regulations is made available to such a unitholder;

(b) the person making the offer is either the fund manager of the fund or an authorised firm whose licence authorises it to do so; and

(c) the offer is made in accordance with the requirements in these regulations and the rules made for the purposes of these regulations.

(2) The Centre may, by rules, exempt any person or class of persons from the prohibition in subsection (1) and, in doing so, may subject such person or class of persons to any conditions it considers appropriate.

(3) A prospectus includes, except where expressly stated otherwise—

(a) an information memorandum in respect of an offer of a unit of an exempt fund or a qualified investor fund;

(b) a supplementary or replacement prospectus; and

(c) in the case of an external fund or foreign fund, the units of which are marketed in or from the international financial services centre, any prospectus or other disclosure document prepared in accordance with the laws applicable to that external fund or foreign fund.

Prospectus requirement

171. (1) The fund manager of a domestic fund other than an external fund shall—

(a) produce a prospectus in accordance with the requirements in these regulations; and

(b) if the fund is a public fund, file a copy of the prospectus with the Centre.

(2) A fund manager of an external fund shall ensure that any prospectus or other disclosure document prepared in accordance with any legislation applicable to that external fund contains any additional disclosure prescribed by the rules.

Prospectus content

172. (1) The presentation of the information in a prospectus shall be clear, fair and not misleading.

(2) A prospectus shall contain all the information which a person and their professional advisers would reasonably require and expect to find in a prospectus to be able to make an informed decision to become a unitholder of the fund.

(3) Without limiting the generality of the obligation in subsection (2), the Centre may, by rules, prescribe the information that must be included in a prospectus for the purposes of this section, including different provisions for different types of, or specialist classes of, domestic fund and any reduced content requirements for exempt fund and qualified investor fund.

(4) If at any time after the issue of a prospectus there is a material change affecting any matter contained in the prospectus or a significant new matter arises, the fund manager shall, in accordance with the requirements prescribed in the rules, issue a supplementary or a replacement prospectus.

Publicity

173. (1) A person undertaking a financial promotion in respect of a prospectus shall ensure that—

(a) the information contained in the prospectus complies with these regulations and the rules made for the purposes of these regulations;

(b) the fund manager, in the case of a public fund, has filed a copy of the prospectus with the Centre; and

(c) the financial promotion states that a prospectus has been published and gives an address where a copy may be collected in the international financial services centre.

(2) Nothing in subsection (1) prevents a person from issuing a financial promotion before the issue of a prospectus, provided it clearly states that a prospectus will be issued and where a copy may be collected in the International Financial Services Centre.

Marketing of foreign fund

174. (1) An authorised firm may only offer a unit of a foreign fund if—

(a) the foreign fund meets either the criteria for a designated fund in a recognised jurisdiction; or other criteria prescribed in the rules; or

(b) the authorised firm has a reasonable basis for recommending the unit of the foreign fund as suitable for the particular client to whom the offer is made; or

(c) the foreign fund is a type of fund that has its units offered to persons only by way of a private placement to persons who meet the criteria to be classified as professional clients and requires an initial subscription of at least fifty thousand United States Dollars ($50,000) to be paid by a person to become a unitholder in the fund.

(2) For the purposes of subsection (1), the Centre may, by rules, prescribe any additional criteria, requirements or conditions that apply to the offer of units of a foreign fund, including—

(a) disclosure to be made to persons to whom such offers are made;

(b) when an offer document produced in accordance with the legislation applicable in a jurisdiction other than the International Financial Services Centre is to be taken to comply with the requirements of these regulations and any rules made for the purposes of these regulations;

(c) whether such funds are required to be open-ended or closed-ended, listed or unlisted, or meet any additional requirements relating to their legal form or manner of distribution; and

(d) the circumstances in which the Islamic quality of the fund may be promoted by using the words sharia's compliant or Islamic in the name of the foreign fund or otherwise holding out that the fund is in any way Islamic or sharia's compliant.

Recognition and designation

175. (1) The Centre may recognise any country or territory and designate any type of fund constituted and domiciled in such a country or territory for the purposes of these regulations.

(2) The Centre may not recognise any country or territory nor designate any fund in that country or territory for the purposes of this section unless it is satisfied—

(a) that the law and practice under which the relevant foreign fund is authorised or approved and supervised in that country or territory is broadly equivalent to the International Financial Services Centre's regulatory regime as it applies to a domestic fund;

(b) that the law and practice under which fund managers and eligible custodians are authorised or licensed and supervised in that country or territory is broadly equivalent to the International Financial Services Centre's regulatory regime as it applies to such a person; and

(c) that adequate arrangements exist, or will exist, for co-operation between the regulator in that country or territory, responsible for such authorisation, licensing, approval and supervision and the international financial services centre.

(3) Any country or territory recognised under this section shall be a "recognised jurisdiction", and the Centre shall publish a list of such jurisdictions by means of a written notice. The Centre may remove from that list any jurisdiction or fund where the Centre is no longer satisfied that the jurisdiction or Fund meets the criteria in subsection (2).

(4) Any foreign fund designated under this section shall be a "designated fund", and a description of such a fund shall be included in the list referred to in subsection (3).

(5) Any notice issued under this section may contain such limitations or restrictions as the Centre considers appropriate and may make different provisions for different cases.

Misleading and deceptive statements

176. (1) A person shall not make an offer of units if there is—

(a) a misleading or deceptive statement in the relevant prospectus, any application form that accompanies the relevant prospectus or any other document that relates to the offer, or the application form;

(b) an omission from any document specified in subsection (1) (a) of information that is required to be stated or that is necessary to make the statement not misleading or deceptive; or

(c) a new circumstance that under these regulations or the rules requires a supplementary or replacement prospectus to be published or issued, and this has not been published or issued.

(2) A person shall not, in or from the international financial services centre, make a misleading or deceptive statement in relation to a Fund or in connection with an offer of units, whether in the international financial services centre or elsewhere.

(3) This section does not apply to conduct which occurs outside the international financial services centre unless the conduct affects the international financial services centre markets or users of the international financial services centre markets.

Defences to misconduct

177. (1) A person does not commit a contravention of section 176 if that person proves that he—

(a) made all inquiries that were reasonable in the circumstances; and

(b) after doing so, believed on reasonable grounds that the statement or omission was not misleading or deceptive.

(2) A person does not commit a contravention of section 176 if that person proves that reasonable reliance was placed on information given to that person by—

(a) if the person is a body corporate, someone other than a director, employee or agent of that body corporate; or

(b) if the person is a natural person, someone other than an employee or agent of that individual.

(3) For the purposes of subsection (2), a person does not become an agent of another person simply because he performs a particular professional or advisory function for the person.

Liability for misleading statements

178. (1) Any person prescribed in the rules made by the Centre as being responsible for a prospectus is liable to pay compensation to another person who has acquired units to which the prospectus relates and who has suffered loss or damage arising from any untrue, deceptive or misleading statement in the prospectus or the omission from it of any material matter required to have been included in the prospectus under these regulations or rules made pursuant to these regulations..

(2) The Centre may make rules prescribing circumstances in which a person who would otherwise be liable under subsection (1) will not be so liable.

(3) Nothing in this section affects the powers, rights or liabilities that any person may have apart from this section, including the power to institute proceedings.

(4) Nothing in this section prevents a person who suffers any loss or damage arising from acting in reliance on any untrue, deceptive or misleading statement made in relation to a fund or in connection with an offer of units by a person other than those referred to in subsection (1) from being able to recover any loss suffered by that person as a result of relying on such statements.

PART VII

TRANSFER SCHEMES AND WINDING UP OF DOMESTIC FUND

Application of this part to protected cell companies

179. (1) Where a domestic fund uses the form of a protected cell company, the provisions in this Part also apply to individual cells of that company as if each cell were a separate fund, except where otherwise provided in the constitution or prospectus of that fund in accordance with these regulations and any other laws that apply to such fund.

(2) The Centre may, by rules, prescribe any additional requirements or conditions that apply to such fund.

Transfer schemes

180. (1) A domestic fund may be transferred in whole or in part to another body in accordance with this Part.

(2) The Centre may make rules for the purposes of this section pursuant to the power conferred under the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026.

When domestic fund may be wound up

181. A domestic fund may be wound in the manner and circumstances provided in the fund's constitution, in any other circumstances as may be prescribed in the rules.

Winding up required by a fund's constitution

182. A constitution of a fund may provide that the fund is to be wound up—

(a) at a specified time; or

(b) in specified circumstances or on the happening of a specified event;

but a provision of the constitution that purports to provide that the fund is to be wound up if a particular authorised firm ceases to be its fund manager or trustee is of no effect, including for the purposes of section 185(1)(a).

Winding up at direction of unitholders

183. If the unitholders of a fund want the fund to be wound up, such persons may call an extraordinary meeting to pass a special resolution directing the fund manager or, where appointed, the trustee to wind up the fund.

Winding up if fund's purpose has been accomplished or cannot be accomplished

184. (1) If the fund manager considers that the fund is not commercially viable or that the purpose of the fund has been accomplished or cannot be accomplished, it may, in accordance with this section, take steps to wind up the fund.

(2) The fund manager shall give to the unitholders of the fund and to the Centre a notice in writing—

(a) explaining the proposal to wind up the fund, including explaining how the fund's purpose has been accomplished or why that purpose cannot be accomplished;

(b) informing the unitholders of their rights to call a unitholders' meeting to consider the proposed winding up of the fund and to vote on any special resolution that unitholders propose about the winding up of the fund; and

(c) informing the unitholders that the fund manager, or where appointed, the trustee is permitted to wind up the fund unless a meeting is called to consider the proposed winding up of the fund within twenty-eight (28) days of the fund manager giving notice to the unitholders.

(3) If no meeting is called within those twenty-eight (28) days to consider the proposed winding up, the fund manager or where appointed, the trustee may wind up the fund.

Winding up

185. (1) The Centre may order the winding up of a domestic fund if—

(a) in contravention of these regulations, the fund manager of the fund has not been granted consent to incorporate or register the fund as an investment company, or investment partnership, as the case may be;

(b) in contravention of Part VII of these regulations, the fund has not been registered with the Centre, or the Centre has withdrawn the registration of the fund;

(c) there is a stop order made pursuant to Section 189 in effect in relation to the fund, and the fund manager is unable to comply with the requirements of these regulations, or any other law administered by the Centre;

(d) the fund manager or other member of the fund's board, or where appointed, the trustee believes on reasonable grounds that a scheme of arrangement is not practical or possible;

(e) the Centre thinks it is just and equitable to make the order;

(f) within three (3) months before the application for the order was made, execution or other process was issued on a judgment, decree or order obtained in the Appeals Tribunal or in any other court whether in the state or otherwise which is final and not subject to appeal in favour of a creditor of, and against, the fund or the fund manager in its capacity as the fund manager of the fund and the execution or process has been returned unsatisfied; or

(g) an application has been made under section 151(2) of these regulations for the removal of the fund manager.

(2) The Centre may make any orders it considers appropriate for the winding up of the domestic fund, including but not limited to—

(a) an order appointing a person other than the fund manager or, where appointed, the trustee to take responsibility for ensuring the fund is wound up in accordance with its constitution and any orders under this section as it thinks expedient, including for the reason that the fund manager or trustee has ceased to exist or is not properly discharging its obligations in relation to the winding up; and

(b) directions as to how the fund is to be wound up, including for the reason that the provisions in the fund's constitution are inadequate or impracticable.

(3) Orders under subsection (1) (a), (b) or (c) or (2) may be made on the application of—

(a) the fund manager or other members of the board of the fund;

(b) the trustee;

(c) the auditor of the fund;

(d) a unitholder in the fund; or

(e) the Centre.

(4) An order under subsection (1) paragraph (f) may be made on the application of a creditor.

Unclaimed or undistributed property

186. If, on completion of the winding up of a fund, the person who has been winding up the fund has in his possession or under his control any unclaimed or undistributed money or other property that was part of the Fund property, the person shall, as soon as practicable, pay the money into a fund established by the Centre for that purpose.

Reinstatement of domestic fund

187. (1) Where a domestic fund has been wound up in accordance with or purported compliance with these regulations, the rules or its constitution, the Appeals Tribunal may make any order for reinstatement of the fund or discontinuance of the winding up proceedings if—

(a) an application for the reinstatement or the discontinuation of the winding up proceedings is made to the Appeals Tribunal by a person aggrieved by the winding up or a person who was winding up the fund; and

(b) the Appeals Tribunal is satisfied that it is just and equitable that the fund be reinstated or the winding up proceedings be discontinued.

(2) The Appeals Tribunal may give any directions it thinks just for putting the fund and other persons in the same position, as far as possible, as if the fund had not been wound up.

PART VIII

CENTRE'S POWERS IN RELATION TO FUND

Powers of supervision

188. (1) The Centre may, at any time, require from the fund manager and where appointed the trustee of a domestic fund, such information as is necessary or deemed necessary to ascertain whether the fund and the fund manager or if appointed trustee are complying with the fund's constitution or prospectus and with any relevant provisions of or made under any legislation administered by the Centre.

(2) The fund manager, and where appointed, the trustee shall comply with any such request for information within any time limit specified by the Centre.

Stop orders

189. If the Centre is satisfied that—

(a) any prospectus or other document referred to in section 176(1) (a) is misleading or deceptive;

(b) any dealings in a unit in a domestic fund would contravene or have contravened these regulations or the rules;

(c) the fund manager is operating a type of, or specialist class of, a domestic fund for which it is not authorised under its licence;

(d) due to exceptional circumstances it is in the interest of the unitholders in the fund;

(e) it is in the interests of the Centre; or

(f) the fund manager has failed to comply with a direction given under section 153(4);

the Centre may issue a stop order directing that no offers, issues, redemptions, sales or transfers of the units of the fund be made for such a period of time as it thinks appropriate.

PART IX

GENERAL

Jurisdiction of Appeals Tribunal in relation to regulatory proceedings

190. The Banking (Victoria Falls International Financial Services Centre) (Arbitration) Regulations, 2026 shall apply to any regulatory proceeding in relation to any issue arising out of an offer of units of a fund or in respect of the management and operation of a fund.

Fees

191. The Centre may make rules providing for the payment of fees to the Centre.

Filing of material with Centre

192. The Centre may, by means of rules, require the filing of certain material, including, without limitation, in relation to applications for registration, notification, constitutional documents, prospectuses, and other documents.

CHAPTER V

MARKET ABUSE

Market abuse

193. A person may not behave in relation to an investment or anything which is the subject matter of or whose price or value is expressed by reference to the price or value of an investment, where such behaviour consists of that person—

(a) acquiring or disposing of, or attempting to acquire or dispose of, for his own account or for the account of a third party, either directly or indirectly, an investment, on the basis of inside information relating to the investment;

(b) disclosing inside information to another person other than in the proper course of the exercise of his employment, profession or duties;

(c) recommending or inducing any person, on the basis of inside information, to acquire or dispose of an investment to which that information relates;

(d) effecting, or participating in effecting, transactions or orders to trade otherwise than for legitimate reasons in conformity with accepted market practice on the relevant market, which—

(i) give, or are likely to give a false or misleading impression as to the supply of, or demand for, or as to the price or value of, one or more investments, or

(ii) secure the price of one or more investments at an abnormal or artificial level;

(e) effecting, or participating in effecting, transactions or orders to trade which employ fictitious devices or any other form of deception or contrivance; or

(f) disseminating, or causing the dissemination of, information by any means which gives, or is likely to give, a false or misleading impression as to an investment by a person who knew or could reasonably be expected to have known that the information was false or misleading.

Definition of market abuse

194. The following conduct, wherever it occurs and whether engaged or participated in directly or indirectly, amounts to market abuse—

(a) unlawful disclosure of inside information;

(b) engaging or attempting to engage in insider dealing;

(c) recommending that another person engage in insider dealing;

(d) inducing another person to engage in insider dealing;

(e) engaging or attempting to engage in market manipulation; and

(f) recommending that another person engage in market manipulation.

Conduct not amounting to market abuse

195. The following conduct does not amount to market abuse for the purposes:

(a) disclosure of inside information made during a market sounding;

(b) the behaviour described in sections 204 and 205;

(c) accepted market practices established under section 207; and

(d) conduct of another activity which occurs outside the international financial services centre unless it affects the international financial services centre markets or their users.

Definition of inside information

196. Inside information is information of a precise nature which—

(a) has not been made public; and

(b) relates directly or indirectly, to one or more issuers or to one or more investments; and

(c) would, if it were made public, be likely to have a significant effect on the prices of those investments or on the price of related investments.

Definition of inside information (execution of orders)

197. For persons charged with the execution of orders concerning investments, inside information—

(a) has the meaning given in section 19 of the Banking (Victoria Falls International Financial Services Centre) (General Regulations), 2026; and

(b) is information conveyed by a client and relating to the client's pending orders in investments, which—

(i) is of a precise nature; and

(ii) relates directly or indirectly to one or more Issuers or to one or more investments; and

(iii) if it were made public, would be likely to have a significant effect on the prices of those investments, the price of related spot commodity contracts, or on the price of related investments.

Definition of information of 'precise nature'

198. (1) Information will be deemed to be of a precise nature if it—

(a) indicates a set of circumstances which exists or which may reasonably be expected to come into existence, or an event which has occurred or which may reasonably be expected to occur; and

(b)is specific enough to enable a conclusion to be drawn as to the possible effect of that set of circumstances or event on the prices of the investments or the related investments.

(2) In the case of a protracted process that is intended to bring about, or that results in, particular circumstances or a particular event, those future circumstances or that future event, and also the intermediate steps of that process which are connected with bringing about or resulting in those future circumstances or that future event, may be deemed to be precise information.

Definition of information likely to have 'significant effect'

199. Information which, if it were made public, would be likely to have a significant effect on the prices of investments means information which a reasonable investor would be likely to use as part of the basis of his or her investment decisions.

Unlawful disclosure of inside information

200. Unlawful disclosure of inside information occurs where—

(a) a person specified in section 201 possesses inside information and discloses that information to any other person, except where the disclosure is made in the normal exercise of an employment, a profession or duties; or

(b) a person to whom a recommendation to engage in insider dealing is made or who is induced to engage in insider dealing, within the meaning of section 202(2), discloses the recommendation or inducement to another where a knows or ought to know that the recommendation or inducement was based on inside information.

Persons possessing inside information

201. Section 200 (a) applies to—

(a) any person who possesses inside information as a result of—

(i) being a member of the administrative, management or supervisory bodies of the issuer; or

(ii) having a holding in the capital of the issuer; or

(iii) having access to the information through the exercise of an employment, profession or duties; or

(iv) being involved in criminal activities;

(b) any person who possesses inside information other than under the circumstances specified in paragraph (a), where that person knows or ought to know that the information is inside information.

Insider dealing

202. (1) The following amounts to insider dealing—

(a) the use, by a person who possesses inside information, of that information by acquiring or disposing of, for its own account or for the account of a third party, directly or indirectly, investments to which that information relates; or

(b) the use of inside information by cancelling or amending an order concerning an investment to which the information relates, where the order was placed before the person concerned possessed the inside information; or

(c) the use of recommendations or inducements to engage in insider trading, where the person using the recommendation or inducement knows or ought to know that it is based on inside information.

(2) A person (‘a’) recommends another person (‘b’) to engage in insider dealing or induces (b) to engage in insider dealing, where a possesses inside information and—

(a) recommends, on the basis of that information, that (‘b’) acquires or disposes of investments to which that information relates, or induces (‘b’) to make such an acquisition or disposal; or

(b) recommends, on the basis of that information, that (‘b’) cancels or amends an order concerning an investment to which that information relates, or induces (‘b’) to make such a cancellation or amendment.

Persons to whom section 202 applies

203. This section applies—

(a) to any person who possesses inside information as a result of—

(i) being a member of the administrative, management or supervisory bodies of the issuer; or

(ii) having a holding in the capital of the issuer; or

(iii) having access to the information through the exercise of an employment, profession or duties; or

(iv) being involved in criminal activities;

(b) to any person who possesses inside information other than under the circumstances specified in subsection (a), where that person knows or ought to know that the information is inside information; or

(c) where the person in subsections (a) or (b) is a legal person, in addition to that legal person, to the natural persons who participate in the decision to carry out the acquisition, disposal, cancellation or amendment of an order for the account of the legal person concerned.

Behaviour that does not constitute insider dealing

204. (1) a person who is or who has been in possession of inside information will not be deemed to have used that information for the acquisition or disposition of investments merely because he or she is or was in possession of inside information.

(2) Where the person referred to in subsection (1) is a legal person and has—

(a) has established, implemented and maintained adequate and effective internal arrangements and procedures that effectively ensure that neither the natural person who made the decision on its behalf to acquire or dispose of investments to which the information relates, nor another natural person who may have had an influence on that decision, was in possession of the inside information; and

(b) has not encouraged, made a recommendation to, induced or otherwise influenced the natural person who, on behalf of the legal person, acquired or disposed of investments to which the information relates.

(3) Where the person referred in subsection (1)—

(a) for the investments to which the information relates, is a market maker or a person authorised to act as a counterparty, and the acquisition or disposal of investments to which that information relates is made legitimately in the normal course of the exercise of its function as a market maker or as a counterparty for those investments; or

(b) is authorised to execute orders on behalf of third parties and the acquisition or disposal of investments to which the order relates, is made to carry out such an order legitimately in the normal course of the exercise of that person's employment, profession or duties;

(c) where the person referred in subsection (1) conducts a transaction to acquire or dispose of investments, and that transaction is carried out in the discharge of an obligation that has become due in good faith and not to circumvent the prohibition against insider dealing, and—

(i) that obligation results from an order placed or an agreement concluded before the person concerned possessed inside information; or

(ii) that transaction is carried out to satisfy a legal or regulatory obligation that arose before the person concerned possessed inside information.

(4) The Centre shall not deem from the mere fact that a person is in possession of inside information that that person has used that information and has thus engaged in insider dealing—

(a) where such a person has obtained that inside information in the conduct of a public takeover or merger with a company and uses that inside information solely for the purpose of proceeding with that merger or public takeover; and

(b) provided that at the point of approval of the merger or acceptance of the offer by the shareholders of that company, any inside information has been made public or has otherwise ceased to constitute inside information.

Behaviour that does not constitute insider dealing (use of own knowledge)

205. (1) The mere fact that a person uses its own knowledge that it has decided to acquire or dispose of investments in the acquisition or disposal of those investments will not of itself constitute use of inside information.

(2) Notwithstanding the provisions in section 200 and this section, an infringement of the prohibition of insider dealing may still be deemed to have occurred if the Centre establishes that there was an illegitimate reason for the orders to trade, transactions or behaviours concerned.

Market manipulation

206. The following activities constitute market manipulation:

(a) entering into a transaction, placing an order to trade or any other behaviour which—

(i) gives, or is likely to give, false or misleading signals as to the supply of, demand for, or price of a security; or

(ii) secures, or is likely to secure, the price of one or several securities at an abnormal or artificial level;

unless the person entering into a transaction, placing an order to trade or engaging in any other behaviour establishes that such transaction, order or behaviour has been carried out for legitimate reasons, and conforms with an accepted market practice in section 207 (accepted market practice); and

(b) entering into a transaction, placing an order to trade or any other activity or behaviour which affects or is likely to affect the price of one or several securities, which employs a fictitious device or any other form of deception or contrivance;

(c) disseminating information through the media, including the internet, or by any other means, which gives, or is likely to give, false or misleading signals as to the supply of, demand for, or price of, a security, or secures, or is likely to secure, the price of one or several securities, at an abnormal or artificial level, including the dissemination of rumours, where the person who made the dissemination knew, or ought to have known, that the information was false or misleading;

(d) transmitting false or misleading information or providing false or misleading inputs in relation to a benchmark where the person who made the transmission or provided the input knew or ought to have known that it was false or misleading, or any other behaviour which manipulates the calculation of a benchmark;

(e) the conduct by a person, or persons acting in collaboration, to secure a dominant position over the supply of or demand for a security which has, or is likely to have, the effect of fixing, directly or indirectly, purchase or sale prices or creates, or is likely to create, other unfair trading conditions;

(f) the buying or selling of securities, including at the opening or closing of the market, which has or is likely to have the effect of misleading investors acting on the basis of the prices displayed, including the opening or closing prices; and

(g) the placing of orders to a trading platform, including any cancellation or modification thereof, by any available means of trading, including by electronic means, such as algorithmic and high-

frequency trading strategies, and which has one of the effects referred to in subsection (a) or (b), by—

(i) disrupting or delaying the functioning of the trading system of the trading platform or being likely to do so; or

(ii) making it more difficult for other persons to identify genuine orders on the trading system of the trading platform or being likely to do so, including by entering orders which result in the overloading or destabilisation of the order book; or

(iii) creating or being likely to create a false or misleading signal about the supply of, or demand for, or price of, a security, in particular by entering orders to initiate or exacerbate a trend;

(h) the taking advantage of occasional or regular access to the traditional or electronic media by voicing an opinion about a security or indirectly about its issuer while having previously taken positions on that security and profiting subsequently from the impact of the opinions voiced on the price of that instrument without having simultaneously disclosed that conflict of interest to the public in a proper and effective way.

Accepted market practice

207. The activities referred to in section 206 (a) will not constitute market manipulation if the person entering into a transaction, placing an order to trade or engaging in any other behaviour establishes that such transaction, order or behaviour has been carried out for legitimate reasons, and conforms with an accepted market practice as established by the Centre.

Market soundings

208. The following constitute market sounding—

(a) the communication of information, before the announcement of a transaction, in order to gauge the interest of potential investors in a possible transaction and the conditions relating to it, such as its potential size or pricing, to one or more potential investors by—

(i) an issuer; or

(ii) a secondary offeror of a security, in such quantity or value that the transaction is distinct from ordinary trading and involves a selling method based on the prior assessment of potential interest from potential investors; or

(iii) a third party acting on behalf of or on the account of a person referred to in subsection (i) or (ii); and

(b) disclosure of inside information by a person intending to make a takeover bid for the securities of a company or a merger with a company to parties entitled to the securities, will also constitute a market sounding, provided that—

(i) the information is necessary to enable the parties entitled to the securities to form an opinion on their willingness to offer their securities;

(ii) the willingness of parties entitled to the securities to offer their securities is reasonably required for the decision to make the takeover bid or merger; and

(iii) disclosure of inside information made in the course of market sounding will be deemed to be made in the normal exercise of a person's employment, profession or duties and will not constitute unlawful disclosure of inside information in section 200 provided that the person making the disclosure complied with the requirements in section 209 (Requirements on a person conducting or intending to conduct market sounding).

Requirements for person conducting or intending to conduct market sounding

209. A market participant must—

(a) prior to conducting a market sounding, consider whether the market sounding will involve the disclosure of inside information and make a written record of its conclusions and reasons thereof; and

(b) before making the disclosure of inside information—

(i) obtain the consent of the person receiving the market sounding to receive inside information; and

(ii) inform the person receiving the market sounding that he is prohibited from using that information, or attempting to use that information, by acquiring or disposing of, for his own account or for the account of a third party, directly or indirectly, securities relating to that information; and

(iii) inform the person receiving the market sounding that he is prohibited from using that information, or attempting to use that information, by cancelling or amending an order which has already been placed concerning a security to which the information relates; and

(iv) inform the person receiving the market sounding that by agreeing to receive the information, he is obliged to keep the information confidential; and

(c) make and maintain a record of all information given to the person receiving the market sounding, including the information given in accordance with subsections (i) to (iv), and the identity of the potential investors to whom the information has been disclosed, including but not limited to the legal and natural persons acting on behalf of the potential investor, and the date and time of each disclosure. The disclosing market participant must provide that record to the competent authority upon request; and

(d) provide its written record to the Centre upon request, prior to conducting a market sounding.

Information which ceases to be inside information

210. Where information that has been disclosed during a market sounding ceases to be inside information according to the assessment of the disclosing market participant, the disclosing market participant must inform the recipient accordingly, as soon as possible and maintain a record of the information given to the recipient.

Record keeping

211. The disclosing market participant must keep the records referred to in sections 209 and 210 for a period of at least five (5) years.

PART II

MARKET DISCLOSURE

Obligation to disclose inside information to public

212. (1) An issuer must inform the public as soon as possible of inside information which directly concerns that issuer.

(2) The issuer must—

(a) ensure that the inside information is made public in a manner which enables fast access and complete, correct and timely assessment of the information by the public; and

(b) not combine the disclosure of inside information to the public with the marketing of its activities; and

(c) post and maintain on its website for a period of at least five (5) years, all inside information it is required to disclose publicly.

(3) An issuer may delay disclosure of inside information to the public if all of the following conditions are met:

(a) immediate disclosure is likely to prejudice the legitimate interests of the issuer;

(b) delay of disclosure is not likely to mislead the public; and

(c) the issuer is able to ensure the confidentiality of that information.

(4) In the case of a protracted process that occurs in stages and that is intended to bring about, or that results in, a particular circumstance or a particular event, an issuer may delay the public disclosure of inside information relating to this process, subject to subsection (3).

(5) Where an issuer has delayed the disclosure of inside information under subsection (3) or (4), it must inform the Centre and the authorised securities exchange that disclosure of the information was delayed and must provide a written explanation of how the conditions set out in subsection (3) were met, immediately after the information is disclosed to the public.

(6) Where disclosure of inside information has been delayed in accordance with subsection (3) or (4) and the confidentiality of that inside information is no longer ensured, the issuer must disclose that inside information to the public as soon as possible.

(7) Where an issuer, or a person acting on their behalf or for their account, discloses any inside information to any third party in the normal course of the exercise of an employment, profession or duties as referred to in section 200 (unlawful disclosure of inside information):

(a) they must make complete and effective public disclosure of that information, simultaneously in the case of an intentional disclosure, and promptly in the case of a non- intentional disclosure; but

(b) the obligation in paragraph (a) does not arise where the person receiving the information owes a duty of confidentiality, whether such duty is based on law, regulations, articles of association or a contract.

Obligation to draw up insider lists

213. (1) An issuer, or a person acting on its behalf or on its account, must draw up a list of all persons who have access to inside information and who are working for them under a contract of employment, or otherwise performing tasks through which they have access to inside information, such as advisers, accountants or credit rating agencies (insider list).

(2) An issuer shall be responsible for complying with subsection (1), and where another person acting on behalf or on the account of the issuer assumes the task of drawing up and updating the insider list, the issuer remains fully responsible for complying with subsection (1).

(3) The insider list must include at least—

(a) the identity of any person having access to inside information; and

(b) the reason for including that person in the insider list; and

(c) the date and time at which that person obtained access to inside information; and

(d) the date on which the insider list was drawn up.

(4) An issuer, or a person acting on its behalf or on its account, must take all reasonable steps to ensure that any person on the insider list acknowledges in writing the legal and regulatory duties entailed and is aware of the sanctions applicable to insider dealing and unlawful disclosure of inside information.

(5) An issuer, or a person acting on its behalf or on its account, must update the insider list promptly, including the date of the update, in the following circumstances:

(a) where there is a change in the reason for including a person already on the insider list; and

(b) where there is a new person who has access to inside information and needs, therefore, to be added to the insider list; and

(c) where a person ceases to have access to inside information.

(6) Issuers or any person acting on their behalf must provide the insider list to the Centre as soon as possible upon its request.

(7) An issuer, or a person acting on its behalf or on its account, must retain the insider list for a period of at least five (5) years after it is drawn up or updated.

Notification of manager's transactions

214. Persons discharging managerial responsibilities within an issuer must notify the securities exchange and the Centre, in accordance with the rules in sections 214 to 216, of every transaction conducted on their own account relating to the shares or debt instruments of that issuer or to derivatives or other securities linked thereto.

Transactions on behalf of persons discharging managerial responsibilities

215. Transactions that must be notified under section 214 must also include—

(a) the pledging or lending of securities by or on behalf of a person discharging managerial responsibilities, save that a pledge, or a similar security interest, of securities in connection with the depositing of the securities in a custody account does not need to be notified, unless

and until such time that such pledge or other security interest is designated to secure a specific credit facility; and

(b) transactions undertaken by persons professionally arranging or executing transactions or by another person on behalf of a person discharging managerial responsibilities, including where discretion is exercised.

Content of notification

216. (1) The notification of transactions referred to in section 214 must contain the following information:

(a) the name of the person;

(b) the reason for the notification;

(c) the name of the relevant issuer;

(d) a description and the identifier of the security;

(e) the nature of the transaction(s) (e.g. acquisition or disposal), indicating whether it is linked to the exercise of share option programmes or to the specific examples set out in section 215;

(f) the date and place of the transaction(s); and

(g) the price and volume of the transaction(s) in the case of a pledge whose terms provide for its value to change, this should be disclosed together with its value at the date of the pledge.

(2) The notification in section 214 must be made promptly and no later than three business days after the date of the transaction.

(3) The issuer must ensure that the information that is notified in accordance with section 214 is made public promptly and no later than three business days after the transaction in a manner which enables fast access to the information on a non-discriminatory basis.

(4) Issuers must notify the person discharging managerial responsibilities of their obligations under section 214.

(5) An issuer must draw up a list of all persons discharging managerial responsibilities.

Dissemination of investment recommendations, statistics and information in the media

217. (1) Persons who produce or disseminate investment recommendations or other information recommending or suggesting an investment strategy must take reasonable care to ensure that such information is objectively presented, and to disclose their interests or indicate conflicts of interest concerning the investments to which that information relates.

(2) Public institutions disseminating statistics or forecasts liable to have a significant effect on financial markets must disseminate them in an objective and transparent way.

(3) For the purposes of section 201, section 206 (c), subsection (1) and (2), where information is disclosed or disseminated and where recommendations are produced or disseminated for the purpose of journalism or other form of expression in the media, such disclosure or dissemination of information must be assessed taking into account the rules governing the freedom of the press and freedom of expression in other media and the rules or codes governing the journalist profession, unless—

(a) the persons concerned, or persons closely associated with them, derive, directly or indirectly, an advantage or profits from the disclosure or the dissemination of the information in question; or

(b) the disclosure or the dissemination is made with the intention of misleading the market as to the supply of, demand for, or price of securities.

CHAPTER V

RECOGNITION OF FOREIGN BROKERS AND PASS PORTING

Recognition of foreign online brokers

218. (1) An entity authorised in a recognised jurisdiction to provide online brokerage or electronic trading services shall, upon application, be granted registration as an externally regulated registered person.

(2) Registration in terms of subsection (1) shall be deemed to include permission to provide clients with DEA to market institutions in the international financial services centre.

(3) An online broker authorised and supervised in a recognised International Organisation of Securities Commissions (IOSCO) compliant jurisdiction shall be exempt from duplicative due diligence obligations in relation to DEA clients, provided that it:

(a) supplies an annual certificate of good standing from its home regulator; and

(b) maintains compliance with the risk controls required by the Centre.

(4) A market institution may rely on the due diligence performed by the home regulator and the broker itself.

Pass porting of DEA clients

219. (1) Where an online broker is authorised in a recognised jurisdiction, its professional clients shall be deemed eligible for DEA access without further Centre review.

(2) The brokers shall remain responsible for the conduct of such clients under the international financial services centre law.

Pass porting & mutual recognition

220. (1) A firm licensed or authorised to conduct capital market activities by a financial services regulator in a jurisdiction recognised by the Centre as equivalent shall, upon application, be granted registration as an externally regulated registered person without the need to satisfy duplicative licensing requirements.

(2) For the purposes of subsection (1), the Centre shall from time to time publish a list of recognised jurisdictions whose regulatory frameworks meet international standards, including IOSCO principles and Basel requirements.

(3) A recognised foreign licensed broker shall be deemed to comply with prudential and conduct standards equivalent to those under these regulations, save that the Centre may impose additional requirements only where necessary to address systemic risk or investor protection concerns specific to the Centre.

Expedited registration process for foreign brokers

221. (1) The Centre shall establish an expedited registration process for foreign brokers who—

(a) are authorised in a recognised jurisdiction; and

(b) provide evidence of good standing from their home regulator within the last twelve (12) months.

(2) Registration under subsection (1) shall be granted within thirty (30) business days of receipt of a complete application, unless the Centre notifies the applicant of material concerns.

CHAPTER VI

GENERAL

Powers of Centre in relation to issuers of securities

222. The Centre may, in order to promote market integrity and investor confidence, prevent market manipulation, fraud and financial crime and to ensure transparency in capital and securities markets, issue such orders, directives, and guidelines as are necessary.

Regulatory cooperation & information sharing

223. (1) The Centre shall enter into memoranda of understanding (MoUs) with foreign regulators to facilitate regulatory cooperation, information sharing, and supervisory reliance, in order to support the recognition of foreign licensed brokers.

(2) Where an MoU is in place, the Centre shall rely, to the maximum extent possible, on the prudential supervision.

Dispute resolution

224. Any dispute arising out of these regulations shall be dealt with in terms of the Banking (Victoria Falls International Financial Services Centre) (Arbitration) Regulations, 2026, and where applicable, the general rules.

Fees for capital market intermediaries and authorised market institutions

225. (1) Any application for registration as a capital market intermediary or market institution shall, in addition to other supporting documents required in terms of these regulations or rules made in terms of these regulations, be accompanied by a fee specified in Table 3 of the First Schedule.

(2) Every registered person and market institution shall pay to the Centre each year a fee of such amount as specified in Table 2 of the First Schedule.

(3) The annual fee referred to in subsection (1) shall be paid by such date and in such manner as may be prescribed in rules.

Transitional provisions

226. (1) Every person who, immediately before the fixed date, was licensed or registered to conduct capital market activities or conduct the business of a market institution by virtue of the —

(a) Securities and Exchange Act [*Chapter 24:25*];

(b) Asset Management Act [*Chapter 24:26*];

(c) Collective Investment Schemes Act [*Chapter 24:19*]; and

(d) Reserve Bank of Zimbabwe Act [*Chapter 22;15*];

shall be deemed to be the holder of a provisional licence issued on the fixed date and authorising him or her to conduct such business, and subject to the same terms and conditions, as he or she was permitted to do immediately before the fixed date.

(2) The provisional licence referred to in subsection (1) shall be valid for eighteen (18) months.

(3) Any person referred in subsection (1) must apply for an International Financial Services Centre registration within twelve (12) months of the fixed date.

(4) During the transitional period, persons referred to in subsection (1) shall—

(a) in the first year, have 50% of the minimum capital prescribed in these regulations; and

(b) in the second year, have the full minimum capital prescribed in these regulations.

FIRST SCHEDULE (*sections 12, 31,225*)

BASE CAPITAL REQUIREMENT

Table 1

Category of Registered Person	Base Capital (USD)
Investment Adviser / Fund manager (non-custody)	100,000
Custodian / Trustee	250,000
Fund Administrator	150,000
Dealing Investment Firm – Agency only	250,000
Dealing Investment Firm – Principal (market-making)	1,000,000
Collective Investment Scheme Manager	200,000
Authorised Securities Exchange	2,500,000
Authorised Clearing House	5,000,000
Authorised Central Securities Depository	2,000,000
Authorised Crowdfunding Platform	50,000
Authorised Platform for Digital Assets / Tokens	500,000
Recognised Foreign Broker (VFIFSC operation)	100,000 (local liquidity buffer only)

Table 2

Activity	Application Fee (USD)	Annual Licence Fee (USD)
Investment Adviser / Fund manager	2,000	5,000
Custodian / Trustee	5,000	15,000
Fund Administrator	3,000	7,500
Collective Investment Scheme (per Fund)	2,000	2,500
Dealing Investment Firm – Agency	5,000	15,000
Dealing Investment Firm – Principal	10,000	25,000
Authorised Securities Exchange	25,000	50,000

Authorised Clearing House	30,000	75,000
Authorised CSD	20,000	40,000
Authorised Crowdfunding Platform	1,000	2,500
Digital Asset Platform	7,500	15,000
Recognition of Foreign Broker	1,500	3,000

SECOND SCHEDULE (*section 70*)

COMMODITY DERIVATIVE CONTRACT DELIVERY SPECIFICATIONS

Application

1. This schedule applies to a market institution which trades, clears or settles on its facilities commodity derivative contracts which require physical delivery of the underlying commodity.

Deliverability of the underlying commodity

2. A market institution must ensure that the terms and conditions of the commodity derivative contracts which are to be traded, or cleared or settled on its facilities, are designed to include the matters specified in this schedule.

Quality or deliverable grade

3. A commodity derivative contract must include specifications of commodity characteristics for par delivery, including those relating to grade, class, and weight. The quality or grade specified must conform to the prevailing practices in the underlying physical market relating to the relevant commodity.

Size of delivery unit

4. A commodity derivative contract must contain provisions relating to the size or composition of delivery units which conform to the prevailing market practice in the underlying physical market to ensure that it does not constitute a barrier to delivery or otherwise impede the performance of the contract. A market institution should, if the provisions relating to size and delivery units of the commodity derivatives contract deviate from the underlying physical market, examine the reasons for such deviation and ensure that the risks arising from such deviation can be effectively addressed by the contract parties.

Delivery instruments

5. (1) A commodity derivative contract must specify the acceptable form or type of delivery instruments, and whether such instruments are negotiable or assignable and, if so, on what conditions.

(2) Acceptable delivery instruments include legally acceptable warehouse receipts, bills of lading, shipping certificates, demand certificates, or collateralised depository receipts.

Delivery process and facilities

6. (1) A commodity derivative contract must specify—

(a) the delivery process, including timing, location, manner and form of delivery, and

(b) the delivery or storage facilities available, which conform to the prevailing practices in the underlying physical market, to permit effective monitoring and to reduce the likelihood of disruption.

(2) A market institution should consider issues associated with the delivery process, including those relating to acceptable delivery locations. Such issues include—

(a) the level of deliverable supplies normally available, including the seasonal distribution of such supplies;

(b) the nature of the physical market at the delivery point, for example, an auction market, buying station or export terminal;

(c) the number of major buyers and sellers; and

(d) normal commercial practices in establishing cash commodity values.

(3) The delivery months specified in the commodity derivative contract should take into account cyclical production and demand and accord with when sufficient deliverable supplies are expected to exist in the underlying physical market. Seasonality of a commodity should also be taken into account in relation to transport and storage, as it may affect the availability of warehouse space and transportation facilities.

(4) Consistent with the grade differentials noted above, commodity derivative contracts that permit delivery in more than one location should set delivery premiums or discounts consistent with those observed in the underlying physical market. The adequacy of transportation links to and from the delivery point should also be taken into account when setting delivery premiums.

(5) The delivery facilities available can include oil or gas storage facilities, warehouses or elevators for agricultural commodities and bank or vault depositories for precious metals.

(6) An authorised market institution should consider issues relating to the selection of delivery facilities under the contract, which include—

(a) the number and total capacity of facilities meeting contract requirements;

(b) the proportion of such capacity expected to be available for short traders who may wish to make delivery against commodity derivative contracts and seasonal changes in such proportions;

(c) the extent to which ownership and control of such facilities is dispersed or concentrated; and

(d) its ability to access necessary information from such facility.

Inspection and certification procedures

7. A commodity derivative contract must specify applicable inspection or certification procedures for verifying that the delivered commodity meets the quality or grade specified in the contract, which conform to the prevailing practices in the underlying physical market.

Payment for transportation or storage

8. A commodity derivative contract must specify—

(a) the respective responsibilities of the parties to the contract regarding costs associated with transporting the commodity to and from the designated delivery point and any applicable storage costs; and

(b) how and when title to the commodity transfers, including from any short to long position holder.

Legal enforceability

9. A commodity derivative contract must, where any one or more of the activities of trading, clearing or settlement under the contract take place in different jurisdictions, contain adequate arrangements to mitigate risks arising from any disparity between governing laws applicable in the relevant jurisdictions. A market institution should, when assessing whether the contractual terms adequately provide for addressing jurisdictional risks, take into account—

(a) whether the contract clearly identifies the different legal requirements applicable in the relevant jurisdictions and any differences, including those relating to the manner in which standard clauses are interpreted;

(b) the impact such differences may have in dealing with matters such as delivery disputes, and determination of rights in insolvency proceedings; and

(c) whether the contract contains effective measures to address risk of unenforceability of the contractual terms, particularly those relating to cargos and storage where jurisdictional differences could have a significant impact on the deliverability.

Default provisions and force majeure

10. A commodity derivative contract must specify—

(a) the rights and obligations of the parties to the contract in the event of default by the parties, or in the event of frustration of the contract due to force majeure or other specified event; and

(b) whether any clearing house guarantees the settlement of the transaction in an event specified in (a), and if so, the manner in which such settlement would occur.

11. A market institution, when considering whether a commodities derivative contract adequately provides for contract certainty in the event of default or force majeure, should take into account—

(a) whether any collateral provided by the contracting parties would be sufficient to address the replacement risk in the performance of the contract; and

(b) whether there are any monetary consequences attaching to defaulting parties that would act as a disincentive against default.

(c)The contract terms should clearly specify which jurisdictional laws are applicable to the governing law, including where there are any significant variations in the rights and liabilities attaching to the contracting parties for the events that occur in the relevant jurisdiction.

THIRD SCHEDULE (*section 55*)

REQUIREMENTS APPLICABLE TO TRADE REPOSITORIES

Disclosure of market data by trade repositories

1. (1) A trade repository must provide data in line with regulatory and industry expectations to relevant regulatory authorities and the public. Such information must be comprehensive and at a level of detail sufficient to enhance market transparency and support other public policy objectives

(2) Relevant regulatory authorities should be given access to additional data recorded in a trade repository, including participant-level data, as relevant to the respective mandates and legal responsibilities of the relevant regulatory authority such as market regulation and surveillance, oversight of exchanges, and prudential supervision or prevention of market misconduct.

. *Processes and procedures*

2. (1) A trade repository must have effective processes and procedures to provide data to relevant authorities in a timely and appropriate manner to enable them to meet their respective regulatory mandates and legal responsibilities.

(2) A trade repository should have procedures to facilitate enhanced monitoring, special actions, or official proceedings taken by relevant authorities in relation to data on troubled or failed participants by making relevant information in the trade repository available in a timely and effective manner. The provision of data from a trade repository to relevant authorities should be supported from a legal, procedural, operational, and technological perspective.

Information systems

3. (1) A trade repository must have robust information systems that enable it to provide accurate current and historical data. Such data should be provided in a timely manner and in a format that permits it to be easily analysed.

(2) A trade repository should collect, store, and provide data to participants, regulatory authorities, and the public in a timely manner and in a format that can facilitate prompt analysis.

FOURTH SCHEDULE (*sections 21, 22*)

CORPORATE GOVERNANCE BEST PRACTICE STANDARDS

General

1. This Schedule sets out, by way of guidance, best practice standards relevant to each of the corporate governance principles (the "principles") set out in section 140. While the principles have the status of rules that apply to a registered person, the standards in this document are best practice standards that may be adopted by a registered person to achieve compliance with the principles.

2. A registered person to which the principles apply is required under section 22 (Annual reporting on compliance) to state in its annual report whether the best practice standards have been adopted. In circumstances where a registered person has not fully adopted or only partially adopted the best practice standards, it must explain in its annual report why the standards were not fully adopted or adopted only partially and what actions, if any, it has taken to achieve compliance with the principles.

3. Registered person must have a corporate governance framework which is adequate to promote prudent and sound management of the registered person in the long-term interest of the registered person and its shareholders. Accordingly, in providing its explanation in the annual report, as noted in paragraph 2, a registered person should aim to illustrate how its actual practices achieve compliance with the outcomes intended by the general regulations and the Principles and thereby contribute to prudent and sound management of the registered person.

4. The annual report required under section 22 must include a statement by the board of directors (the "Board"), stating whether or not, in its opinion, the corporate governance framework of the registered person is effective in

achieving the outcome required by the regulations and promoting compliance with the principles, with supporting information and assumptions, and qualifications if necessary. As the principles are the core of the corporate governance framework, the way in which they are applied should be the central question for the board as it determines how the registered person conducts its affairs under its directorship in accordance with the letter and spirit of the applicable requirements including the principles and the standards.

5. The "comply or explain" approach reflected in the standards recognises that there is more than one way to comply with the principles to achieve sound and prudent governance of the registered person. It also gives the registered person the flexibility to tailor its governance practices to achieve effective outcomes, taking into account the nature, size and complexity of its business. For example, a registered person may have a small board to reflect the small and less complex nature of its business, as opposed to a larger and more complex business, which requires a larger board. It may not be possible to have a large number of committees of the small board to undertake the functions of the committees discussed in this Schedule. In such cases, the board as a whole may undertake all these functions, or alternatively, combine the roles of committees as appropriate.

6. Where the standards set out in this Schedule are not adopted due to particular circumstances of the registered person, the reasons for deviating from the standards should be explained clearly and carefully in the registered person's annual report, thereby providing shareholders with the opportunity to make well-informed decisions with regard to their voting and the exercise of their rights.

7. The standards in this Schedule are not exhaustive, and hence a registered entity may implement any additional measures as required in order for it to comply with the principles and contribute to sound and prudent governance of the entity.

8. For the purposes of this Schedule, "senior management" includes any individual who either alone or jointly has ultimate responsibility for the day-to-day management, supervision and control of one or more or all parts of a registered person's business. Consistently with this, the Board should adopt a definition of "senior management" that includes the first layer of management below the board.

Principle 1 — Board of directors

Section 142— "Every registered person must have an effective board of directors ("the Board") which is collectively accountable for ensuring that the registered person's business is managed prudently and soundly."

9. The role of the board is to provide leadership of the registered person within a framework of prudent and effective controls which enable risks to which the registered person is exposed to be identified, assessed, and effectively managed.

10. The board should set the registered person's business and strategic objectives and risk parameters, ensure that the necessary financial and human resources are in place for the company to meet those objectives, and review management performance in achieving those objectives and outcomes. For this purpose, the board should—

(a) determine the nature and extent of the significant risks it is willing to take in achieving the relevant strategic objectives; and

(b) set the registered person's values and standards and ensure that its obligations to its stakeholders are clearly understood and met.

11. The board should meet sufficiently regularly to discharge its duties effectively. There should be a formal schedule of matters specifically reserved for its decision.

12. The mandate, composition and working procedures of the board should be well defined.

13. The annual report of the registered person should include a statement of how the board operates and it should also set out the number of meetings of the board.

Principle 2 — Division of responsibilities

Section 143— "The board must ensure that there is a clear division between the board's responsibility for setting the strategic aims and undertaking the oversight of the registered person and the senior management's responsibility for managing the registered person's business in accordance with the strategic aims and risk parameters set by the board."

Board and Senior Management

14. (1) A board must be composed of at least 3 directors one of which shall be an independent director.

(2) The division of responsibilities between the board and the senior management of the registered person should be clearly established, set out in writing, and agreed to by the board. In assigning duties, the board should ensure that no one individual has unfettered powers in making decisions. It should also ensure that there is a clear segregation of the functions of—

(a) the oversight of the management by the board; and

(b) the management of the registered person's business by the senior management in accordance with the strategic aims and risk parameters set by the board.

15. Board members may include individuals undertaking senior management functions. For example, the chief executive of a registered person may also be a board member. Where this is the case, the board should ensure that when assessing the performance of the senior management, the independence and objectivity of that process is achieved through appropriate mechanisms, such as the assignment of such a task to a non-executive director of the board or a committee comprising a majority of non-executive directors.

Chairman and chief executive

16. In order to ensure that the board's function of providing effective oversight of the management of the registered person is not compromised, it is important that the role of the chairman of the Board and the role of the chief executive of the registered person should not be held by the same individual.

17. However, if the board decides that the chief executive should also hold the position of the chairman of the board, there should be effective measures to ensure that the board is able to properly discharge its function of providing effective oversight of the management of the business of the registered person by its senior management. For example, the performance assessment of the chief executive and other members of the senior management should be undertaken by a non-executive director of the board such as the senior independent director or a committee comprising a majority of non-executive directors who report to the board directly on their assessment, and also, prior approval by shareholders of the appointment of the chief executive as chairman of the board.

18. Except where the positions of the chairman of the board and the chief executive are held by the same person, the division of responsibilities between the chairman and chief executive should be clearly established, set out in writing and agreed to by the board.

19. The chairman should be responsible for providing leadership of the board, ensuring its effectiveness in all aspects of the board's role and setting its agenda.

20. Except where the positions of the chairman of the board and the chief executive are held by the same individual, the chairman of the board should meet the independence criteria set out in paragraph 31.

21. The annual report of the registered person should—

(a) identify the chairman, the deputy chairman, where there is one and the chief executive; and

(b) include a high-level statement of which types of decisions are to be taken by the board, and which are to be delegated to the senior management.

Principle 3 — Board composition and resources

Section 144— "The board and its committees must have an appropriate balance of skills, experience, independence and knowledge of the registered person's business, and adequate resources, including access to expertise as required and timely and comprehensive information relating to the affairs of the registered person."

Balance of skills and independence

22. A major consideration that underpins the effectiveness of the board is the availability at the board level of the relevant skills, expertise and resources as are necessary to discharge the board functions, taking due account of the nature, scale and complexity of the business of the registered person.

23. It may well be that no single director has all the knowledge, skills and expertise needed by a board to discharge its functions. The board should have an appropriate number and mix of individuals to ensure that there is an overall adequate level of knowledge, skills and expertise commensurate with the nature, scale and complexity of the business of the registered person.

24. In order to ensure that the board is equipped with the necessary skills, expertise and resources appropriate to the business of the registered person, there should be a formal, rigorous and transparent procedure for the appointment of directors to the board. Appointments to the board should be made on merit and against objective criteria, with due regard to the benefits of diversity on the board. Care should be taken to ensure that appointees have enough time available to devote to the job. This is particularly important in the case of chairmanships.

25. All directors should be submitted for re-appointment at regular intervals, subject to continued satisfactory performance. The board should ensure planned and progressive refreshing of the board to ensure the on-going effectiveness of the board, particularly the objectivity of the decision making by the board and maintaining the skills and expertise as relevant to the registered person's business.

26. (1) All directors should be subject to election by shareholders at the first annual general meeting after their appointment, and to re-election thereafter at intervals of no more than three years. The board should satisfy itself that there is adequate succession planning in respect of board membership and the senior management, so as to ensure an orderly and smooth change-over of positions whilst maintaining an appropriate balance of skills and experience within the registered person and on the board.

(2) The board should include key executive officers such as the chief executive officer and the chief financial officer.

Chairman

27. For the appointment of a chairman, there should be a job specification, and an objective assessment against the relevant criteria including an assessment of the time commitment expected, recognising the need for availability in the event of crises. Generally, the nomination committee should undertake this function. A chairman's other

significant commitments should be disclosed to the board before appointment and included in the annual report. Changes to such commitments should be reported to the board as they arise, and their impact explained in the next annual report.

28. The chairman should ensure that new directors receive an appropriate induction on joining the board. The chairman should ensure that the directors continually update their skills and their knowledge and familiarity with the registered person required in fulfilling their role both on the board and its committees. All directors should have appropriate knowledge of the registered person and should be provided with adequate access to its operations and staff to carry out their respective responsibilities.

29. The registered person should provide the necessary resources for developing and updating its directors' knowledge and capabilities. The chairman should regularly review and agree with each director their training and development needs.

Executive and non-executive directors

30. The board should include a balance of executive and non-executive directors, including independent non-executive directors. No individual or small group of individuals should be able to dominate the board's decision-making. At least one third of the board should comprise non-executive directors, of which at least two non-executive directors should be independent.

31. The board should consider a non-executive director to be "independent" if that director meets, upon an assessment, objective criteria of independence set by the board. Such independence criteria should encompass independence in character and judgement of the individual by having no commercial or other relationships or circumstances which are likely to affect or could appear to impair their judgement in a manner other than in the best interests of the registered person. In making the assessment of independence against such criteria, the board should consider matters such as whether the person—

(a) has already served as a member of the board for a significant period; or

(b) has been an employee of the registered person or a member of the group within the last five years; or

(c) has or has had, within the last three years, a material business relationship with the registered person, either directly or as a partner, shareholder, director or senior employee of another body that has such a relationship with the registered person; or

(d) receives or has received, in the last three years, additional remuneration or payments from the registered person apart from a director's fee, or participates in the registered person's share option, or a performance-related pay scheme, or is a member of the registered person's pension scheme; or

(e) is or has been a director, partner or employee of a firm which is the registered person's auditor; or

(f) has close family ties with any of the registered person's advisors, directors or senior employees; or

(g) holds cross directorships or has significant links with other directors through involvement in other companies or bodies; or

(h) represents a significant shareholder.

32. The terms and conditions of appointment of non-executive directors should be made available for inspection by any person at the registered office during normal business hours. The letter of appointment should set out the expected time commitment. Non-executive directors should ensure that they will have sufficient time to meet what is

expected of them. Their other significant commitments should be disclosed to the board before appointment, with a broad indication of the time involved. The board should be informed of subsequent changes.

33. The annual report of the registered person should identify each non-executive director it considers to be independent, the senior independent director, and the chairman and members of each of the board committees. It should also state the relevant skills and expertise which each director brings to the board and set out the number of meetings of each of the committees and individual attendance by directors.

34. As part of their role as members of the board, non-executive directors should constructively challenge and help develop proposals on business objectives and strategy for achieving those objectives. Non-executive directors should scrutinise the performance of senior management against agreed goals and objectives and monitor the reporting of their performance.

Nomination committee

35. The board should establish and maintain a nomination committee to lead the process for appointments and make recommendations to the board relating to the appointment of board members and the senior management. A majority of members of the nomination committee should be independent non-executive directors. The chairman of the nomination committee should be an independent non-executive director.

36. The mandate, composition and working procedures of the nomination committee should be well defined. The nomination committee should make available on the website of the registered person its written terms of reference explaining its role and the authority delegated to it by the board.

37. The nomination committee should evaluate the balance of skills, knowledge, independence and experience on the board and, in the light of this evaluation, prepare a description of the role and capabilities required for a particular appointment.

38. A separate section of the annual report of the registered person should describe the work of the nomination committee, including the process it has used in relation to board appointments. An explanation should be given if neither an external consultancy nor an open advertising process has been used in the appointment of the chairman or a non-executive director of the board.

Secretary of the registered person

39. The responsibilities of the registered person's secretary should clearly include, under the direction of the chairman, ensuring good information flows within the board and its committees and between senior management and non-executive directors, as well as facilitating induction and assisting with professional development of board members as required. The secretary should also be responsible for ensuring that board procedures are fully complied with and for advising the board through the chairman on all governance matters.

40. Both the appointment and removal of the secretary of the registered person should be a matter for the board as a whole.

Information and support

41. All directors should have access to accurate, timely and clear information relating to the business and affairs of the registered person to enable them to discharge their duties, taking due account of the roles undertaken by such

members. The chairman is responsible for ensuring that the directors receive such information. Senior management has an obligation to provide such information, but directors should seek clarification or amplification where necessary. All directors should also have access to the advice and services of the secretary of the registered person, as he is responsible to the board for ensuring compliance with the board procedures.

42. The board should ensure that directors, especially non-executive directors, have access to independent professional advice at the registered person's expense where necessary to enable them to discharge their respective roles and responsibilities. Committees of the board should also be provided with sufficient resources including information to carry out their role and responsibilities effectively.

Performance evaluation

43. The board should undertake a formal and rigorous evaluation of its own performance and that of its committees and individual directors at least annually.

44. The chairman of the board should act on the results of the performance evaluation by recognising the strengths and addressing the weaknesses of the board and making any changes to the composition of the board as required.

45. The board should state in the annual report how performance evaluations of the board, its committees and its individual directors have been conducted.

Principle 4 — Risk management and internal control systems

Section 145— "The board must ensure that the registered person has an adequate, effective, well-defined and well-integrated risk management, internal control and compliance framework."

46. The board should, at least annually, conduct a review of the effectiveness of the registered person's risk management, internal control and compliance framework ("systems and controls") and should report to the shareholders that it has done so. The review should cover all aspects of material controls, including management, financial, operational and compliance controls and risk management systems. The board may satisfy this requirement by instructing an auditor to undertake the review and report to it on its outcome. They should satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and effective.

47. The board should establish formal and transparent arrangements for considering how it should apply the financial reporting and internal control systems, and for maintaining an appropriate relationship with its auditors.

48. The board should establish policies and procedures for the identification and oversight and management of material business risks and disclose a summary of those policies and procedures in its annual report. The board should also ensure that senior management implements the requisite risk management and internal control systems to manage material risks.

Audit committee

49. The board should establish and maintain an audit committee to monitor and review the registered person's internal audit function and other internal controls. The main roles and responsibilities of the audit committee should be set out in written terms of reference, be available on the website of the registered person and include at least the following—

(a) monitoring the integrity of the financial statements of the registered person and any formal announcements relating to the Registered person's financial performance and reviewing significant financial reporting judgements contained in them; and

(b) reviewing the registered person's internal financial controls and, unless expressly addressed by a separate risk committee of the board or the board itself, internal controls and risk management systems; and

(c) monitoring and reviewing the effectiveness of the registered person's internal audit function; and

(d) making recommendations to the board in respect of the appointment, re - appointment, removal and terms of engagement, including remuneration, of the auditor; and

(e) reviewing and monitoring the auditor's independence and objectivity and the effectiveness of the audit process; and

(f) developing and implementing policy on the engagement of the auditor to supply non -audit services; and

(g) reviewing the adequacy of arrangements by which staff of the registered person may, in confidence, raise concerns about possible improprieties in matters of financial reporting or other matters to ensure that arrangements are in place for the proportionate and independent investigation of such matters and for appropriate follow-up action.

50. The board should appoint at least two independent non-executive directors to the audit committee. At least one of the independent non-executive directors appointed to the audit committee should have recent and relevant financial expertise. The chair of the audit committee should be an independent non-executive director.

51. A separate section of the annual report should describe the work of the audit committee in discharging its responsibilities. The annual report should also explain to shareholders how, if the auditor provides non-audit services, auditor objectivity and independence are safeguarded.

Principle 5 — Shareholder rights and effective dialogue

52. The board as a whole has responsibility for ensuring that a satisfactory dialogue with shareholders takes place. Such dialogue should be based on the mutual understanding of objectives and the provision of adequate information relating to the registered person, including financial information, and how the business and affairs of the registered person are carried out.

53. The board should hold a general meeting of shareholders at least annually.

54. The board should use the annual general meeting to communicate with shareholders on important aspects of the registered person's business and affairs and encourage their participation. Shareholders should have the opportunity to ask questions of the board, to place items on the agenda of general meetings and to propose resolutions.

55. At any general meeting, the registered person should propose a separate resolution on each substantial separate issue and should in particular propose a resolution at the annual general meeting relating to the report and accounts. For each resolution, proxy appointment forms should provide shareholders with the option to direct their proxy to vote either for or against the resolution or to withhold their vote.

56. The chairman should arrange for the chairs of the audit, remuneration, and nomination committees to be available to answer questions at the annual general meeting and for all directors to attend either in person or by electronic means.

57. Whilst recognising that most shareholder contact is with the chief executive and finance director, the chairman and other directors, including non-executive directors, as appropriate, should maintain sufficient contact with major shareholders to understand their issues and concerns. The board should keep in touch with shareholder opinion using means which are most practical and efficient, taking into account the nature, scale and complexity of its operations and the nature of its shareholder base. The board should use its website as a forum for the posting of information such as new strategies, a calendar for important meetings and other events.

58. The chairman should ensure that the views of shareholders are communicated to the board as a whole. In addition, the chairman should discuss governance and strategy of the registered person at least with its major shareholders. Non-executive directors should be offered the opportunity to attend meetings with major shareholders and should expect to attend such meetings, especially if requested by major shareholders.

59. The board should ensure that no steps are taken which may prevent shareholders from consulting with other shareholders on issues concerning their basic shareholder rights, subject to exceptions to prevent abuse. Similarly, the board should also protect minority shareholders from any oppressive or abusive action by controlling or major shareholders.

Other stakeholders

60. While shareholders of the registered person form the major stakeholder group of the registered person, the Board should also ensure that there are adequate channels of communication with its other key stakeholders as appropriate to the nature, scale and complexity of its business operations, and the environment in which it operates. Such stakeholders may include employees, creditors and business customers of the registered person. The board should make an assessment of the level of information that should generally be made available to the public, or to any particular group of stakeholders, relating to the affairs of the company, and how best to make use of its website or any other channels of communication as appropriate to disseminate relevant information.

Principle 6 —Position and prospects

Section 147— "The board must ensure that the registered person's financial and other reports present an accurate, balanced and understandable assessment of the registered person's financial position and prospects by ensuring that there are effective internal risk control and reporting requirements."

61. The board's responsibility to present a true, balanced and understandable assessment of its financial position and prospects should extend to interim and other price-sensitive public reports and reports to regulators, as well as to information required to be presented by law.

62. The directors should explain in the annual financial report their responsibility for preparing that report and accounts, and there should be a statement by the auditor about their reporting responsibilities.

63. The directors should include in the annual report an explanation of the basis on which the registered person generates or preserves value over the longer term (the business model) and the strategy for delivering the objectives of the registered person.

64. The directors should report in annual and half-yearly financial statements that the business is a going concern, with supporting assumptions or qualifications as necessary.

Principle 7 — Remuneration

Section 148— "The board must ensure that the registered person has remuneration structures and strategies that are well aligned with the long-term interests of the entity."

Directors' remuneration

65. Levels of remuneration of directors should be sufficient to attract and retain directors of appropriate quality, taking into account the nature, scale and complexity of the business of the registered person, and to provide effective direction and leadership to the registered person in managing its business and affairs successfully. In doing so, the registered person should avoid paying more than is necessary for this purpose.

66. The performance-related elements of remuneration should form an appropriate proportion of the total remuneration package of executive directors and should be designed to promote the long-term interests and viability of the registered person, to align their interests with those of shareholders and other key stakeholders and to give these directors appropriate incentives to perform at the highest levels.

67. Levels of remuneration for non-executive directors should reflect the time commitment and responsibilities of their respective roles and the objectivity of judgment in their decision-making required by them. In considering whether to grant share options to non-executive directors, a registered person should consider whether the granting of the share options will impair the objectivity or independence of the non-executive directors' decision-making.

68. Generally, where non-executive directors' remuneration includes share options, rights resulting from the exercise of share options should be subject to appropriate retention and vesting periods, generally until at least one year after the non-executive director leaves the board.

69. There should be a formal and transparent procedure for developing policies on executive remuneration and for fixing remuneration packages of individual directors. No director should decide his own remuneration, and ideally, all directors' remuneration should be subject to recommendations of the remuneration committee if one exists, and otherwise upon the advice of an external consultant.

Remuneration committee

70. The board should establish and maintain a remuneration committee to assess the remuneration of directors (including the chairman). The remuneration committee should comprise at least three members, with a majority of those members being independent non-executive directors. The chair of the committee should be an independent non-executive director. In addition, the chairman of the board may also be a member but not the chair of the committee.

71. The Remuneration Committee should have delegated responsibility for setting remuneration for all executive directors and the chairman. The committee should also recommend and monitor the level and structure of remuneration for the senior management and other key control functionaries, such as the risk or compliance officers and auditors, to ensure that the independence and objectivity of the decision-making by such control functionaries is not compromised or impaired by their remuneration structure. An important consideration that should be taken into account in setting the remuneration of key control functionaries of the registered person is that their remuneration is not substantially linked to the profits generated by business or trading units whose activities are subject to monitoring and oversight by those functionaries.

72. The mandate, composition and working procedures of the remuneration committee should be well defined. The remuneration committee should make available on the website of the registered person its written terms of reference explaining its role and the authority delegated to it by the board.

73. The remuneration committee should also be responsible for appointing any external consultants in respect of executive directors' remuneration. Where external consultants are appointed, a statement should be made available of whether they have any other connection with the registered person.

74. The board itself, or where required by the articles of association or other constituent documents, the shareholders should determine the remuneration of the non-executive directors.

75. The annual report of the registered person should contain sufficient information relating to the overall remuneration policy and strategy of the registered person to demonstrate that the remuneration, particularly of the executive directors and senior management to properly link rewards to corporate and individual performance and outcomes, and to ensure that any performance-based remuneration granted is structured in such a way so as to not induce inappropriate risk taking by such individuals.